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IMPLEMENTATION COMPLETION AND RESULTS REPORT

ON AN

EDUCATION FOR ALL – FAST TRACK INITIATIVE (EFAF) GRANT (TF A2913)

IN THE AMOUNT OF US\$44.9 MILLION

TO THE

REPUBLIC OF MALAWI

FOR THE

MALAWI EDUCATION SECTOR IMPROVEMENT PROJECT (MESIP)

April 28, 2022

CURRENCY EQUIVALENTS

(Exchange Rate Effective {March 31, 2022})

Currency Unit = MWK

817.24 MWK¹ = US\$1

US\$1.383290 = SDR 1²

FISCAL YEAR

July 1 - June 30

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ABBREVIATIONS AND ACRONYMS

ACB	Anti-Corruption Bureau
AF	Additional Financing
AfDB	Africa Development Bank
AM	Aide Memoire
CAS	Country Assistance Strategy
CBA	Cost-Benefit Analysis
CFM	Common Fund Mechanism
CPF	Country Partnership Framework
CSO	Civil Society Organisation
CUCI	COVID-19 Urban Cash Initiative
DA	Designated Account
DAPP	Development Aid from People to People
DDEP	Deputy Director for Education Planning
DEM	District Education Manager
DFID	Department for International Development
DLI	Disbursement-Linked Indicator
EIMU	Education Infrastructure Management
EMIS	Education Management Information System
ESMF	Environmental and Social Management Framework
ESMP	Environmental and Social Management Plan
EQUALS	Equity with Quality and Learning at Secondary
FA	Financing Agreement
FCDO	Foreign, Commonwealth & Development Office
FM	Financial Management
FMR	Financial Management Reporting
FMS	Financial Management Specialist
GA	Grant Agent
GDP	Gross Domestic Product
GIZ	Deutsche Gesellschaft für Internationale Zusammenarbeit
GoM	Government of Malawi
GRM	Grievance Redress Mechanism
HRMIS	Human Resources Management Information System
HT	Headteacher
ICR	Implementation Completion Report
IEG	Independent Evaluation Group
IFMIS	Integrated Financial Management Information System
IFR	Interim Financial Report
ISR	Implementation Status and Results Report
INT	Integrity Unit
IRI	Intermediate Results Indicator
IVE	Independent Verification Entity
JICA	Japan International Cooperation Agency
KfW	Kreditanstalt für Wiederaufbau
LAYS	Learning-Adjusted Years of Schooling

LDF	Local Development Fund
LEG	Local Education Group
LS	Longitudinal Survey
M&E	Monitoring and Evaluation
MERP	Malawi Education Reform Programme
MESIP	Malawi Education Sector Improvement Project
MLSS	Malawi Longitudinal Schools Survey
MWK	Malawian Kwacha
NER	Net Enrolment Ratio
NES	National Education Standards
NESIP	National Education Sector Investment Plan
NGO	Non-Governmental Organisation
NPV	Net Present Value
NRP	National Reading Programme
ODeL	Open and Distance and e-Learning
PAD	Project Appraisal Document
PBC	Performance-Based Condition
PBF	Performance-Based Funding
PCR	Project Completion Report
PCR	Pupil-Classroom Ratio
PDI	PDO-level indicator
PFT	Program Facilitation Team
PIM	Project Implementation Manual
PIQEM	Project to Improve Education Quality in Malawi
PqTR	Pupil Qualified Teacher Ratio
PSIP	Primary School Improvement Program
PTA	Parent-Teacher Association
RCT	Randomized Controlled Trial
RF	Results Framework
RPF	Resettlement Policy Framework
SAVE	Skills for a Vibrant Economy
SCD	Systematic Country Diagnostic
SIP	School Improvement Plan
SLP	School Leadership Program
SMC	School Management Committee
SMS	Short Message Service
STEP	Systematic Tracking of Exchanges in Procurement
TA	Technical Assistance
TLM	Teaching and Learning Materials
ToR	Terms of Reference
UNICEF	United Nations Children's Fund
USAID	United States Agency for International Development
WB	World Bank
ZEMIS	Zonal Education Management Information System

TABLE OF CONTENTS

DATA SHEET	I
I. PROJECT CONTEXT AND DEVELOPMENT OBJECTIVES	1
A. CONTEXT AT APPRAISAL.....	1
B. SIGNIFICANT CHANGES DURING IMPLEMENTATION	5
II. OUTCOME	7
A. RELEVANCE OF PDOs	8
B. ACHIEVEMENT OF PDOs (EFFICACY).....	8
C. EFFICIENCY	16
D. JUSTIFICATION OF OVERALL OUTCOME RATING	17
E. OTHER OUTCOMES AND IMPACTS (IF ANY).....	18
III. KEY FACTORS THAT AFFECTED IMPLEMENTATION AND OUTCOME	20
A. KEY FACTORS DURING PREPARATION.....	20
B. KEY FACTORS DURING IMPLEMENTATION	21
IV. BANK PERFORMANCE, COMPLIANCE ISSUES, AND RISK TO DEVELOPMENT OUTCOME ..	23
A. QUALITY OF MONITORING AND EVALUATION (M&E)	23
B. ENVIRONMENTAL, SOCIAL, AND FIDUCIARY COMPLIANCE	26
C. BANK PERFORMANCE	28
D. RISK TO DEVELOPMENT OUTCOME	29
V. LESSONS AND RECOMMENDATIONS.....	30
ANNEX 1. RESULTS FRAMEWORK AND KEY OUTPUTS	32
ANNEX 2. BANK LENDING AND IMPLEMENTATION SUPPORT/SUPERVISION	59
ANNEX 3. PROJECT COST BY COMPONENT.....	62
ANNEX 4. EFFICIENCY ANALYSIS.....	63
ANNEX 5. BORROWER, CO-FINANCIER AND OTHER PARTNER/STAKEHOLDER COMMENTS ...	71
ANNEX 6. ADDITIONAL PROJECT DETAILS	72
ANNEX 7. SUPPORTING DOCUMENTS	86
ANNEX 8. PROJECT MAP	88
ANNEX 9: ENDNOTES	89



DATA SHEET

BASIC INFORMATION

Product Information

Project ID	Project Name
P154185	Malawi Education Sector Improvement Project (MESIP)
Country	Financing Instrument
Malawi	Investment Project Financing
Original EA Category	Revised EA Category
Partial Assessment (B)	Partial Assessment (B)

Organizations

Borrower	Implementing Agency
The Republic of Malawi, Ministry of Finance, Economic Planning and Development	Ministry of Education, Science and Technology

Project Development Objective (PDO)

Original PDO

The overall Project Development Objective (PDO) is to improve the equity and quality of primary education service delivery in earlygrade levels with an emphasis on improved accountability and functioning at the school level.

Revised PDO

Improve quality, equity and efficiency of primary education in selected districts and schools.



FINANCING

	Original Amount (US\$)	Revised Amount (US\$)	Actual Disbursed (US\$)
World Bank Financing			
TF-A2913	44,900,000	44,900,000	43,658,000
Total	44,900,000	44,900,000	43,658,000
Non-World Bank Financing			
Borrower/Recipient	0	0	0
Total	0	0	0
Total Project Cost	44,900,000	44,900,000	43,658,000

KEY DATES

Approval	Effectiveness	MTR Review	Original Closing	Actual Closing
31-Aug-2016	13-Dec-2016	18-Mar-2019	31-Dec-2020	30-Jul-2021

RESTRUCTURING AND/OR ADDITIONAL FINANCING

Date(s)	Amount Disbursed (US\$M)	Key Revisions
03-Oct-2019	31.34	Change in Project Development Objectives Change in Results Framework
23-Dec-2020	37.43	Change in Results Framework Change in Loan Closing Date(s) Change in Implementation Schedule

KEY RATINGS

Outcome	Bank Performance	M&E Quality
Satisfactory	Satisfactory	Substantial



RATINGS OF PROJECT PERFORMANCE IN ISRs

No.	Date ISR Archived	DO Rating	IP Rating	Actual Disbursements (US\$M)
01	28-Dec-2016	Moderately Satisfactory	Moderately Satisfactory	0
02	27-Jun-2017	Moderately Satisfactory	Moderately Unsatisfactory	6.00
03	03-Nov-2017	Moderately Satisfactory	Moderately Satisfactory	6.00
04	07-May-2018	Moderately Satisfactory	Moderately Satisfactory	14.00
05	13-Nov-2018	Moderately Satisfactory	Moderately Satisfactory	16.00
06	01-May-2019	Moderately Satisfactory	Moderately Satisfactory	26.24
07	20-Nov-2019	Moderately Satisfactory	Satisfactory	31.34
08	10-Jun-2020	Moderately Satisfactory	Satisfactory	36.52
09	17-Dec-2020	Moderately Satisfactory	Satisfactory	37.43
10	06-Aug-2021	Moderately Satisfactory	Satisfactory	43.66

SECTORS AND THEMES

Sectors

Major Sector/Sector (%)

Education 100

Public Administration - Education 10

Primary Education 90

Themes

Major Theme/ Theme (Level 2)/ Theme (Level 3) (%)

Social Development and Protection 32

Social Protection 32

Disability 32



Human Development and Gender		100
Gender		32
Education		100
Access to Education		33
Education Financing		33
Teachers		45
Education Governance, School-Based Management		56
Education Facilities		32
Urban and Rural Development		32
Disaster Risk Management		32
Disaster Response and Recovery		32
ADM STAFF		
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I. PROJECT CONTEXT AND DEVELOPMENT OBJECTIVES

A. CONTEXT AT APPRAISAL

Context

- 1. Country Context.** At the time of appraisal of the Malawi Education Sector Improvement Project (MESIP) in February 2016, Malawi had a population of slightly more than 16.8 million making it one of Southern Africa's most densely populated countries. As a landlocked nation with an economy characterized by a narrow export base and significant dependence on imports and foreign aid, the country was particularly exposed to external economic shocks. These economic considerations, in conjunction with policy uncertainty, had resulted in fluctuating economic growth, persistently high levels of poverty and periods of significant fiscal deficits and crisis like 2015 and 2016.³ Given the country's narrow resource base and limited arable land, the high population growth rate had been eroding per capita income growth and increasingly complicating service delivery, including education.
- 2. Poverty affects a major portion of Malawi's population.** At appraisal, the country ranked 174 out of 187 on the United Nations Development Program's (UNDP) 2014 Human Development Index (HDI). According to the latest available poverty assessment at appraisal, around 50.7 percent of the population lived below the national poverty line.⁴ Malawi had among the world's highest proportions of citizens who are HIV-positive, with an adult prevalence of 10.3 percent in 2013, as well as very high rates of infant and child mortality. Chronic malnutrition levels remained 45 percent for several years affecting children's growth and cognitive abilities. Approximately 85 percent of the population resided in rural areas, with livelihoods dependent on agricultural activities concentrated in the farming of tobacco and maize. Agricultural sector in Malawi accounted for 33.3 percent of gross domestic product (GDP) and 78.3 percent of the workforce (2014, World Bank), but was highly susceptible to drought and volatile commodity prices. Food insecurity and hunger remained a perennial issue, with seasonal famine and other struggles making it difficult for children to attend and do well in school. At the time of appraisal, flood emergency heavily affected the country. On January 13, 2015, 13 districts (out of 34) experienced massive flooding affecting more than 135,000 people and damaging and destroying more than 350 schools.
- 3. Sector context.** The population of primary school age children (6-to-13-year-olds) accounted for 22 percent of the total population of Malawi. Before the abolition of school fees, in 1992/1993 less than one in five of this age cohort was enrolled in primary school. Following the abolition of school fees for publicly financed primary schools in 1994, primary education enrollment increased rapidly rising more than twofold from 1.8 million in 1994 to 4.7 million students in 2014/2015. The net enrolment rate (NER) increased from 53 % in 1993 to 98% in 2016.⁵ To improve the targeting of resources to those most in need, and to devolve decision-making closer to the schools, the Government of Malawi (GoM) adopted a National Decentralization Policy in 1998 coupled with the adoption of policies to encourage community-led, school-based decision-making. Enabling legislation, in the form of the Local Government Act of 1998, established 34 education districts (each divided into 10-20 zones) responsible for the delivery of primary education. The national Ministry of Education (MoE)⁶ retained overall responsibility for the education sector, with responsibility for supervision, quality assurance and the maintenance of primary schools devolved to District Councils. Primary Education Advisors (PEAs) were appointed and made responsible for supervision of and support to primary schools and the continuing professional development of teachers.
- 4. Despite the high level of spending on primary education, Malawi needed to improve the conditions for teaching and learning at the school level within the context of significantly constrained domestically financed government expenditure.** Rapid development of the primary education sub-sector had absorbed a rising share of public resources and had contributed to increasing allocations for the education sector. Public spending on education averaged 7 percent of Malawi's GDP during the five years



preceding appraisal, and private expenditures were estimated at 2-3 percent of GDP, significantly above the average for sub-Saharan Africa. The primary education sub-sector accounted for almost half to two thirds of education expenditures. System outputs and outcomes remained low however, pointing to important issues with regards to efficiency in both utilization of scarce resources to generate better learning outcomes, but also in dealing with the chronically high repetition and dropout rates which had remained static for some 20 years at the time of appraisal. Reforms and interventions had limited impact and had mostly sustained the status quo and importantly hedged against deeper decline given the massive influx of new children every year. While access to Standard 1 in primary education was almost universal, the dropout rate was high, leading to only one in three students who entered primary school completing all eight years of primary education, and many students taking more than the scheduled eight years of instruction to complete a full cycle of primary education.

5. **At the time of appraisal, gender inequity in completion rates also remained a major challenge in primary education, with girls falling behind.** Gender disparity varied from one school level to another, pointing to the worsening challenges that girls faced as they progress through the education system. For instance, those related to puberty including but not limited to early marriage and pregnancy. These challenges were further compounded across income quintiles. Standardized tests, such as the Southern African Consortium for Monitoring Educational Quality (SACMEQ), showed that learning achievements at the primary level had been declining since 1994. Concurrently, major education indicators had remained static. Moreover, major problems like teacher deployment, incentives/rural allowances to help increase the number of female teachers, affordability and tackling the low internal efficiency had remained key system wide policy issues to be tackled. Achieving and sustaining progress in expanding access to, and the quality of, primary education required the identification of areas for improved efficiency and effectiveness in the utilization of available resources and creating room for better teaching and learning while addressing major system wide policy issues like teacher deployment, number of female teachers and internal efficiency.

6. **At the time of appraisal, the project team was guided by the Education Sector Implementation Plan II (ESIP-II) for 2013-2018 prepared by the Government to address widespread and persistent challenges with regard to high repetition rates, low completion rates, poor rates of transition from primary to secondary education, and worsening examination results.** ESIP-II built upon lessons learned from the evaluation of ESIP-I (2009 - 2013) including need for selectivity and simplicity in design, and the need to move away from traditional approaches by focusing on outcomes using innovative cost-effective interventions and successful pilots. The plan integrated a significant emphasis on improving learning achievement in lower-primary education and on expanding access to secondary education.⁷ The strategy for improving learning achievement in lower-primary classes relied on “Empowering the School” by improving governance, efficiency and capacity at the school level, including the strengthening of the Primary School Improvement Program (PSIP) and the provision of School Improvement Grants (SIG). The MESIP was fully aligned with the priorities of ESIP-II and was designed as a four-year stand-alone GPE-funded project using an Investment Project Financing (IPF) lending instrument for laying the foundation for wider program support, to harmonize overall policy and plan implementation based on results and outcomes that can be brought to scale and institutionalized.

7. **Rationale for World Bank involvement.** The World Bank’s Country Assistance Strategy (CAS) for Malawi for 2012-2016⁸ prioritized the education sector as part of its support to the Government in enhancing human capital and reducing vulnerabilities. The CAS noted that “inadequate school infrastructure, financial constraints, and exorbitant teacher-pupil ratios are factors in the low levels of student learning”. The CAS also identified several results areas which included the aim of improving the provision of public services, such as education, improving public sector management systems, and strengthening social accountability for service provision. The project addressed each of these results areas through enhanced quality of education services delivery, strengthened school, district and central level education sector management and strengthened community participation in school management. The project was also aligned with the twin goals of the World Bank’s strategy on poverty reduction and boosting shared prosperity. Education builds human capital that directly contributes to enhancing productivity and welfare of the population, especially the poorest quintile. Lastly, the project was well aligned with the GPE strategic goals of: (a) ensuring that all



children have access to a safe, adequately equipped space to receive an education with a skilled teacher; and (b) building national systems that have capacity and integrity to deliver, support and assess quality education. The project was also in line with the GPE focus areas particularly those related to efficient use of resources targeted to the most marginalized groups and girls' education. The MESIP was, therefore, fully consistent with the World Bank and Government strategies and contributed to the strategic priorities identified through focused interventions in support of the GoM's ESIP-II.

Theory of Change (Results Chain)

8. The original theory of change showing the links between the main challenges in MESIP districts and schools, project-supported activities, intermediate results, and outcomes is presented in Figure 9 in Annex 6. As the theory of change illustrates, the project sought to address some of the critical constraints driving the low access and completion rates, low retention and high dropout rates and poor quality, accountability and management of primary education, including those experienced by girls. The main pathways by which the project sought to achieve these goals include: (i) improving equitable access for the most disadvantaged, especially girls; (ii) improving the retention and promotion rates at lower primary grades; (iii) improving the efficacy of interventions at the school, classroom and community level for better learning outcomes; and (iv) removing barriers to girls' education for their improved retention in upper primary grades.

9. The link between inputs, activities, intermediate results and outcomes is not one-to-one, with many project interventions potentially contributing to several outcomes. For example, the school leadership training for targeted headteachers (HTs) was an important intervention aimed at enhancing their abilities to manage their schools—with the intention that this would contribute to decreased repetition rates and increased promotion rates, which in turn would improve efficiency at the school-level. A key part of the training provided to headteachers also focused on how to improve teacher behaviours, which could lend itself to improved learning environment and ultimately the quality of education. Hence, this intervention could contribute towards both efficiency- and quality- related outcomes. In addition, the project supported system-strengthening interventions both at the national, district and local levels, to ensure effective project implementation, improve monitoring and evaluation (M&E) systems, build capacity in key technical areas and improve efficiency and accountability in the education system.

10. **Several key assumptions were implicit in the project design as captured by the Theory of Change.** First, on the *quality dimension*, the project design assumed that the construction of classrooms (Component 2) would contribute to more conducive learning environments. It anticipated that by building classrooms, teachers could teach—and children could learn—less 'under the sun', ultimately resulting in improved learning outcomes and completion rates for students. Second, on the *equity dimension*, it assumed that improving girls' accessibility to quality sanitary facilities⁹ (Component 2) and increasing the female to male teacher ratios in Grades 6-8 (DLI 2) would improve girls' retention rates and learning outcomes. Third, on the *efficiency dimension*, the project sought to reduce repetition rates [also DLI 3] and assumed that incentivizing schools to implement strategies at promoting efficiency measures to reduce repetition and dropout rates (Component 1) would in turn lead to (i) improved retention and progressions of learners; (ii) improved cost-effectiveness; and (iii) internal efficiency of the system. Ultimately lending itself to a 'de-clogging of the system', through smaller class size and overall better learning conditions—for instance, less 'teaching under the sun' in outside open-air 'classrooms'—it was thought that these would contribute to higher completion rates, attainment and achievement levels, including for girls.

11. **To address inequity in the system, the project targeted what were at the time assessed to be the eight most disadvantaged districts: Chikwawa, Dedza, Kasungu, Lilongwe Rural West, Machinga, Mangochi, Mzimba South and Thyolo (hereafter referred to as the 'MESIP districts').** The selection of districts was made considering their needs for additional classrooms, and two factors were considered: (i) PCR; and (ii) Pupil Qualified Teacher Ratio (PqTR). The main project beneficiaries included schoolchildren, teachers, and parents of primary schools in the participating districts, with a particular focus on girls.



Project Development Objectives (PDOs)

12. As reflected in the project's original Financing Agreement (FA) (dated September 22, 2016), the PDO was originally *'to improve the equity and quality of primary education service delivery in early grade levels with an emphasis on improved accountability and functioning at the school level.'* However, this was revised (see 'Revised PDOs and Outcome Targets' section).

Key Expected Outcomes and Outcome Indicators

13. The PDO had two objectives:

- **Objective 1:** To improve the quality of primary education in selected districts and schools
- **Objective 2:** To improve the equity of primary education in selected districts and schools

14. Progress towards the project's objectives were measured through the following key PDO-level indicators (PDIs)¹⁰ and Disbursement-Linked Indicators (DLIs):

- **PDI 1:** Number of additional classrooms built at the primary level resulting from project interventions (number);
- **PDI 2:** Increased grade-wise promotion rates in lower primary grades in targeted districts (number)
- **PDI 3:** Reduced PqTR in lower primary grades in targeted districts (percentage);
- **PDI 4:** Pilot interventions for cost-effective improvements in learning outcomes implemented;
- **DLI 1:** PqTR in Grades 1 and 2 in 8 most disadvantaged districts;
- **DLI 2:** Increase in Female to Male Teacher Ratio in Grades 6-8 in 8 most disadvantaged districts;
- **DLI 3:** Reduction in Repetition Rate in Grades 1-4 in 8 most disadvantaged districts.

15. For the Implementation Completion Report (ICR) analysis, it is important to note that the PDIs were analytically and practically interrelated across the various objectives of the PDO, as one might expect them to be, and given the results chain built for this project. As such, a number of indicators were originally mapped to more than one objective. For instance, the *'Pupil to Qualified Teacher Ratio (PqTR) in grades 1-2 in the 8 most disadvantaged districts'* indicator was originally mapped to the objectives of improved *quality* and *equity*. However, for the purpose of this ICR, indicators have been mapped against specific objectives to which they have the strongest relation, though as in the original design, one could argue that they could link to more than one. For instance, the *'Pupil to Qualified Teacher Ratio (PqTR) in grades 1-2'* indicator has been mapped to *equity* in this ICR, given (i) its focus on the 8 most disadvantaged districts; and (ii) that the DLI for Objective 1 already focuses as well on reduced PqTR. More details regarding the mapping of PDIs in this ICR will be elaborated on in Section II.B. There, the ICR will discuss the achievements of specific objectives, as is standard practice, though we acknowledge that the achievements can also be looked at holistically, in the overarching achievement of the PDO.

Components

16. **Component 1: Performance-Based School Improvement Grants for Improving Promotion and Retention (ESIP-II reform theme 3: Learner Retention) (US\$10.24 million).** Under this component, the project piloted the feasibility of improving promotion rates through addressing the inefficiencies of repetition and dropout in the primary education system through PBF and incentives, including on keeping girls in school.

17. **Component 2: Improving Equity for the Most Disadvantaged, including Girls (ESIP-II reform theme 3: Learner Retention; and reform theme 6: Education Access and Infrastructure) (US\$9.60 million).** The objective of this component was to improve schools' learning environments by reducing (i) PCRs in the 8 most disadvantaged districts, to ensure that class sizes were smaller, enabling teacher to teach 'better' and students to better focus and receive support from teachers, and (ii) teaching 'under the sun',



such that fewer teachers and students were forced to use outside open-air classrooms, which provided sub-optimal conditions for teaching and learning.

18. **Component 3: Improving Learning Outcomes, Accountability, and Cost- Effectiveness at School Level (ESIP-II reform theme 1: Early Grade Learning; reform theme 2: Teacher Training and Infrastructure; and reform theme 3: Learner Retention) (US\$6.91 million).** This component aimed to pilot cost-effective interventions by building on existing experiences of other donors, Civil Society Organisation (CSOs) and Non-Governmental Organisations (NGOs), like Development Aid from People to People (DAPP), for improving classroom management in a resource constrained environment, including by improving (i) the allocation of teachers in schools; (ii) the accountability of teachers and pupils (empowering the school) by using EMIS-HRMIS (Education Management Information System-Human Resources Management Information System) more effectively and in a new manner (building on successful United Nations Children's Fund (UNICEF)/CSO pilots); and (iii) the retention of teenage girls in Standard 6-8 through communication/awareness programs targeting communities and mother groups.

19. **Component 4: Variable Part/Disbursement Linked Indicators (US\$13.47 million).** The objective of this component was to support the development, endorsement, and operationalization of the strategic policy frameworks to (a) improve learning environment in early grades, (b) improve retention of girls in upper primary and (c) promote efficiency measures to reduce repetition in lower primary grades. The proposed areas of focus ultimately became the project's three DLIs. Specifically, (i) Reduction in PqTR in Grades 1 and 2 in 8 most disadvantaged districts; (ii) Increase in Female to Male Teacher Ratio in Grades 6-8 in 8 most disadvantaged districts; and (iii) Reduction in Repetition Rate in lower primary in 8 most disadvantaged districts.

20. **Component 5: Project Management, and Sector Program Support and Coordination (US\$4.68 million).** This component aimed to finance activities, including but not limited to core consultant staff, technical assistance (TA), recurrent costs related to the management of the project and sector program facilitation and coordination, including communication and monitoring and evaluation (M&E) and fund an independent verification of attainment of Year 3 targets for three DLIs under the variable part of funding. Component 5 was also intended to finance the establishment and functioning of a Program Facilitation Team (PFT) and capacity building of the MoE's financial management (FM), internal audit and procurement units. Further, it was to also include capacity building at the national, district and local (that is, school, community) levels to support project implementation and development of a communications strategy and plan.

21. To monitor progress under each component, IRIs were used. The project Results Framework (RF) and the IRIs under each objective, and by component are presented in Annex 1. More details regarding the project components can be found in Annex 1C.

B. SIGNIFICANT CHANGES DURING IMPLEMENTATION

Revised PDOs and Outcome Targets

22. Following the mid-term review (MTR) mission, conducted from March 18 to April 2, 2019, the PDO was slightly amended through a formal Level-II restructuring (decision date: October 9, 2019), to strengthen the alignment of the project development objective and intermediate results with the project scope. Specifically, it was reworded from *'improve the equity and quality of primary education service delivery in early grade levels with an emphasis on improved accountability and functioning at the school level'* to *'to improve quality, equity and efficiency of primary education in selected districts and schools'*. The revision provided clear linkage with the project thematic scope of both lower and upper primary levels, as well as the geographical scope of the targeted districts and selected schools. Moreover, by definition, the project sought to improve accountability, by enhancing school-level data and usage, and improve functioning, by improving school-level management and teacher behaviours, as well as community involvement in schools. Acknowledging that ultimately the project sought to enhance *efficiency*, the PDO was revised to make this



focus explicit. Specifically, in the revision of the PDO, an objective around ‘*increased efficiency*’ was added and replaced the phrase ‘*with an emphasis on improved accountability and functioning at the school level*’. Hence, post-MTR and the restructuring [Phase 2], the PDO presented with three envisaged outcomes—improved (i) quality, (ii) equity, and (iii) efficiency, of primary education—as opposed to its original two—improved quality and equity of primary education—with enhanced accountability and functioning being the means through which these two would be achieved in Phase 1 (pre-restructuring).

23. PDO-level indicators and IRIs were revised, replaced and added to the RF as needed to reflect the project activities, as is described in the following section. This ICR notes that the adjustments and additions made to the PDO and indicators were valid and consistent with the original scope and fully in line with the original project theory of change.

Revised PDO Indicators

24. Adjustments were made to four of the PDO indicators during the restructuring in 2019, as summarized in Table 1 below and as described in detail in Annex 1D and outlined in Table 12 in Annex 6.

Table 1. Changes to MESIP's PDIs at Level II restructuring

PDI	Change		Revised PDI
PDI 1	Wording was changed	Number of additional classrooms built at the primary level resulting from project interventions	Changed to ‘ <i>Number of additional standard classrooms built in selected primary schools resulting from project interventions</i> ’
PDI 2	Wording and baseline were changed	Increased grade-wise promotion rates in lower primary grades in targeted districts	Changed to ‘ <i>Grade-wise promotion rates in lower primary grades in targeted districts</i> ’ and the baseline was changed from 65.4 to 67.4 percent
PDI 3	Wording, baseline, definition and target was changed	Reduced Pupil to Qualified Teacher Ratio (PqTR) in lower primary grades in targeted districts	Changed to ‘ <i>Pupil to Qualified Teacher Ratio (PqTR) in grades 1-2 in the 8 most disadvantaged districts</i> ’ to remove the directional connotation from the indicator, in accordance with a change in the data source and data validation process, to specify a focus on teachers in Grades 1-2. The baseline and target were changed from 145:1 to 166:1 and from a 10 percent to a 20 percent reduction, respectively
PDI 4	Replaced	Pilot interventions for cost-effective improvements in learning outcomes implemented	Replaced with ‘ <i>Percent of targeted schools meeting minimum standards¹¹ of the NES 16 in the eight most disadvantaged districts</i> ’

Revised Components

25. The project components and sub-components were not revised during project implementation.

Other Changes

26. During the first Level II restructuring in October 2019, some changes were also made to the IRIs and measurement norms, and all three DLIs were integrated into the results framework for the effective measurement of the development outcomes. Two of the three DLIs for the variable tranche (Component 4) were also not part of the results framework. This change did not, however, affect the respective DLIs nor their amounts.

27. Moreover, six new IRIs were added to better reflect project results and strengthen the logical flow of the results chain.



Secondly, two IRIs were dropped, for instance, the previous ‘water facilities’ IRI since latrines also had hand washing water points through water tanks that were provided under Component 2. A number of other IRIs were also replaced with replacement indicators, and their targets updated accordingly, to better assess project results. For example, ‘citizen-feedback mechanism established in participating communities/zones’, with a baselined of ‘no’ and target of ‘yes’ was replaced with ‘number of meetings schools hold with parents in a school year’, to enable the project to track progress numerically. Minor revisions were also made to some IRIs in order to standardize the definitions and measurement of indicators in the results framework to ensure consistency with international norms and/or MESIP operational standards. This included updating baselines and targets for some indicators based on the data validation exercise that was conducted by the World Bank and Government teams from March to April 2019 and clarifying the wording of some indicators. Specific changes made to the RF can be found in Table 12 in Annex 6.

28. The project was restructured a second time (decision date: December 23, 2020) in response to the COVID-19 pandemic, in order to enable the project more time to complete activities and collect data. Under this Level 2 restructuring, two main changes were made. First, the project closing date was extended by 7 months from December 31st, 2020 to July 30, 2021. Second, whilst no changes were made to actual targets, the end target date was extended from December 31st, 2020 to July 30, 2021 for the targets which were not yet achieved and measured (PDO-Level Indicators 1, 2 and 4 were revised, as were those for a number of IRIs under Components 1 and 3). For indicators that were already achieved as of December 17th, 2020, no revisions were made.

Rationale for Changes and Their Implication on the Original Theory of Change

29. Given the changes made to the project design, a revised version of the theory of change has been created for this ICR (Figure 10 in Annex 6) in order to reflect (i) the replacement of ‘accountability and functioning’ in the original PDO with ‘efficiency’ in the revised PDO; and (ii) reworded and replaced PDIs. Several reasons justified the extension and minor changes made during the project’s two restructurings. First, the adjustments to selected PDO and IRI targets were made to reflect the progress and achievements made up to the point of restructuring and to increase the project’s ambition for the additional implementation period. Second, the 7-month extension of the project closing date allowed adequate time for all project activities to be completed and for the PDO to be achieved.

II. OUTCOME

30. **MESIP was transformational and introduced several innovative approaches**, including but not limited to the construction of low-cost classrooms which demonstrated the potential for reducing the cost of classroom construction in the country. Proving to be an efficient community-led model which fosters strong partnerships between schools and communities, this model has already been adopted by the MoE to achieve its goal to construct a number of classrooms over the coming years. MESIP set a strong foundation to accelerate progress in the sector through the follow-on project, Malawi Education Reform Programme (MERP). Traditionally speaking, Malawi has been underperforming in the education sector due to its limited resources and numerous constraints faced by the country. In those challenging circumstances, MESIP has demonstrated what is effectively possible, for instance, when schools and communities are offered resources and the opportunity to collaborate and mobilize. The scale-up of the school-community construction of low shelter classrooms will be particularly important for helping the country to solve its overcrowding and ‘teaching under the sun’ issues.

31. This ICR notes that the adjustments and additions made to the PDO and indicators were valid and fully in line with the original theory of change. Based on the changes introduced and after a careful review of the guidance from the latest Independent Evaluation Group (IEG),¹² this ICR concludes that a split rating is warranted and, therefore, the project’s overall performance is assessed according to its performance in Phase 1 (pre-restructuring) and Phase 2 (post-restructuring). This ICR acknowledges that changes to the RF were made to ensure a better measure of achievement of the PDO. Further, other changes made to the RF sought



to ensure that activities that directly contributed to the achievement of the PDO were prioritized and achieved.

A. RELEVANCE OF PDOs

Assessment of Relevance of PDOs and Rating

32. **The relevance of the PDO is rated High.** The PDO continued to be aligned with the Country Partnership Framework (CPF) (FY 21-25) throughout its implementation,¹³ in both phases of the project (pre- and post-restructuring). Details about its alignment with the (i) Country Assistance Strategy (CAS) (FY 12-17),¹⁴ (ii) 2018 Systematic Country Diagnostic (SCD) and (ii) Government of Malawi's priorities are in Annex 1E.

33. **Alignment with the CPF (FY 21-25).** The PDO (both original and revised) is directly aligned with Focus Area 3 of the new CPF (FY21-25)—'strengthening human capital development'. Under this area, the CPF has three objectives; MESIP's PDO is aligned with the second objective; *Objective 3.2. Improving learning outcomes and skills*, with a special focus on girls' education and women. The draft CPF outlines the following objectives to support the GoM to accomplish this goal: (i) grow engagement in the education sector, from early childhood through tertiary education, to strengthen systems and improve learning outcomes; (ii) implement a programmatic approach to address systemwide inefficiencies in spending and provide targeted and needs-based financing to address low overall learning at the lower primary level and gaps between schools; and (iii) foster entrepreneurship skills through targeted vocational and technical training and apprenticeships. Given its focus on improving quality, equity and efficiency in Malawi's primary education system, with the ultimate goals of securing stronger access and enhanced learning outcomes amongst primary level students in Malawi, MESIP's PDO, therefore, can be considered highly relevant at project closing.

34. The strong alignment of the PDO with the current CPF, and further, with the CAS, findings of the SCD and the Government's strategic plans (Annex 1E) justify the rating of *High* for the relevance of the PDO.

B. ACHIEVEMENT OF PDOs (EFFICACY)

35. **The Efficacy of the project is rated Substantial.** The ICR assessed efficacy based on the achievement of the project's key expected outcomes before and after restructuring, as reported in the RF and drawing from corroborating evidence. Details of the efficacy analysis, as well as the justifications for the objective-specific and overall ratings, are provided below. Additional analysis and corroborating evidence can be found in Annex 6.

Assessment of Achievement of Each Objective/Outcome

36. To assess the efficacy under each project objective, the following issues are considered: (i) the impact of the project as measured by achievements on PDIs and DLIs, based on evidence provided in the RF and other available data; and (ii) the plausible linkages (pointing to attribution) between project interventions and achieved outcomes, including by drawing from corroborating sources, where appropriate and relevant. The validity of indicators¹⁵ was also confirmed. Further discussion of the project's achievements amongst its IRIs can be found in Annex 1B.

37. **The project was successful in achieving its PDO.** Performance of the project in achieving its objectives during Phase 1 (pre-MTR and the restructuring) and Phase 2 (post-MTR and the restructuring) was assessed. Phase 1 focused on two objectives: improved quality and equity of primary education and Phase 2 on three objectives: the quality, equity and efficiency of primary education in selected districts and schools.



Objective 1: Improve the quality of primary education

Sub-rating: **High (Phase 1: High; Phase 2: High)**

38. Achievement of expected outcomes under Objective 1 is *High*. Malawi has one of the highest average class sizes in Africa, averaging around 90 pupils per class.¹⁶ Evidence indicates that large class size is one of the key factors negatively affecting learning outcomes. Importantly, quality as used in MESIP construes improved learning environments contributing to improved learning outcomes. PDI 1, 'number of additional standard classrooms built in selected primary schools resulting from project interventions', therefore, is arguably a good indicator to measure enhancements to learning environments in Malawi, improving the quality of education through reduced class sizes and improved classroom conditions—less open air classrooms for instance—which have the potential to lead to increased learning. An increased number of classrooms also contributes to reduced PqTRs, as students are spread across various classrooms, reducing the number of pupils per teacher. Increasing accessibility between teachers and students by virtue of smaller ratios also contributes to improved learning environments by better facilitating more individualized attention and focused support, with the potential to also contribute to improved learning outcomes.

39. **PDO Indicator(s):** Progress under Objective 1 is measured by PDI 1, presented in Table 7, Column 1 (Annex 6). In the table, Column 2 presents baseline values, Columns 3 and 4 present original, and where applicable, revised endline targets, respectively, and Column 5 presents the previous current status on each indicator. As will be described, the project fully achieved its target of building 500 additional classrooms, by closing.

40. **By the end of Phase 1 (achieved pre-MTR and the restructuring):** By the time the restructuring process had been concluded on October 9, 2019, PDI 1 measuring the number of additional standard classrooms built was well on its way to full achievement. Specifically, 224 out of the planned 500 classrooms had been built and construction of others was ongoing. Indeed, the completion rate at all sites at the time was above 50 percent (roofing stage), and the project team expressed confidence that the end target of 500 classrooms would likely be achieved given this progress.¹⁷ Given this, progress on this PDI at the end of Phase 1 is rated as High.

41. **By the end of Phase 2 (achievements by project closing):** Significantly more progress was made on this PDI and there were significant improvements to the quality of primary education on account of MESIP, indicating High progress on this PDI as well during Phase 2.

42. **Improved learning environments:** The project fully achieved its target of providing additional classrooms in selected primary schools. A total of 500 new classrooms were built, which meant that some schools which previously had no permanent structures (such as 'Kanzabwino' in Dedza; 'Mankhamba' in Lilongwe Rural West and 'Mwaye' in Mangochi), now have adequate facilities within which to conduct quality teaching and learning. The project also supported construction of temporary low-cost learning facilities (learning shelters/sheds) to improve the conditions within schools using school-based grants (base grants and performance-based grants), in Standards 1 to 4.¹⁸ In addition to the main SIG grants through PSIP, 800 schools received base grants, and 340 schools received performance-based grants. These were to be used to implement activities from school improvement plans (SIPs)—the goal being to improve schools; learning environments and improve promotion and reduce retention rates. During the MTR, the project decided to track the number of low cost learning facilities built by communities using school grants based on approved low cost infrastructure design. In total, an additional 1,345 low-cost learning facilities (against a target of 1,000) were built.

43. Together, these facilities have accommodated more than 79,500 pupils in Standards 1–4,¹⁹ facilitating the decongestion of classrooms—EMIS 2020 data indicates that the average PCR in Malawi was 126:1—and the ability for teachers and students to not have to teach and learn 'under the sun', by reducing the number of lessons conducted outside, and the number of teachers and



students exposed to harmful rays of the sun or poor weather patterns. Proving to be a more economical²⁰ and perhaps even more efficient way of improving school infrastructure—as compared to more traditional contractor-constructed—interestingly, it was observed that some communities even started converting shelters into full classrooms. Further, given the success of this initiative, communities in non-MESIP schools have copied the intervention and begun constructing learning shelters as a way of reducing congestion and overcrowding.

44. Significant achievements were also made with regard to the number of sanitary facilities constructed in target schools. In total, 330 facilities were built (against a target of 342),²¹ 115 for boys and 215 for girls, to contribute to improved learning conditions. These results, also discussed under Objective 2, are also likely to have contributed towards enhanced equity—especially for girls—given that the lack of appropriate sanitary facilities has been identified as a constraint to girls’ education in the country.

45. **Improving learning outcomes:** To further improve quality, the project supported development of systems for regular assessment of student learning. The conduct of such tests and the collection, analysis and dissemination of results are crucial for improving the quality of primary education in Malawi moving forward, as it will allow schools, communities, parents, teachers and government officials, amongst others, to understand what schools are achieving in terms of test results, and suggested areas of improvement. A framework for conducting low stake zonal tests was endorsed, and common zonal tests were conducted in grades 3 and 4 in the eight most disadvantaged districts with support from the project. The conduct of such tests and the collection, analysis and dissemination of results will be crucial for improving the quality of primary education in Malawi moving forward, as it will allow schools, communities, parents, teachers and government officials, amongst others, to understand what schools are achieving in terms of test results, and suggested areas of improvement. For this reason, this initiative will be scaled up under the upcoming MERP project.

46. **There is strong evidence that the project-supported interventions had an impact on learning outcomes.** Firstly, using data from the Malawi Longitudinal School Survey (MLSS) conducted in 2016 and 2021, pre- and post-project period comparison of learning outcomes in MESIP districts was conducted. The analysis shows that MESIP helped underperforming MESIP districts catch up in learning (see Figure 7 in Annex 6). To further examine attribution, a similar pre- and post-project comparison of learning outcomes in non-project districts was conducted and the results were then contrasted with the improvements observed in MESIP districts. The analysis again showed that MESIP helped substantially close the gap in learning between the 8 most disadvantaged districts and the non-MESIP districts. Figure 8 in Annex 6 demonstrates that at baseline, the 8 districts lagged behind the 22 districts, but by endline, the gap had largely closed.

47. **The gap between students’ scores in English, Math and Chichewa between the 8 MESIP districts and the remaining non-MESIP districts in Malawi reduced from an average of 35 to three points** (see Figure 4 in Annex 4), indicating a transformational increase in test scores. The 8 districts started with a lower scores at baseline (397.88) as compared to non-MESIP districts (422.98).²² Endline data suggested that test scores in both districts improved between 2016 and 2020. Test scores in the 8 MESIP districts, however, increased by an average of 34.74 (ranging from 27.93-43.31) points more, than non-MESIP districts, equivalent to more than 0.2 standard deviations—the standard for a highly effective impact (see Figure 14).

48. **Importantly, improvements in PqTRs, particularly lower primary PqTRs, appears to have been one of the drivers of the gains.** It appears that the results-based financing incentives—which were targeted exclusively to the 8 districts—contributed to some of the positive changes in learning outcomes. By focusing on the allocation of ‘new’ teachers to schools with high PqTRs, it would seem that the corresponding huge reduction in PqTRs in targeted districts supported the Government to meet targets for PqTR-related DLIs, with this sharp reduction driving some of the gains in test scores. Lower PqTRs contribute to improving learning environments, by reducing the number of students per teacher, and hence increasing teachers’ abilities to give and students’ abilities to receive, more individualized instruction and assistance from teachers. MESIP reduced the PqTRs in Grades 1 and 2 in the



eight most disadvantaged districts significantly more than planned [DLI 1]. Against its target to reduce the number of pupils per qualified primary school teacher by 20 percent, from 166:1 to 132:1, the project reduced it by 34.9 percent, from 166:1 to 107.3:1, reflecting an achievement of 171 percent. Further analysis using EMIS 2016-2020 data confirms this achievement. Figure 18 in Annex 6 shows the regression results for PqTRs in standards 1 and 2. PqTRs went down by 25 students-per-teacher more in MESIP districts than in other districts over time. This in part reflects a general improvement in PCRs across grades (see Figure 19 in Annex 6).

49. Together, these analyses provide strong evidence on the project's important role in significantly improving the quality of primary education in Malawi, contributing to substantial improvements in test scores within MESIP districts, and thus providing a strong basis for the rating of *High* for efficacy under Objective 1.²³

Objective 2: Improve the equity of primary education

Sub-rating: **Substantial** (*Phase 1: High; Phase 2: Substantial*)

50. MESIP sought to enhance equity by working to ensure that the schools most in need, in the districts most in need, were able to access resources and use them to improve. This was a critical step for enabling disadvantaged students, in particular, to access schools that were, at the very least, meeting a minimum acceptable level of provision, and better equipped to meet their needs and be more transparent and accountable for their learning. Hence, PDI 3 which sought to increase the '*percent of targeted schools meeting minimum standards in National Education Standard (NES) 16 in the 8 most disadvantaged districts*', was crucial. In addition, PDI 2 which sought to decrease the '*pupil to qualified teacher ratio in grades 1-2 in the 8 most disadvantaged districts*' captures the accessibility between teachers and students, by virtue of smaller ratios which would better facilitate more individualized attention and focused support. Reducing the current disparities in qualified teacher supply especially in the lower grades will ultimately promote equity in the learning outcomes across advantaged and disadvantaged districts. Hence, these two PDIs are important and valid measures of the impact of the school-strengthening support provided by MESIP to improve equity in primary education in Malawi, in combination with the project design which specifically focused on disadvantaged districts and disenfranchised students.

51. **Focus on equity through project design.** Notably, the project design in and of itself sought to enhance equity. More precisely, it engaged in robust targeting of the neediest schools across the 8 most disadvantaged districts, being careful to target the most disenfranchised primary school students in Malawi, specifically, students from low-income households, girls and children with disabilities. It sought to *reduce* the PqTR in grades 1-2, repetition rates in grades 1-4 (with a focus on girls) and dropout rates for girls in grades 5-7; *increase* the female to male teacher ratio in grades 6-8, grade-wise promotion rates in lower primary grades, the percentage of targeted schools meeting minimum standards in NES 16 and the number of low-cost learning facilities built for lower primary; and *ensure* that common zonal tests were conducted in grades 3 and 4, all in the neediest schools across the 8 most disadvantaged districts in Malawi (see Table 5 in Annex 1).

52. **PDI Indicator(s).** Progress under Objective 2 is measured by PDIs 2 and 3, presented in Table 8, Column 1 (Annex 6). By closing, the project substantially achieved its targets for these PDIs, as will now be described.

53. **By the end of Phase 1 (achieved pre-MTR and the restructuring):** During phase 1, the end target for the PqTR PDI (PDI 3) had already been met, with 123 pupils to 1 qualified primary school teacher as of October 31, 2018. Moreover, the original PDI 4 ('*Pilot interventions for cost-effective improvements in learning outcomes implemented*') had also already been achieved ('Yes') during Phase 1 (as October 22, 2018). Therefore progress during Phase 1 is rated as High, given that both of the original PDIs had been achieved before the restructuring.



54. **By the end of Phase 2 (achievements by project closing):** Exceedingly more progress was made on the reduction of PqTRs in Grades 1-2 in the 8 most disadvantaged districts (PDI 3) during Phase 2, and data collection had begun for the replaced PDI 4 (*'Percent of targeted schools meeting minimum standards'²⁴ of the NES 16 in the eight most disadvantaged districts*) at the onset of Phase 2. The project made substantial progress in against this indicator, however, by project closing, the target was not fully achieved. On the other hand, the PqTR PDI was exceeded. Considering these discrepancies in achievement together with the project's design which in itself sought to improve equity in primary education—by targeting the most disadvantaged districts in Malawi—this ICR has rated phase 2 achievement of Objective 2 as *Substantial*.

55. **Progress on reducing the Pupil to Qualified Teacher Ratio (PqTR).** The project reduced the PqTR in Grades 1 and 2 in the eight most disadvantaged districts [also DLI 1] significantly more than planned. Against its target to reduce the number to pupils per qualified primary school teacher by 20 percent, from 166:1 to 132:1, the project reduced it by 34.9 percent, from 166:1 to 107.3:1, reflecting an achievement of 171 percent. Reducing the number of students per teacher is particularly important for equity by ensuring that teachers are able to give students the attention they require, in order to meet their individual learning needs by virtue of identifying their areas of strength and weakness, enabling them to more accurately identify and teach to individual student needs, ultimately giving students more individualized instruction and assistance. Moreover, PqTR is seen as one of the most important determinants of improved learning, and correlation tests show evidence of an inverse correlation between the PqTR and the PSLCE results. Thus, with improvements in PqTR, it is anticipated that learning outcomes will improve in the long run, and this has been substantiated by evidence of improved test scores amongst MESIP districts and between MESIP and non-MESIP districts (see Paragraphs 46 to 48). Given the discrepancies in learning between students in the 8 most disadvantaged districts, and not, this is particularly important, therefore, for improving equity in learning.

56. **Progress on the percentage of schools meeting minimum standards.** Increasing the percentage of schools meeting minimum standards is a good indicator to measure equity by reflecting enhancements made at the school level by those in leadership positions, to ensure that schools are 'up to par', based on the standards laid out by the MoE. Importantly, the minimum standards call for the open display of key school information to ensure transparency and the availability of mechanisms to monitor learner and teacher school attendance, which can be used to hold schools and districts more accountable for ensuring a high quality of schooling for all learners across all districts. The target for the percentage of schools meeting minimum standards was to increase the percentage from 62.70 to 78.38. However, this improved to 71.10 percent and was, therefore, partially achieved. This achievement ought to be viewed, however, in the context of Malawi—traditionally known to be underperforming, and suggests that the final target—which did not vary by district—might have been too ambitious. Beyond that, delays and a shortened implementation period might also account for the limited progress in this PDI. Initial delays in the implementation of some equity-related interventions (e.g., SLP for headteachers and their deputy headteachers across the country to introduce best practices in school leadership, as highlighted under NES 16) and later on the prolonged disruption to schooling due to the COVID-19 pandemic cut short the time available to see the project's inputs, activities, and certain outputs translate to improved equity.

57. **MESIP also achieved reduced repetition and dropout rates.** MESIP exceeded its target of reducing the repetition rate in grades 1-4 in the 8 most disadvantaged districts [also DLI 3] from 23.70 percent to 20.97 percent, against a target of 21.30 percent.²⁵ As it pertains to girls specifically, it also exceeded its target; repetition rates decreased from 23.20 percent to 20.77 percent, against a target of 20.90 percent.²⁶ Indicative of the extent to which project activities were successful in bringing students (and girls in particular) back to school, a focus on improving students' access to education, and focusing on those more vulnerable to repetition (like girls) contributes to enhancing equity. The project also exceeded its goal of reducing dropout rates. Dropout rates reduced from 27.10 percent to 15.83 percent, against its target of 16 percent.²⁷ Considering the Covid-19 pandemic which resulted in months of school closure and tremendous difficulty getting students back into school after being out for long periods of time, these achievements are particularly noteworthy.



58. **The project fully achieved its target of improving the female to male teacher ratio in grades 6 to 8 in the eight most disadvantaged districts [also DLI 2],** increasing it from 0.31 to 0.34, against a target of 0.34. Evidence has indicated that gender sensitive school environments tend to increase the participation and learning of both boys and girls, with the presence of adequate numbers of female teachers, particularly in leadership positions, benefiting learning particularly for girls.²⁸ Given the positive impacts of female teachers on both boys and girls, these results have also contributed towards enhanced quality of primary education, by improving the learning environment for all students, but especially girls.

59. To further enhance equity, MESIP took into account ‘gender’ and ‘vulnerable groups’ in an effort to ensure investment benefits could be shared. Some other noteworthy ways in which MESIP contributed to enhancing equity, albeit more indirectly, include the following:

- **Construction of low-cost learning facilities.** The construction of low-cost learning facilities was intended to increase the availability of schools for all students, with a special focus as well on ensuring that schools were more easily accessible to girls, by reducing the distance they had to travel to attend. Together, these facilities have accommodated more than 79,500 pupils in Standards 1-4, enabling them to move from learning in an open space to a sheltered one. Proving to be a more economical²⁹ and perhaps even more efficient way of improving schools’ infrastructure—as compared to more traditional contractor-constructed—interestingly, it was observed that some communities even started converting shelters into full classrooms. Further, given the success of this initiative, communities in non-MESIP schools have copied the intervention and begun constructing learning shelters as a way of reducing congestion and overcrowding. Moreover, in the design and construction of classrooms under Component 1, MESIP also took steps to ensure that all were accessible to children with physical disabilities. The construction of additional schools, and the inclusion of ramps and other accessibility features in the construction of all new school facilities is important for inclusion, and thus, equity.
- **Training program.** The training program for Headteachers (HTs), Deputy HTs, PEAs, and teachers under Component 3 included a module on building school cultures inclusive of girls, overage students, and students with special needs. In total, MESIP trained 1,598 HTs and Deputy HTs against a target of 1,600.
- **Girls’ education.** MESIP also maintained a strong emphasis on girls’ education throughout its design and activities, in its effort to promote equity amongst male and female students. For instance, in the construction of low-cost learning facilities, 542 change rooms were constructed for girls’ sanitary needs, with the aim of improving retention rates amongst girls in upper classes. Additionally, as discussed earlier (see Paragraph 44) MESIP significantly achieved its target of building 342 sanitary facilities at the primary level. More precisely, 330 facilities were built, 115 for boys and 215 for girls, with the aim of improving the retention of teenage girls in Standards 6-8. Given that the lack of appropriate sanitary facilities has been identified as a constraint to girls’ education in the country, MESIP’s achievement, albeit partial, in this regard, has enhanced equity via girls’ improved access to adequate and appropriate sanitary facilities. Moreover, it provided support to Mother’s groups to similarly encourage the attendance and retention of female students.

60. **Attribution.** Further analyses of the impact of MESIP interventions on PqTRs was conducted using EMIS 2016-2020 data and indicates that MESIP significantly reduced the gap in PqTRs between the 8 most disadvantaged and other districts. More precisely, by project completion the average PqTR in the most disadvantaged districts was only 4 percent higher than in non-MESIP districts, as compared to its original 20 percent higher (see Figure 5 in Annex 4). Figure 18 in Annex 6 also shows the regression results for PqTRs in standards 1 and 2. PqTRs went down by 25 students-per-teacher more in MESIP districts than in other districts over time. This in part reflects a general improvement in PTRs across grades (see Figure 19 in Annex 6).

61. Overall, these analyses provide additional corroborating evidence on the project’s important role in significantly improving the equity of primary education in Malawi, by ensuring more ideal ratios between students and teachers in the 8 most



disadvantaged districts and increasing the number of schools meeting minimum standards. Improvements in PqTR, are especially important, given aforementioned findings between its improvement and increases in test scores.

Objective 3: Improve the efficiency of primary education

Sub-rating: **Substantial (Phase 1: N/A; Phase 2: Substantial)**

62. MESIP sought to improve efficiency within schools through enhanced accountability and functioning, specifically, through the more efficient use of school resources, motivation and incentivization of teachers to improve school performance and curating an inclusive school culture for students. It was expected that this would contribute to increased promotion rates and reduced repetition and dropout rates, enabling students were in better functioning schools more, and potentially helping them to attain their maximum learning potential. Hence, PDI 4 which sought to increase the 'grade-wise promotion rate in lower primary grades in targeted districts' was a valid indicator to measure its progress in this regard.

63. **PDI Indicator(s):** Progress under Objective 3 is measured by the progress made on PDI 4, presented in Table 9, Column 1 (Annex 6). By project closing, this PDI had been achieved, as will now be described in detail.

64. **By the end of Phase 1 (achieved pre-MTR and the restructuring):** This was not an objective during Phase 1 of the project, and has not been assessed.

65. **By the end of Phase 2 (achievements by project closing):** 'Improved efficiency' of primary education was added as another objective during Phase 2. The project made Substantial progress on this PDI.

66. **Improved grade-wise promotion rates in lower primary:** The achievement of Objective 3 is rated *Substantial*, based on progress made on the indicators in the RF and corroborated by additional evidence drawn from the revised cost of classroom construction from building on this new model. The project's achievements on the grade-wise promotion PDI was exceeded. The project's impact under this PDI is further elaborated below.

67. With regard to increasing the percentage of students promoted to the next grade, the project exceeded its target, achieving 68 percent against a target of 67.40 percent. Malawi struggles with high repetition and dropout rates. Hence, this achievement indicates improved internal efficiency at the school-level, through enhancements in school accountability and functioning, resulting in more students advancing through the education system, as opposed to repeating or dropping out.

68. Other achievements regarding efficiency are also noteworthy. For one, the construction of low-cost learning facilities under Component 1 of MESIP (also discussed in Paragraphs 42, 43 and 59) also constitutes a large improvement in the efficiency of the education system, by (i) creating a new innovative design by which to reduce the cost of classroom construction in Malawi which can be replicated; and (ii) demonstrating the importance of trusting and empowering schools and communities to use the grants to mobilize and collaborate, strengthening their cooperation and demonstrating how efficiently and effectively they can work together to improve schools, particularly with regard to improving infrastructure.

69. **Attribution.** MESIP also trained headteachers and deputy headteachers on managing school resources and leadership skills in order to enhance accountability for improving performance at the school level through the SLP. Further analyses of the impact of this MESIP intervention to improve efficiency within schools were conducted as a randomized controlled trial (RCT), with 800 schools in the treatment group and a further 800 in the control group in rural schools in Malawi. Findings indicate that exposure to the intervention (SLP) produced significant improvements in English and Mathematics test scores for a longitudinal sample of students. Shown in Table 10 (Annex 6), findings indicate that students in (or tracked from) treated schools achieved scores an



average 12 points higher in English, equivalent to around 0.1 standard deviations. The effect is dominated by Math scores which were 13 points higher in treated schools, with English scores also increased but not significantly. The authors also found evidence that the intervention significantly reduced repetition, driven in part by large and significant reductions in Standard 4 (Table 11 in Annex 6). Figure 22 and Figure 23 in Annex 6 lend further support to these findings, demonstrating that the SLP training significantly improved learning outcomes for older students (by an equivalent of about 100 days' learning) and reduced repetition in lower primary. This shows that a multiphase intervention combining quality classroom training with follow-up visits and refresher training can contribute to improvements in school leadership, and that these improvements can ultimately lead to improvements in student test scores and progression.

70. Moreover, conventional classroom construction in Malawi has typically been expensive with an average cost of more than \$40,000 for a two-classroom block and prone to significant delays. Estimates suggest Malawi requires more than 45,000 classrooms just bring all schools to a pupil-classroom ratio below 90, an impossible goal under the previous cost model. Building on MESIP's remarkable innovation of using SIGs for school- and community-led construction, a new efficient low-cost classroom model with a reduced cost of approximately USD\$15,000 per classroom block (consisting of two classrooms) has been adopted by the MoE and NESIP 2020-2030, which includes a target of constructing 40,000 such classrooms by 2030. It has also been taken up in the upcoming MERP project which will support the construction of 10,900 such classrooms, which if achieved will constitute a rapid uptick in the pace of new classroom construction. The adoption of low-cost community construction of classrooms as a norm, therefore, constitutes a large improvement in the efficiency of primary education expenditure and construction in Malawi.

Justification of Overall Efficacy Rating

71. **The overall efficacy rating of the project is rated Substantial.** The analysis shows that MESIP made High progress during Phase 1 regarding the construction of classrooms, and by the closing of the project, had enhanced learning environments, and contributed to improvements in learning outcomes. This represents a remarkable achievement of MESIP schools and districts, justifying an overall rating of *High* for efficacy for Objective 1. On improved equity, the project also made substantial gains, especially during Phase 1, during which it achieved two of its PDIs. Though the project did not achieve its target related to the newly added PDI—increases in the percentage of schools meeting minimum standards—by the end of Phase 2, it surpassed its target of reducing the PqTR in grades 1 to 2. As a result, there are fewer students per teacher which can help to ensure that students get the time and assistance they need from teachers, to enhance their learning. Further, given that the project design in itself sought to enhance equity by focusing on the neediest schools in the most disadvantaged districts, Objective 2 is given a rating of *Substantial*. Finally, the project's success in increasing grade-wise promotion rates and constructing low-cost classrooms is a very important result that will likely have long-term positive implications in improving the efficiency of education in the country. The project's contributions to increased efficiency ensures that more students are moving through the primary education system and learning in better conditions, thereby increasing their potential for increased future learning outcomes and overall academic success. As a result, Objective 3 is rated as *Substantial*. On balance, therefore, the overall efficacy rating of MESIP is assessed to be *Substantial*, as demonstrated in Table 2 below.

Table 2. Efficacy rating

	Objective 1	Objective 2	Objective 3	Overall
Rating by end of Phase 1	<i>High</i>	<i>High</i>	<i>N/A</i>	<i>Substantial</i>
Rating by end of Phase 2	<i>High</i>	<i>Substantial</i>	<i>Substantial</i>	
Overall rating	<i>High</i>	<i>Substantial</i>	<i>Substantial</i>	



C. EFFICIENCY

Assessment of Efficiency and Rating

72. **Efficiency under the project is rated Substantial.** To assess the project efficiency two types of analysis are conducted: (i) economic analysis; and (ii) implementation efficiency analysis. The key findings and the rationale for the overall rating are summarized below, whilst a more detailed analysis is included in Annex 4. Whilst the achievements of PDIs were evaluated as a split, for the purpose of the efficiency analysis, it was deemed appropriate to assess the project's impact overall on a continuum, from beginning to closing.

73. Economic analysis: There are at least two channels through which the project could improve the labor market outcomes of beneficiaries: (i) higher level of retention in primary school may lead to increased years of schooling; and (ii) improved learning outcomes may lead to a higher level of cognitive skills—both of these channels have been shown to have a positive impact on employment and wages in the labor market. In the case of MESIP, the CBA for this ICR focuses only on the gains that could arise through the first channel (i.e., increased years of schooling due to higher levels of retention) as the project did not include indicators on learning outcomes. Utilising a cost-benefit analysis (CBA) of the project investments and taking into account full project cost, it shows substantial net positive returns through increased years of schooling due to higher levels of retention). The economic analysis also looks at the potential positive externalities of the project and found the following key results: (i) the Net Present Value (NPV) is estimated to be US\$158.8 million during the period 2021-2066³⁰ with an estimated internal rate of return (IRR) of 17 percent, representing a significant expected positive return for the project investments; and (ii) MESIP target schools had caught up and even managed to outperform their neighbours (schools located within 4 km radius from them) in terms of student retention, before and after the project. More details on both can be found in Annex 4.

74. Implementation efficiency: In terms of implementation efficiency, there are several areas of strengths observed under the project (detailed in Annex 4), including: (i) clearly defined implementation arrangements which laid a strong foundation for efficient implementation of the project interventions; (ii) minimal differences between expected and actual spending during project implementation (see Annex 3); (iii) a restructuring of the project (which included an extension of the project closing date) which allowed for the full utilization of project funds; at project closing, disbursement under the project was 97.23 percent and all planned activities had been fully completed; and (iv) few undisbursed funds at project closing; in total, US\$44.9 million was allocated to MESIP [TF A2913] and disbursement stood at US\$43.658 million, representing 97.23 percent of the total TF, whilst US\$1.242 million remained undisbursed (as of February 28, 2022).

75. Moreover, under Component 1, a new model of low-cost community-constructed classroom was introduced with a much lower unit cost, enabling more rapid and wider-scale construction of classrooms. This is a particularly important achievements considering that conventional classroom construction in Malawi has typically been expensive and prone to significant delays. MESIP's new efficient low-cost classroom model boasts a reduced cost of approximately USD\$15,000 per classroom block (consisting of two classrooms), as compared to the standard cost of more than \$40,000 for a two-classroom block, constituting a large improvement in the efficiency of primary education expenditure and construction in Malawi.

76. However, there are also gaps in implementation efficiency that may have reduced the project's cost-effectiveness and impact. Specifically, there were initial delays in the implementation of several project interventions, including classroom construction and the SLP for headteachers and deputy headteachers. Some of the delays were due to unforeseen challenges (e.g., an initial delay in civil works in the initial phase due to poor geographical terrain—rendering some schools inaccessible—and delays during implementation due to the general elections in 2019 and 2020 and teacher strikes), while others resulted from project design and implementation issues. For example, there were some problems with 'packaging' of schools for construction activities. Some



schools were packaged together (approximately 3-5 per group) based on being in the same geographic location. Despite this, some of them were still quite far apart, making contractors' movement from one site to another, difficult. As a result, there were delays in construction and eventually contractors opted to start with 1 school then move on the next—instead of mobilizing all of the sites—which meant that some schools experienced significant delays. The project was also extended which is likely to have increased associated operational costs from the Government side. However, the extension was further necessitated given the COVID-19 pandemic which resulted in disruptions to schooling. It also allowed the districts to capitalize on the investments made up to the point of project restructuring, achieve some of its PDIs and IRIs, and delivery outputs under all objectives, resulting in the project exceeding final targets by a substantial margin in some instances.

77. **Efficiency rating.** Overall, the efficiency under the project is rated *Substantial* based on the following reasons. Significant economic returns and positive externalities are expected due to the project's achievements in improving access to primary education, especially for girls, as well as through its modelling of a low-cost design for the construction of classrooms in Malawi (see paragraph 70). Overall, MESIP delivered on what it sought to deliver and disbursed almost fully (97.23 percent), despite initial delays in implementation and disbursement as a result of a number of factors, including but not limited to election disruptions in 2019 and 2020, the need to complete some steps before embarking on planned activities (e.g., SLP training³¹) and the COVID-19 pandemic which necessitated an extension of the closing date. The project also suffered from limited inaccessibility to and within some schools due to flooding, which resulted in initial delays in some civil works. While the project did not directly measure achievements in learning outcomes, longitudinal school survey data provides some evidence of improvements (see Paragraph 46), which suggests that additional economic gains might arise as a result of the project. Potentially positive results might be observed in future learning assessments, even though the disruption due to COVID-19 raises the risk of learning loss among students, and in particular, girls. On balance, based on the available evidence, the project's efficiency is rated as *Substantial*.

D. JUSTIFICATION OF OVERALL OUTCOME RATING

78. **The project is given an overall outcome rating of Satisfactory.** MESIP called for reforms at the larger systemic level, which required a lot of foundational change. The project's ratings for relevance, efficacy, and efficiency are summarized in Table 3, using the split rating methodology. As the table shows, the overall outcome rating is Satisfactory, based on the weights (i.e., the percent of financing disbursed at each stage), and given ratings of *High* for Relevance, *Substantial* for Efficacy and *Substantial* for Efficiency.

Table 3. Summary of project efficacy ratings

Rating Dimension	Original objectives	Objectives after first restructuring
Relevance of Objectives	High	
Efficacy		
Objective 1: Improved quality of primary education in selected districts and schools	High	High
Objective 2: Improved equity of primary education in selected districts and schools	High	Substantial
Objective 3: Improved efficiency of primary education in selected districts and schools	N/A	Substantial
Overall Efficacy	High	Substantial
Efficiency	Substantial	
Outcome Rating	Satisfactory	Satisfactory
Outcome Rating Value	5	5
Amount Disbursed (US\$ million)	31.34	13.56
Disbursement	0.698	0.302



(%)	70%	30%
Weight Value	3.49	1.51
Total weights	5.0	
Overall Outcome Rating	Satisfactory (5.0)	

79. The project is rated *High* on relevance as it was highly relevant at the time of appraisal and remains so at project closing, as illustrated by its alignment with the CPF, CAS, the latest SCD and the Government's strategic plans for human capital development. The project is rated *Substantial* for efficacy. Remarkable achievements have been observed under Objective 1, notably in the improvement of learning environments—including for the most marginalized girls. Similarly, under Objective 2, the project substantially achieved its objectives pertaining to equity, by successfully targeting the most disadvantaged schools and districts and reducing PqTRs, and making partial progress on the percentage of schools meeting minimum standards. On Objective 3, the project achieved improved efficiency, including through a successful increase in grade-wise promotion and the construction of low-cost classrooms, an important achievement that will have important implications for the construction of classrooms across the country. In terms of efficiency, the project is rated *Substantial*. On the positive side, the project's achievements in improving learning environments and increasing retention rates to primary education are expected to generate significant economic returns in the long run by improving the labor market outcomes of beneficiaries and through positive externalities associated with primary schooling for girls and children with disabilities.³² The project also met its expected spending, almost exactly, hence completing all activities without going over budget.

E. OTHER OUTCOMES AND IMPACTS (IF ANY)

Gender

80. Improving girls' access to and participation in primary education was a primary focus of MESIP. In many of the MESIP districts, girls face significant disadvantages in their access to quality schooling. In the PAD, there was a recognition that both demand- and supply-side interventions (e.g., barriers related to household poverty and harmful social norms that undervalue girls' education, such as the promotion of early marriage and pregnancies) would be critical to improving girls' school attendance and learning. Given the existence of other DPs working on girls' education in the country,³³ and primarily on the demand-side, MESIP focused more on supply-side constraints in the project design. Key interventions included PBG grant incentives for improving promotion and retention and reducing dropout rates particularly amongst girls, the construction of classrooms and sanitary facilities and change rooms to facilitate girls' access to appropriate sanitary facilities—thereby reducing the distances they had to travel to attend and increasing their levels of comfort whilst in school—and campaigns to raise community awareness and mobilize them and mother's groups to lend support to the retention of teenage girls. As evidence in the literature shows, improvements in girls' education—an important achievement on its own—can have lasting positive impacts on girls' social, economic and health outcomes.

81. MESIP also sought to increase the share of female teachers as compared to male teachers in primary education, given their importance for girls' education, and a lack of them in rural areas, in particular. In 2015, the female-to-male ratio in the teaching force was 0.93 females for every male teacher in Malawi as a whole. However, this national average masked huge disparities in female teacher allocations across districts and between schools in districts. More precisely, female-to-male ratios ranged from 12.7 female teachers to 1 male teacher in urban areas, to as low as 0.24 female teachers to 1 male teacher in rural areas. Further, approximately 15 percent of schools in Malawi had no female teacher at all.³⁴ In response, MESIP included two DLIs in its design to promote key policy and system-wide reforms to improve the female-to-male teacher ratio. DLI 1 focused on the development of a national policy on the deployment and distribution of teachers was to maintain a focus on female teachers and the revision of rural allowances. DLI 2, more explicitly focused on the development of a national plan for the implementation of cost-effective measures



to be implemented at the school level to reduce repetition and dropout rates, identifying the importance of placing more female teachers, especially in upper primary grades, towards achieving this goal.

Institutional Strengthening

82. Institutional strengthening was built into MESIP-supported interventions and supported under a separate Component 5. The project directly supported capacity building interventions by training project staff at the national and local levels to ensure effective management and implementation of the project. In key technical areas where the Government lacked capacity, the project supported the recruitment of specialized consultants to strengthen the capacity of national and district implementation teams, which has the potential to lead to the transfer of knowledge and skills to national and local government officials.

83. The project design and implementation also placed a strong emphasis on strengthening M&E systems. To this end, the project supported schools to utilize the Education Management Information System (EMIS)-Human Resources management Information System (HRMIS) more effectively, empowering them to collect, analyse and use data in order to be more accountable. By building on the M&E arrangements already in place under ESIP-II, with the MoE functioning in an M&E capacity, MESIP also contributed to enhancements of the EMIS system. In addition, the project contributed towards the development of the MLSS, in order to support EMIS and provide data for the impact evaluation of MESIP. This was a crucial achievement as it monitored changes across the sector and provided an entry point for discussions on difference between data sources in Malawi, which is an important step for understanding national education achievements in the country. Hence, the support provided under the project and the achieved system strengthening outputs are expected to have lasting effects on the M&E systems of MESIP districts.

84. In addition, the project provided significant support to build institutions that enable local management of schools, specifically by providing SIGs and PBF grants and training headteachers, deputy headteachers and community members. Building on achievements under MESIP, schools in Malawi are becoming more transparent, taking steps to define and display their mission, vision and objectives, and accountable, by developing and implementing SIPs—utilizing the additional resources offered to them under the project. Further, schools and communities are collaborating more, especially with regard to the construction and rehabilitation of school infrastructure, utilizing construction skills learned under MESIP. These are important steps forward towards strengthening school leaders' and communities' ownership of schools and instilling a higher level of accountability at the school- and community-level. MESIP's achievement in this area also puts in place an important institutional structure that can be used to continue to directly support schools (e.g., by providing SIGs and PBF grants and training communities to do construction) effectively through ongoing and future Government, DP and World Bank-supported operations (e.g., the recently approved MERP project).

Mobilizing Private Sector Financing

85. The project did not mobilize financing from private sector firms.

Poverty Reduction and Shared Prosperity

86. The project's achievements towards improved quality, equity and efficiency of primary education are likely to contribute towards the two larger objectives of the World Bank—reducing poverty and boosting shared prosperity. Improvements in primary education due to these project interventions has the potential to lead to improved learning environments across schools, retention of students and students' cognitive skills through enhanced learning and skills development, and hence, human capital formation. Human capital formation is, in turn, a necessary condition for poverty eradication and the promotion of equitable and sustainable economic development, given that improvements in human capital is an important channel through which important economic benefits can arise in the long run, including through increased income for beneficiaries. For most beneficiaries, who are likely to stay in school, these benefits have yet to be realized. However, a CBA of the project shows that significant gains can arise from project



interventions through this channel (see Annex 4). MESIP, therefore, is likely to have helped the primary education sector in Malawi equip children with knowledge and competencies that potentially make them more productive and capable of future higher earnings, which can thus potentially reduce poverty and increase shared prosperity at the country level. The project also targeted disadvantaged districts in Malawi, many of which were significantly lagging in key human capital outcomes; and the low levels of retention and poor learning outcomes were important contributors to the human capital deficit. Within these districts, selected interventions under MESIP targeted girls and children with disabilities, arguably some of the most disadvantaged groups in the country. In so doing, MESIP is likely to have contributed towards shared prosperity in the long-run by helping close the border divide, as well as by reducing disparities between genders, abilities and across income groups.

Other Unintended Outcomes and Impacts

87. Not applicable.

III. KEY FACTORS THAT AFFECTED IMPLEMENTATION AND OUTCOME

A. KEY FACTORS DURING PREPARATION

88. The MESIP design and preparation process provided a sound foundation for the project, which was informed by the key factors described below.

89. **Appropriate targeting of beneficiary groups.** MESIP targeted particular interventions (Components 1 and 2) to the eight most disadvantaged districts: *Chikwawa, Dedza, Kasungu, Lilongwe Rural West, Machinga, Mangochi, Mzimba South and Thyolo*. The selection of these districts was made considering their needs for additional classrooms, and two factors: (i) PCR; and (ii) PqTR. Ultimately, a focus on these districts led to meaningful results and to reducing significant gaps in these respects. Owing to their experimental nature, each of the Component 3 sub-components was targeted at a random selection of schools in all districts in Malawi: 800 schools for each of Component 3.1 and 3.2, and 100 communities in the case of Component 3.3. The project's primary beneficiaries were students and parents of students who attended primary schools in the participating districts (with a particular focus on girls), the teachers and school staff who received training and PBF grants, communities trained to construct schools and targeted to be involved in awareness campaigns, as well as younger cohorts of children who entered primary school during the project life. Indirect beneficiaries included national and sub-national government parts, Local Education Group (LEG)s, as well as members of SMCs and the communities they represent.

90. **Robust technical design with some noteworthy areas of potential improvement.** The technical design of the project was robust and drew from local and global evidence. In general, the design was simple, components were clearly structured, and the results chain was in line with research on effective approaches to improve quality, equity and efficiency.

91. **That said, the project design did not directly address some of the key demand-side constraints to the inclusion of students, particularly girls and students with disabilities.** As was mentioned earlier, other DPs in the country were working on demand-side issues, and hence, the project team sought to avoid duplication.³⁵ Given that it sought complementarities with other investments in the sector in the country, the project maintained a primary focus instead on supply-side issues. As a result, it did not maintain a focus on demand-side issues, including but not limited to student absenteeism (including household-level constraints), opportunity costs from lost labor, high level of chronic malnutrition, early marriage and pregnancies and the training and deployment of special education materials and materials, to support children with reduced cognitive abilities—even though these issues had been highlighted as critical constraints in the primary education system of Malawi in the PAD. Despite its primary focus



on supply-side issues, it is important to note that the project did engage in activities which potentially had a positive effect on demand-side issues. For instance, its communication/ awareness programs which might have had an impact on the importance households place on girls' education. Indeed, the increased retention rates point to a likelihood that MESIP indirectly contributed to reduced early marriages and pregnancies, since more girls were likely in school.

92. **Learning from and building on ongoing initiatives.** Lessons learned from projects implemented by the Government and DPs up until the time of appraisal informed the project design and there was a strong emphasis on leveraging resources and tools developed through ongoing initiatives. During project preparation, there was an ongoing initiative supported by the Government in collaboration with DPs in the country that was closely aligned with interventions that would be supported under MESIP, namely, Project to Improve Education Quality in Malawi (PIQEM) [P114847]. The design of MESIP incorporated these lessons and used tools and materials developed through these ongoing programs, as much as possible. For example, a direct flow of funds for school grants from Designated Accounts (DA)s to school accounts with a notice to District Education Managers (DEM)s was introduced to mitigate delays in schools' receipt of funds on time. The importance of training headteachers to manage school resources and enhance their leadership skills was also incorporated into MESIP building on lessons from PIEQM, to enhance accountability for improving performance at the school-level. The project also built on lessons learned from an impact evaluation of education projects in the Africa region, as well as other basic education projects (including GPE-funded operations), which indicated that a greater impact on learning could be reached provided that the supply of education inputs—such as school infrastructure, learning materials, etc.—is enhanced with the effectiveness of their utilization. Hence, the project focused on enhancing accountability and functioning ('efficiency') at the school level, by focusing on school management and oversight.

93. **Participatory and consultative approach.** The World Bank team was in continuous dialogue with the national and local government level officials during the project preparation process. Moreover, the project strategically partnered itself with other DPs, and intentionally designed interventions so as to complement and capitalize on their efforts. This harmonization of efforts was further strengthened and became even more critical to secure additional donor funding and support for the implementation of ESIP-II. Continuous dialogue amongst partners was maintained, for instance, through LEG meetings, in order to identify constraints in the project and primary education system more generally, and to prioritize and agree on necessary interventions.

94. **Assessment of risks and identification of mitigation measures.** Key risks and appropriate mitigation measures were adequately identified during preparation. The overall risk rating of the project was Substantial largely due to a number of factors including but not limited to the: (i) low level of external financial support for Malawi's education system; (ii) high governance challenges pertaining to financial mismanagement; and (iii) insufficient human resources in MoE to have a fully dedicated staff which could contribute to delays in procurement processing and financial reporting, as well as inadequate M&E of the project results. During preparation, a detailed assessment of these risks and the limitations that they could pose to effective implementation was undertaken and described in the PAD, and it was determined that mitigation measures including flexibility and intensive implementation support would be required for the project to succeed and achieve sustainability. For all of the key project areas for which risks were appropriately assessed—implementation arrangements, M&E design, fiduciary management and safeguards—realistic and evidence-based mitigation measures were identified that were likely to have helped prevent many of the potential risks from materializing.

B. KEY FACTORS DURING IMPLEMENTATION

95. Despite disbursing quite quickly in the first two years, project implementation was off to a slow start, but greatly improved over the project life, especially after the MTR mission in March/April 2019. Several factors helped and, in some cases, negatively affected implementation, some of which are discussed below.



96. **Project implementation greatly benefited from the GoM's commitment and DPs, CSOs and LEG's support to improving the quality of primary education in Malawi.** Discussions with the government revealed that the Project Coordinator and assigned Component Managers provided strong high-level oversight of project implementation, complemented by the efforts of district education offices, SMCs, parents teacher associations (PTAs), mother's groups, principals and headteachers in selected districts. There was also active engagement from the leadership of the MoE and PFT in the day-to-day operation and management of the project. Initially, the turnover of project staff after training, including members of the finance team, affected implementation progress. Over time, however, such issues were resolved, and project implementation accelerated.

97. **The emphasis on school and community involvement and accountability, in particular, was particularly impactful.** Using the additional resources provided through MESIP, schools and communities fostered trusting partnerships to build low cost learning facilities, demonstrating the importance of trusting and empowering schools and communities to use the grants to mobilize and collaborate, strengthening their cooperation and demonstrating how efficiently and effectively they can work together to improve schools, particularly with regard to improving infrastructure.

98. **During implementation, there were a few issues with hired contractors.** For one, hiring consultants to conduct various services proved challenging. Since deliverables were supposed to be the same and were linked to a payment schedule, issues in one aspect resulted in issues in another. Specifically, if one consultant was behind on one deliverable then it meant they would not be paid for the others, since the deliverables were for the same service, for instance, the SMS platform. Eventually the project split payments for deliverables to address this issue and committed to standalone contracts moving forward. There was also an issue with regard to non-payment of a contractor. As a contractor for the construction of schools did not have completion certificates from SMCs and other parties to demonstrate that there were no outstanding issues, they initially did not receive payment from the project. This resulted in difficulties such as disputes between the contractor and the schools and communities about the quality of completed services. Eventually, this issue was sorted and all outstanding payments to contractors were made before project closing.

99. **Joint implementation support missions, involving DPs through the LEG were regularly conducted with a formal MTR in 2019.** The MTR, as documented in the MTR Aide Memoire (AM),³⁶ clearly identified the key implementation challenges and made recommendations for addressing them; there is evidence suggesting that implementation improved in many areas following the MTR as the proposed actions were implemented. The World Bank team also facilitated close collaboration with DPs that were active in MESIP districts, providing support and supervision. As mentioned earlier, the project was closely supported by the LEG, with some DPs providing increased supervision support in states where they are active (e.g., FCDO and CAMFED in Dedza, Machinga, Chikwawa, Chiradzulu, Mangochi, Mulanje and Mwanza districts; and USAID and UNICEF in all 34 of Malawi's education districts). This allowed the team to leverage capacity from other DPs to enhance the operational support for project implementation.

100. **Factors outside the control of Government and/or implementing entities.** There were also several external factors that were beyond the control of the Government or the World Bank that affected implementation. The presidential elections in 2019 and 2020 hampered timely implementation in the mid-phase, particularly impacting the community mobilization activities, during which time the flow of messages were greatly reduced. Teacher strikes also caused delays in implementation. Occurring for approximately two weeks, Component 3.2 in particular was negatively affected, as no data was collected because schools were not functioning without teachers and students in schools. Further, the ongoing COVID-19 pandemic affected implementation due to the lockdown of schools which disrupted schooling. The closure of schools for 6 months also meant that there was a need to change the exam schedule given that teacher and student attendance was low, and once schools reopened, staggered shift and social distancing measures made it difficult to implement and track project activities.

101. **The synergy and complementary of MESIP with other DP-funded projects is likely to be an important channel through which some of its achievements were realized.** When the project was approved and during implementation, one project



supported by the World Bank had recently closed, and other DPs were being implemented in project states. More specifically, the Project to Improve Education Quality in Malawi (PIEQM) [P114847] closed on June 2015 and among DP projects, the largest was the United States Agency for International Development (USAID)- Department for International Development (DFID)—now known as the Foreign, Commonwealth & Development Office (FCDO)—early grade reading project covering the entire country (US\$65 million).³⁷ There were also other DP-funded projects (including those supported by United Nations Children's Fund (UNICEF), DFID, USAID, Africa Development Bank (AfDB), Kreditanstalt für Wiederaufbau (KfW) Development Bank, etc.. In many cases MESIP sought to leverage ongoing initiatives from these DP-funded projects. For example, by building on successful UNICEF/CSO pilots to use EMIS-HRMIS more effectively and in a new manner to improve the accountability of teachers and pupils, thereby empowering schools. For girls' education, MESIP built on the ongoing initiatives supported by USAID, Norway, DFID, Save the Children and Action Aid Malawi (Figure 13 in Annex 6).

IV. BANK PERFORMANCE, COMPLIANCE ISSUES, AND RISK TO DEVELOPMENT OUTCOME

A. QUALITY OF MONITORING AND EVALUATION (M&E)

M&E Design

Sub-rating: Substantial

102. The results chain—through which the project interventions were expected to lead to the achievement of the PDO—was described in the PAD,³⁸ and the RF reflected its logic to a large part. The revised PDO statement (see 'Revised PDOs and Outcome Targets' section) was clear and articulated the three objectives related to quality, equity and efficiency. The 4 PDIs were appropriate and valid and captured the three objectives of the PDO (see detailed discussion on the validity of the PDIs under 'Efficacy' section). Further, the RF included three DLIs which contributed to a 'results' culture and 15 IRIs,³⁹ which covered key aspects of project interventions under the project components and were relevant, clearly defined, and measurable. To track progress on each of the indicators in the RF, the project used a combination of data sources, primarily the independent Longitudinal Survey (LS),⁴⁰ Education Management Information System (EMIS) and MESIP-based M&E system, including information from inspection and financial management reporting (FMR), annual surveys, process data collected during implementation and monitoring reports from the Local Development Fund (LDF), Education Infrastructure Management Unit (EIMU) and PFT.

103. The M&E design also included the use of independent third-party monitoring, mainly by consultancy firms to monitor some of the high-risk interventions and inform implementation. An independent M&E report was included in the design of the School Leadership Program to produce independent information to inform the refresher training conducted the year after the main training. Third-party consultants were also used to validate results under the DLIs. In compliance with GPE requirements, the LEG also validated the achievement of results under the variable part and endorsed the release of funds. The M&E design also included integrated IEs, including on the impact of the PBF grants, SLP, school report cards and community mobilization. Overall, this approach had the potential to enable triangulation of evidence on reported results and allow for study of the mechanism through which interventions were impacting outcomes.

104. The M&E design clearly defined roles and responsibilities of the different implementing agencies at the national and local levels, which were discussed in detail in the PAD and Project Implementation Manual (PIM). The project elected to not use a dedicated and stand-alone M&E system. Given that project interventions had been devised in support of ESIP-II, it instead built on the M&E arrangements in place under ESIP-II, with MoE M&Es functioning in a coordinating and implementing role, supported by the EMIS team. In addition, the monitoring systems to collect data for the project were described in the PAD, setting clear expectation on how M&E would work for MESIP.



105. However, the M&E also had a few shortcomings, including:
- a. No disaggregation of results and targets by project districts: Data analysis shows that at entry there was significant difference among districts in the key outcome indicators (e.g., PqTR rates in Standards 1 and 2 under Objective 1),⁴¹ which suggests that disaggregation and tailoring of endline targets by district would have been appropriate, and more insightful for understanding similarities and difference amongst achievements, across districts;
 - b. Minor discrepancies in the RF: As part of the project restructuring, several changes to the RF were approved. However, some of these changes were not reflected properly in the Restructuring Paper⁴² and/ or the Operations Portal. These errors (e.g., unchanged revised targets, such as the total ‘number of sanitary facilities’ and ‘headteachers and deputy headteachers to be trained’) were mostly minor and had no significant impact on the project monitoring.

M&E Implementation

Sub-rating: Substantial

106. Throughout the majority of the project’s lifespan, M&E was rated as Moderately Satisfactory due to some initial delays and difficulties, for instance, with regard to securing a full-time M&E specialist to work on the PFT. Importantly, given that some of MESIP’s activities were the same as those already carried out by MoE (such as school grants and construction) or were expected to be scaled up (such as the SLP), it was determined that it would be inefficient and unsustainable to create parallel mechanisms for the project. Instead, MESIP decided to use and strengthen existing MoE M&E systems, to the greatest extent possible. In line with this, the project (i) successfully developed M&E guidelines to capture activities to be implemented under the respective components based on approved work plans; (ii) clearly identified the methodology to be followed in monitoring specific activities; (iii) agreed on the roles and responsibilities of project stakeholders with regard to M&E; and (iv) agreed on the frequency of data collection, analysis reporting and dissemination. This ensured that data on project indicators (both PDIs and IRIs) was collected and reported regularly in the ISRs and AMs. Through the project support, MESIP also strengthened the ESIP-II’s M&E system, by updating PEA’s skills on good records management, to provide regular and sustained support to schools requiring special attention.

107. Overall, the project’s planned M&E activities were implemented, to a large extent, successfully; the development of an M&E framework, monitoring systems for each component and drawing linkages with the Ministry’s EMIS team. Yet, the project encountered some unforeseen challenges. For one, there were some issues with the quality of the data collected in the second-round survey, making it difficult for the data and formulae to be used in the calculation of PBF grants to be agreed, and in a timeline consistent with enabling schools to effectively spend the money in the allotted time. Moreover, it was noted that despite considerable progress on activities occurring on the ground, these were not being sufficiently or systematically documented in the RF to demonstrate the project’s progress in achieving its targets. However, the task team and GoM were proactive and acknowledged and subsequently remedied these challenges by taking the following actions.

108. To further strengthen M&E under the project—with the broader vision of enhancing efficiency of M&E in the sector—the MoE established an M&E task force under the leadership of the Deputy Director for Education Planning (DDEP), consisting of members from the EMIS and M&E units, and including the M&E specialist from the PFT. The plan was for this task force to support the ongoing project monitoring activities, and whilst it successfully carried out training of the Zonal Education Management Information System (ZEMIS) officers and collected data from the 800 schools under Component 1—thereby enabling the disbursement of PBF funds to schools—there were also some issues owing to task team members’ additional official commitments. To remedy this, the Government deployed a Director of Planning and Deputy Director in charge of M&E to strengthen education planning in hopes of reinstating the role of the M&E task force, intended to harmonize data streams and regularly interface with the MLSS team. As a result of these actions taken to remedy the situation, by closing, all schools that were to receive PBF grants received them, and the RF was updated regarding the project’s achievements. The task team also provided a guiding template to ensure adequate and relevant reporting on project activities, to enhance the information shared from schools, through districts to



component managers and to the PFT, in addition to the quarterly progress and status reports.

109. As for the DLIs, Years 1 and 2's DLIs did not require independent verification (as per the PAD), but rather, were subject to a process of consultation, review and endorsement by the LEG. Specifically, DLI results were presented to the LEG for review at different stages and underwent various iterations before arriving at final versions, which were subsequently presented at a special LEG meeting and consequently endorsed. In Years 3 and 4, third party monitoring was conducted by an Independent Verification Agency (IVA)—though this was secured at a late stage⁴³ owing to complications with identifying an appropriate and qualified agency, as well as the COVID-19 pandemic—in order to provide independent and local level monitoring of the project implementation status of key project interventions. The *DR Consulting Services* was selected and assessed the project's achievement based on the 2019/20 EMIS data, and complemented it with school records, also verified by the IVA. The independent validation report (IVR) completed by the IVA, recommending acceptance of the Government's claim of the completion of 2019/20 DLIs under Component 4 of MESIP was received on February 1, 2021, and informed the disbursement of the remaining funds for the variable tranche. Earlier in the project, another third-party monitoring was conducted by an independent evaluation consultant based on a sample of schools across the five states.

M&E Utilization

Sub-rating: Substantial

110. The project's progress towards achieving its stated development objectives and implementation progress was mainly informed by the Satisfactory M&E system in place, which allowed for the availability, and thus utilization of, M&E data by MESIP, the GoM and education partners. Apart from some delays to the procurements of an IVA and tracking and updating of the selected indicators, updates were provided for all supervision missions and stakeholder meetings. Relevant M&E data and project information was used to convey this progress to key education stakeholders, particularly in demonstrating the extent to which the project was achieving its stated objectives, and not. These reviews and discussions highlighted a few key shortcomings which led to a mid-term course 'correction', ultimately lending itself to more accurate and reliable data and improvements in the implementation of project activities. For example, several issues that were flagged at MTR (e.g., on the mismatch between the interventions on the ground and the results tracked in the RF), and proposed recommendations (e.g., the refining of the indicators through a formal restructuring process), were addressed with implementation improving significantly following the MTR. Additionally, the timely—in most instances—and accurate verification exercises of achievement of the projects' DLIs facilitated the GoM's receipt of disbursements from the Bank.

111. The M&E system-strengthening supported by Component 5 of the project also contributed towards increased utilization of M&E processes and dissemination of data and information, including through the release of annual MLSS reports. Other analytical work was also supported by the project, including impact evaluations of the PBF grants, SLP and school report cards and community mobilization. For instance, impact evaluations of PBF grants (Component 2) sought to test whether the provision of additional resources to schools is on its own, sufficient, as opposed to adding further financial incentives. Despite results of the IE indicating no difference between the promotion rates of schools that received PBFs and base grants and those that received only base grants, this is important information for successive projects with similar interventions. An important result, as well, is the release of the MLSS baseline, midline and endline data, which despite being completed later than originally intended owing to delays caused by schools' closure during the Covid-19 pandemic, was nevertheless completed between March and April, 2022. An impressive achievement considering, it provides crucial school-level and learning assessment results, which are critically needed in the primary education system. For instance, the MLSS contributed helpful context to the MTR, for example by drawing attention to discrepancies in performance between Component 1 and non-Component 1 schools in the eight districts, and in so doing, helped inform and incentivize the achievement of Component 4 DLIs. These achievements could increase the utilization of data and evidence for decision-making in the primary education system and inform ongoing and future operations supported by the World



Bank and other DPs in Malawi.

Justification of Overall Rating of Quality of M&E

112. There are numerous observed strengths in the M&E design, implementation and utilization. In terms of design—the revised PDO was clear and articulated the project’s three objectives related to quality, equity and efficiency and the IRIs covered all aspects of the project-supported interventions under the three objectives. DLIs also incentivized achievement, and contributed to a positive ‘result-oriented’ culture. Data collection and monitoring plans and processes were developed and revised as needed over the course of the project during implementation. Regarding utilization, the project also incorporated different tools including institutional data (e.g., EMIS data reported by states), survey-based data, IE and third-party monitoring. The planned M&E activities were, for the most part, successfully implemented and results on the project’s achievements were reported regularly. Further, the findings were used to make decisions which improved implementation over the project years.

113. There were also a few shortcomings in the three aspects of M&E. For example, a lack of disaggregation of results and targets by project districts and minor discrepancies in the RF. There were also some inconsistencies at times between the implementation and progress of activities on the ground, and information provided through reports and as reflected in the RF in the initial phases, but this was quickly remedied. With regards to utilization, there were some unavoidable delays but overall, findings of the formal M&E tools were used to review progress and make some adjustments, resulting in improved implementation post-MTR. That said, the project recognized its inefficiencies and took steps to remedy them, to strengthen its M&E over its life.

114. Considering ratings under M&E design (Substantial), implementation (Substantial) and utilization (Substantial), the overall rating of the quality of M&E is Substantial (Table 4).

Table 4. Monitoring and Evaluation Rating

M&E Design	M&E Implementation	M&E Utilization	Overall rating
Substantial	Substantial	Substantial	Substantial

B. ENVIRONMENTAL, SOCIAL, AND FIDUCIARY COMPLIANCE

115. **Environment and social safeguards.** The project’s safeguards performance was rated Moderately Satisfactory for most of the project implementation period, though this was upgraded to Satisfactory by project closing. The project was rated as Category B, Partial Assessment, as supported interventions were not expected to have any major adverse environmental or social impacts. The Environmental Policy (OP/BP/4.01) and Involuntary Resettlement Policy (OP/BP 4.12) were triggered due to some civil works interventions supported by the project and, since the project locations were not yet known at the design stage, to mitigate any possible social impacts to be caused by the proposed civil works activities. Early on, delays around land acquisition posed substantial risks to the start of construction works, since this was a necessary first step. There were also concerns regarding safeguards screening reports and schools’ action plans were not guided by the Environmental and Social Management Framework (ESMF) and Resettlement Policy Framework (RPF) developed for the project, resulting in a lack of capturing of all safeguards issues relevant for the project. To remedy these, there was a push to hire a Social and Environmental Focal Point for the PFT which was also delayed early on, to undertake a number of additional activities such as the: (i) preparation of a code of conduct for larger scale school construction; (ii) incorporation of all Environmental and Social Management Plans (ESMPs) for activities in Component 2 into contractor bidding documents; (iii) preparation of safeguards action plans for Component 1 construction; (iv) review of ESMPs for sub-projects to capture ESMF/RPF requirements and resubmit to the bank for review; (v) budget allocation for ESMPs implementation; (vi) processing and finalization of land acquisition plans for sub-projects; (vii) development of a safeguards implementation and monitoring plan; and (viii) integration of environmental and social safeguards reports to the quarterly report.



116. During most of the project implementation period, no major environmental safeguards issues emerged. A four-tiered grievance redress mechanism (GRM) was successfully developed at the school, zone, district and national Levels. A GRM register was also established under the project in order to keep track of and record the status of all cases received, and was provided to all committees who were provided with adequate trainings on how to handle the GRM cases. A number of complaints were received and appropriately resolved from project affected persons, but the cases that the project received most were on non-payment of wages from the construction sites (see paragraph 120), as can be seen in Table 17 in Annex 6.

117. **Financial management (FM).** FM under the project improved throughout implementation and was consistently rated Satisfactory after the midpoint of the project until closing. There were several areas of strong performance by the project in key aspects of FM. First, was the alignment of implementing arrangements with the principles of a common fiduciary oversight arrangement, focusing on strengthening of government FM systems. In the wake of the 2013 Integrated Financial Management Information System (IFMIS) FM challenges,⁴⁴ Malawi's education sector DPs wished to ensure that MESIP included appropriate fiduciary safeguards, by proposing that FM and procurement arrangements rest outside of the GoM's structures, to the extent possible. In line with this, the Bank task team proposed project implementation and fiduciary arrangements to address these concerns and align with the ongoing work of the Common Fund Mechanism (CFM), designed by DPs in the country as a mechanism outside of the Government system with a high degree of financial oversight and control, and as an alternative arrangement to the sector budget support aiming at the continuation of DPs' sector support in an aligned and harmonized fashion with Government planning, budgeting and reporting processes. Second, a Financial Management Specialist (FMS) was recruited for the project in August 2017, despite delays arising from the need to readvertise for the post, following failure to secure the 'right' candidate during the first round. The FMS together with the additional FM staff assigned by the MoE helped to ensure effective support to the implementation of activities under the project. Third, flow of funds under the project was smooth for the most part, despite some initial delays in the establishment of the Designated Account (DA)⁴⁵ by the MoE through the PTM.⁴⁶ Finally, in most instances, the interim financial reports (IFRs) were often good quality and submitted on time, though there were occasional delays (linked to delay in recruiting an FMS). There were also some challenges that limited the effectiveness of the FM processes. For example, readiness to withdraw grant funds in the early phase of implementation was weak and there were significant delays in the procurement of the accounting software for transaction processing and reporting, also due to the delayed recruitment of the FMS.

118. External and internal audits⁴⁷ were conducted on a bi-annual basis, and they provided valuable information for FM under the project. The main issues identified by external audits included errors in the draft financial statements provided to auditors, a missing project receipt book at the time of audit—due to improper handling amongst cahiers and auditors' questioning of costs amounting to over \$7,000 USD due to invalid receipts and incorrect rates being used. In one instance the audit report was unqualified (year ended June 30, 2018) and reported several control and accountability issues for management attention—such as the insurance of project assets and the refund of questioned costs by external auditors. These issues were rectified, and FM under the project was rated Satisfactory by project closing.

119. Regarding fiduciary issues which emerged during the project, there were two issues in particular. The first pertains to a complaint received by the Anti-Corruption Bureau (ACB) of on August 7, 2020 concerning construction under Component 2, alleging that contractors had been paid for incomplete or low-quality work. The ACB and MoE commenced an investigation, and found that 35 out of the 36 schools named in the complaints were subject to contracted construction under MESIP, and that of those, all but 2 were classified as being 'complete'. The World Bank task team agreed with this assessment and under further investigation, found some defects in the works of the completed sites, including but not limited to broken hinges, cracks and peeling paint; which were subsequently addressed by the respective contractors through the deficit liability process. The task team also submitted the case and provided relevant documentation to the Integrity Unit (INT) for any further actions.

120. The second, pertains to the non-payment of wages raised by Nangaunozge contractors. Specifically, there was a



longstanding grievance of non-payment of workers by a contractor conducting construction under Component 2 of MESIP, which had substantial unpaid wages for their workers, leading to conflicts between the workers and the school communities due to disagreements in the quality of construction. However, the MoE and the task team worked together to resolve the issue, and the contractor wrote to the Bank on May 15, 2021 confirming that all overdue wages had been paid, and provided evidence of payment of wages from the two affected sites, Chilwa and Mwaiwathu schools. The task team communicated with the contractor to acknowledge receipt, and along with Environment and Social safeguards colleagues, has committed to working with the client to ensure these issues do not recur. In fact, the successor project to MESIP—the MERP Project—will instead build on the school- and community-led construction model financed through school grants under Component 1 of MESIP (see ‘Lessons’ section), in order to mitigate potential for further similar grievances.

121. **Procurement.** Throughout much of the implementation period, the project was rated Moderately Satisfactory in terms of its procurement performance, due to a number of challenges faced over the course of the project. For instance, initiation of the procurement process was significantly delayed in the early phase of implementation, including the finalization of the PFT, which affected the project’s kick-off activities. In particular, the recruitment of an FMS was delayed, as described earlier, and the decision to recruit and hire environmental and social safeguards and communications specialists given their central role in project success came later, which meant that the team lacked such expertise for a while. Further, there were significant delays in procurement processing of key procurements, including the construction of classrooms in target schools, printing of school registers and supply of tablet smartphones for data capturing and transmission. The need to ‘re-package’ the contracts for the construction of classrooms was also necessary, due to the geographical spread of the schools and the difficulties in contractors’ travelling between them. There was also delayed submissions of evaluation reports for the expressions of interest for the consultancy services for the SLP and development of software for school data collection and the SMS platform, implying that the Systematic Tracking of Exchanges (STEP) Procurement Plan was not being used, given that it should have enabled the identification of delays and institutionalization of remedial actions. Moreover, there were delays in the updating of the procurement plan to reflect changes in procurement processing prior to initiation of any processes, as well as obtaining IDA clearance of such changes in compliance with established procedures. Other challenges included the non-uploading of project procurement supporting documents in STEP and the expiry of contracts before the processing of extensions, with the task team advising the client to update documents so that they reflect as ‘completed’ in STEP and follow the excel contract monitoring sheets to enhance contract monitoring.

122. Due to the task team’s observance and recommendations, and the GoM’s subsequent heeding of the advice, remedial action was taken to address these issues. For every identified issue, and appropriate action was taken to mitigate the negative impact on the project. Together, the task team and the Government agreed upon ‘next steps’ and reduced the time required for their completion, in order to respond as quickly as possible. Inconveniences and disturbances are always expected during project implementation. Importantly, therefore, is that the necessary actions are taken to mitigate the risks. To ensure adoption of such measures for improved project performance, and to both respond and prevent future interruptions, the task team provided more intensive support to ensure follow-up with these steps. Eventually, these actions brought positive impact on the project implementation, and at closing, procurement under the project was upgraded to Satisfactory.

C. BANK PERFORMANCE

Quality at Entry

123. **The World Bank’s performance at entry is rated Satisfactory.** The World Bank team supported the preparation of a project that was relevant to national priorities and the World Bank’s priorities in Malawi, as captured in the CAS (FY12-17) and more recent CPF (FY 21-25), by providing technical and coordination support to the Government. The project design was built based on evidence, extensive consultations with stakeholders, coordination with DPs working in the country, to avoid overlap and



ensure complementarity. The final appraisal of the project was comprehensive, providing detailed analysis and assessment of technical, economic, fiduciary, environmental and social-related issues and risks. The various assessments conducted by the World Bank at entry informed the project design, risk mitigation measures and M&E arrangements. However, as noted earlier (see 'M&E design' section) there were minor gaps in the technical design for M&E and the project's interventions.

Quality of Supervision

124. **The quality of supervision of the project by the World Bank is rated Satisfactory.** Throughout the almost four years of implementation, the project greatly benefitted from the strong supervision and support provided by the World Bank team, specifically, from high quality supervision and technical support which enabled early resolution of bottlenecks and successful implementation of all project activities. There are several factors that enabled high quality supervision. The task team was composed of team members with the appropriate skills to support project implementation, including education specialists, procurement specialists, FM specialists, environmental and social safeguards specialists, and economists. The team was strengthened through the hiring of an International Senior Education Specialist and the presence of at least one local consultant in the country office, from before effectiveness up until the COVID-19 closures, at which point support became remote. This was important for providing implementation support. Having three TTLs during the implementation of the project and various project members over the life of the project meant that MESIP also benefitted from both continuity and consistency, as well as diversity, across the project operation. The depth of contextual knowledge brought by the task team enhanced the quality of support and supervision. The MESIP task team also kept the Government abreast of project implementation issues requiring special attention through regularly prepared AMs. Similarly, ISRs provided management with a candid assessment of the project's achievements and challenges, with issues being escalated through the appropriate channels. Implementation support missions were carried out regularly and main challenges were recorded in the appropriate documents. Further, restructurings were timely and adjustments were made as needed. These included revising the PDO to better reflect the project's objectives and scopes, revising, updating and adding and/or removing indicators to be clearer and more accurately reflect updated data and project activities. The strong partnership with the LEG and DPs during project design and implementation also ensured collaboration in project supervision.

Justification of Overall Rating of Bank Performance

125. Quality at Entry and Quality of Supervision are rated Satisfactory. Hence, overall, Bank performance is rated **Satisfactory**.

D. RISK TO DEVELOPMENT OUTCOME

126. **The GoM has been fully committed to continue the efforts and sustain the achievements made under MESIP and has reported a number of positive changes as a result of the project,** including but not limited to increased collaboration between schools and communities, more transparency within schools and pledges by community chiefs to adhere to the dissuasion and discouragement of child marriages, particularly impactful for girls' education. Building on this, the World Bank has plans in place for continuous education sector engagement, particularly through the ongoing Equity with Quality and Learning at Secondary (EQUALS) project [P164223] and the recently approved MERP [P174329] and Skills for a Vibrant Economy (SAVE) [P172627] projects. These projects will ensure that the outcomes achieved under MESIP—in overlapping districts—are maintained. Moreover, they will incorporate lessons learned from MESIP (see 'Lessons' section) and, to the greatest extent possible, further strengthen the education sector in other districts and thus, in Malawi, more generally.

127. **A key risk to the PDO is the impact of the ongoing COVID-19 pandemic on the education sector,** which is likely to result in a significant reduction of resources allocated to the primary education sector by the Government, given the additional resources required to respond to the pandemic challenge.⁴⁸ In an effort to mitigate this, there has been increased dialogue with DPs, not



only on mitigating the impact of the pandemic but also on using the opportunity to build back a better education system.

128. **The Government's efforts, together with the World Bank's continued engagement, are thus expected to be mutually reinforcing in responding to the pandemic and ensuring that children in Malawi have access to quality, equitable and efficient primary education.** Based on this strong Government commitment and the current level of financing and support from both the Government and the World Bank, it is highly likely that the development outcomes will be sustained, and thus, the overall risk to development outcome is Moderate. More details on the 'risk to development outcome' can be found in Annex 1F.

129. **Overall, MESIP has been transformational and set the foundation for what is effectively possible in the context of a country with limited resources and history of severe challenges—including in the education system—by trailing various innovations and enabling other projects to build on them, reducing wastage of time and resources.** Indeed, lessons learned from MESIP's implementation have been incorporated into the design of the MERP [P174329] and SAVE [P172627] projects, namely the importance of (i) larger needs-based components targeted to schools with more severe needs; (ii) considering community-led construction as opposed to contractor-led construction; (iii) programmatic, needs-based approaches, which provide support to all schools while targeting key investments to the most severely disadvantaged schools on a needs basis; (iv) attending to girls' learning in lower primary; (v) setting annual targets to enhance the incentive effect to ensure achievement for results-based financing; (vi) embedding PFTs within MoE directorates and systems for effective implementation; and (vii) developing an FM Manual that will detail how project funds will be used covering planning and budgeting, accounting and reporting, funds flow, internal controls and internal audit, and external audit; (viii) including a project accountant within the PIU to be responsible for the day-to-day FM activities, including financial reporting; and (ix) careful selection of an IVE, to support timely and clear verification of Performance-Based Condition (PBC)/DLI achievement. Indeed, a number of successful MESIP innovations are being scaled up under MERP, namely: (i) community-based construction and low-cost classrooms; (ii) timely delivery of grants; (iii) the SLP; and (iv) common zonal testing and disbursement of report cards. Notably, the hanging of report cards became a point of pride for schools, which proudly hung them up to be viewed by others, as well as the school's mission, vision and objectives.

V. LESSONS AND RECOMMENDATIONS

130. **Lesson 1: It is important for the World Bank to engage with Governments to tackle emergency situations, much like MESIP engaged with the GoM to proactively adapt to and address issues posed by the COVID-19 pandemic.** The Bank's proactivity and flexibility during the crisis posed by the COVID-19 pandemic was instrumental to achieve the desired development objective. Recognizing the pressures posed to the envisaged timelines, the GoM worked tirelessly to continue the data collection process, around the school closures, and together with the Bank task team, requested a formal Level II restructuring to allow the project to have more time to implement activities and collect data—both of which experienced delays due to the school closures—in an effort to achieve results and track progress. Their ability and strategic decision to request more time was important for mitigating the risks and impacts of the crisis on the primary education sector and ensured children's return to schools with improved learning environments.

131. **Lesson 2: Low-cost construction is an efficient means of improving infrastructure, and alliances between schools and communities are crucial, especially in low capacity contexts, to collaborate and make lasting change.** School- and community-led construction under MESIP addressed the severe shortages of classrooms. In addition to reducing the cost of constructing classroom facilities and therefore being a cheaper option, construction led by schools and communities resulted in work that was of high quality—perhaps fueled by a sense of ownership and pride—and less difficulties with accessibility and transportation, given that they were local. As a result of construction training received under MESIP, communities are now able to raise their own funds and build their own shelters. For these reasons, the upcoming MERP project will rely on community-based construction as opposed to contractor-led. Further, communities and mothers groups were targeted to be involved in awareness campaigns, and in



particular, focus on improving the retention of teenage girls in Standards 6 to 8. The GoM has reported that a number of community Chiefs have pledged to adhere to councils' message to discourage early marriage and a number of community bylaws have come up to ensure that girls are in school, by addressing school absence. This has contributed to enhanced safety amongst students is evident by the increase in the number of girls reporting abuse, with cases actually being heard in court. Finally, mother's groups have also been very helpful in encouraging girls' return and in bringing students with disabilities in schools. For instance, in one case a female student with no hands and who was being kept at home was brought into school and has now learned to write with her feet. As a result of this responsibility and collaboration, the GoM has noted that students, teachers, and communities mindsets have changed. Specifically, during monitoring visits, teachers shared that headteachers were more involved and open to new ideas, and more gender-sensitive with how they assigned tasks in school.

132. Lesson 3: The utilization of annual targets in results-based financing can act as a powerful mechanism for the achievement of objectives in Malawi. MESIP achieved all of its three DLIs by project closing, despite a lack of familiarity with DLIs in the education sector. It was noted that having indicators only at project close acted as a disincentive when a two phased-approach was utilized—focusing on the drafting and approval of improved policy strategies and documents in key areas in Year one, to set the foundation for supporting improvements in key indicators through the operationalization of these strategies in Year 4. When annual targets were utilized, however, it seemed to improve motivation and progress, demonstrating its potential to effectively ensure that all DLIs are achieved.

133. Lesson 4: Upstream consultation of potential Independent Verification Entities (IVEs) and their methodology is recommended for supporting timely and clear verification of DLI achievement. Challenges experienced with the verification of Year 4 DLIs as a result of weaknesses in the methodology of the verification exercise required additional analysis by the World Bank in order to build the confidence of the LEG as to the validity of the results. Learning from this, it will be important to select IVEs more carefully moving forward. This should include a Terms of Reference (ToR) agreed upon and approved by the LEG, its involvement in the committee for the selection of the IVE and a review of the IVE's proposed methodology by the LEG and as applicable, a Grant Agent (GA), all of which will be done under the MERP project.

134. Lesson 5: Embedding the PFT within MoE directorates and systems is vital for effective implementation, and MESIP's work on establishing one will increase how quickly upcoming projects are able to set theirs up. Under MESIP, the PFT operated as a quasi-independent unit outside of the MoE building. As a result, there were delays in communication and a reduction in the overall effectiveness of the team, thereby limiting the potential as well for sustainable capacity building of other MoE officials by the specialists recruited for the PFT. In response, in some instances task forces had to be established under MESIP (e.g., FM Task Force) to respond to delays in established procedures and reporting. Moving forward, it will be important to embed PFTs within the MoE—as will be done under MERP—both to enhance effectiveness during implementation and enable the transfer of knowledge and skills throughout the PFT, from experts hired to tackle specific project aspects (e.g., environment and social safeguards specialist and finance specialist).

135. Lesson 6: Adequate time is necessary for quality project implementation. The project achieved many of its objectives in the timeline required by the GPE (3/4 years), however, this was approved on an exceptional basis. GPE policies that constrain time for implementation may impact the quality and/or sustainability of results. Ensuring projects have adequate time to implement is especially important in the context of a country like Malawi which presents with numerous challenges due to poverty and low capacity. That MESIP was able to accomplish many of its targets in the tight timeline, demonstrates the hard efforts on the part of the Bank task team and the GoM. Had targets been slightly less ambitious, and better matched to the context and timeline, MESIP would likely have achieved even more. Further studies might want to conduct deeper studies as to what enabling factors facilitated MESIP's achievements.



ANNEX 1. RESULTS FRAMEWORK AND KEY OUTPUTS

A. RESULTS INDICATORS

A.1 PDO Indicators

Objective/Outcome: Improving the quality of primary education in selected districts and schools

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Number of additional standard classrooms built in selected primary schools resulting from project interventions.	Number	0.00 01-Jan-2016	500.00 01-Jan-2016		500.00 01-Jul-2021

Comments (achievements against targets):

Achieved, with the project building 500 additional standard classrooms in selected primary schools against a target of 500.

Objective/Outcome: Improved equity and efficiency in selected districts and schools

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Pupil to Qualified Teacher Ratio (PqTR) in grades 1-2 in	Text	166 pupils to 1 qualified primary	132 pupils to 1 qualified primary		107.30



the 8 most disadvantaged districts		school teacher 31-Oct-2016	school teacher 31-Oct-2016		01-Oct-2019
Comments (achievements against targets): Exceeded target, with the project reducing the PqTR from 166 pupils to 1 qualified primary school teacher to 107.3 pupils to 1 qualified primary school teacher, against a target of 132 pupils to 1 qualified primary school teacher.					

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Percent of targeted schools meeting minimum standards in National Education Standard (NES) 16 in the 8 most disadvantaged districts	Percentage	62.70 01-Jan-2019	78.38 01-Jan-2019		71.10 15-Jul-2021
Comments (achievements against targets): Not achieved, with the project achieving 71.10 percent of targeted schools meeting minimum standards in National Education Standard (NES) 16 in the 8 most disadvantaged districts, against a target of 78.38 percent.					

Objective/Outcome: Improving the efficiency of primary education in selected districts and schools

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Grade-wise promotion rate in	Percentage	65.40	67.40		68.00



lower primary grades in targeted districts		30-Sep-2016	30-Sep-2016		15-Jul-2021
Comments (achievements against targets): Exceeded target, with the project successfully increasing the grade-wise promotion rate in lower primary grades in targeted districts from 65.40 percent to 68 percent, against a target of 67.40.					

A.2 Intermediate Results Indicators

Component: Component 1: Performance-based school improvement grants for improving promotion and retention.

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Number of schools in the performance based funding (PBF) treatment receiving PBF grants	Number	0.00 01-Jan-2016	400.00 01-Jan-2016		340.00 15-Jul-2021
Comments (achievements against targets): Substantially achieved, with 340 schools out of the target of 400 having received PBF grants. It is important to note that in implementing this pilot intervention, setting a target of 100 percent was a design issue that did not take into account that some of the 400 eligible schools would not qualify by meeting the requirements. Indeed, 340 of the 400 schools qualified (85 percent). Despite this oversight at the design stage, implementation was sound, and all schools that qualified to receive PBF grants, did (340 schools).					



Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Framework for conducting low stake zonal tests endorsed	Yes/No	No 30-Apr-2019	Yes 30-Apr-2019		Yes 08-May-2020
Comments (achievements against targets): Achieved, with framework for conducting low stake zonal tests having been endorsed.					
Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Common zonal tests conducted in grades 3 and 4 in the 8 disadvantaged districts.	Yes/No	No 30-Apr-2019	Yes 30-Apr-2019		Yes 31-Dec-2020
Comments (achievements against targets): Achieved, with the conduct of common zonal tests in grades 3 and 4 in the 8 most disadvantaged districts.					
Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Repetition Rate in Grades 1-4	Percentage	23.70	21.30		20.97



in 8 most disadvantaged districts		30-Sep-2016	30-Sep-2016		30-Nov-2020
Repetition rate for girls in grades 1-4 in 8 most disadvantaged districts	Percentage	23.20	20.90		20.77
		30-Sep-2016	30-Sep-2016		01-Dec-2020
Comments (achievements against targets): Exceeded target, with a reduction in the repetition rate in grades 1-4 in the 8 most disadvantaged districts from 23.70 percent to 20.97 percent against a target of 21.30 percent. The sub-indicator for girls also exceeded its target of 20.90 percent by reducing girls' repetition rates down to 20.77 percent from 23.30 percent.					
Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Dropout rate for girls in grades 5-7 in the 8 most disadvantaged districts	Percentage	27.10	16.00		15.83
		30-Sep-2016	30-Sep-2016		30-Jul-2021
Comments (achievements against targets): Exceeded, with the project reducing dropout rates for girls in grades 5-7 in the 8 most disadvantaged districts from 27.10 percent to 15.83 percent, against a target of 16 percent.					
Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion



Female to male teacher ratio on grades 6-8 in 8 most disadvantaged districts	Percentage	0.31 30-Sep-2016	0.34 30-Sep-2016		0.34 30-Nov-2020
Comments (achievements against targets): Achieved, with the female to male teacher ratio in grades 6-8 in the 8 most disadvantaged districts increasing from 0.31 to 0.34, against a target of 0.34.					

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Number of low cost learning facilities built for lower primary the 8 most disadvantaged districts	Number	0.00 30-Sep-2016	1,000.00 30-Sep-2016		1,345.00 22-Apr-2021
Comments (achievements against targets): Exceeded target, with the construction of 1,345 low-cost learning facilities for lower primary in the 8 most disadvantaged districts, against a target of 1,000.					

Component: Component 2: Improving Equity for the most disadvantaged, including girls.

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Number of sanitary facilities	Number	0.00	300.00	342.00	330.00



constructed in target schools		01-Jan-2016	01-Jan-2016	09-Oct-2019	30-Jul-2021
Number of sanitary blocks for boys	Number	0.00	100.00	114.00	115.00
		28-Oct-2016	28-Oct-2016	09-Oct-2019	30-Jul-2021
Number of sanitary blocks for girls	Number	0.00	200.00	228.00	215.00
		31-Oct-2016	31-Oct-2016	09-Oct-2019	22-Apr-2021
Comments (achievements against targets): It is important to note that there was an error in the restructuring paper and across the ISRs post-MTR as the target for the number of sanitation facilities increased from 100 to 114 for boys and from 200 to 228 for girls. However, the cumulative end target was never revised from 300 to 342, which would have reflected the new accurate total (114+228). Substantially achieved, with the construction of 330 sanitary facilities in target schools against a target of 342; 115 sanitary blocks for boys and 215 sanitary blocks for girls against targets of 114 for boys and 228 for girls.					

Component: Component 3: Improving learning outcomes, accountability and cost-effectiveness at school level.

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Number of headteachers and deputy headteachers trained.	Number	0.00	800.00	1,600.00	1,598.00
		01-Jan-2016	01-Jan-2016	01-Apr-2019	08-May-2020
Comments (achievements against targets):					



It is important to note that there was an error in the restructuring paper and across the ISRs post-MTR regarding this IRI. Originally the IRI was 'Schools with trained HTs and Deputy HTs' for which the original target of 800 was appropriate. However, it was revised after the MTR to 'Number of headteachers and deputy headteachers trained', whence the target was supposed to be changed to 1,600 post-MTR, as according to a conversation with the TTL (Salman Asim). However, this change was not reflected in the Restructuring Paper nor the RF, and as such, this error has been reflected throughout other project documents, including but not limited to ISRs and AMs. For the purpose of this ICR, it has been amended on the portal.

Substantially achieved, with the project training 1,598 headteachers and deputy head teachers against a target of 1,600.

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Percent of teachers in targeted schools observed at least once a term by their head teachers	Percentage	57.90 01-Jan-2016	80.00 01-Jan-2016		84.40 08-May-2020

Comments (achievements against targets):

Exceeded target, given that 84.40 percent of teachers in targeted schools were observed at least once a term by their headteachers, against a target of 80 percent.

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Average teacher attendance rate in targeted schools	Percentage	82.50 30-Nov-2016	90.00 30-Nov-2016		89.00 05-Oct-2020



Comments (achievements against targets):

Substantially achieved, given the increase in the average teacher attendance rate in targeted schools from 82.50 percent to 89 percent, against a target of 90 percent.

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Average teacher utilization rate in lower primary	Percentage	56.80	62.00		50.20
		30-Nov-2016	30-Nov-2016		08-May-2020

Comments (achievements against targets):

Not achieved, with a decrease in the average teacher utilization rate from 56.80 percent to 50.2 percent, against a target of an envisaged increase to 62 percent.

Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Average learner attendance rate in targeted schools	Percentage	62.20	72.20		69.00
		30-Nov-2016	30-Nov-2016		05-Oct-2020

Comments (achievements against targets):

Partially achieved, with an increase in the average learner attendance rate in targeted schools from 62.20 percent to 69 percent, against a target of 72 percent.



Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Number of meetings schools hold with parents in a school year	Number	1.80 30-Nov-2016	3.00 30-Nov-2016		2.52 30-Jul-2021
Comments (achievements against targets): Substantially achieved, with the number of meetings schools hold with parents in a school year increasing from 1.80 to 2.52, against a target of 3.					
Indicator Name	Unit of Measure	Baseline	Original Target	Formally Revised Target	Actual Achieved at Completion
Number of unique community members who sent messages through the component 3.3 Community Dialogue Platform	Text	721.00 31-Mar-2020	865.00 31-Mar-2020		4,824.00 18-Jun-2021
Comments (achievements against targets): Exceeded target, with 4,824 unique community members sending messages through the Component 3.3 Community Dialogue Platform; 3,035 SMS messages and 1,789 voice messages.					



Table 5. MESIP's achievements on Objectives 1, 2 and 3

Objective 1	Indicator type	Indicator	Baseline	End Target	Actual Achievement		
Improved quality of primary education in selected districts and schools	PDO*	Number of additional standard classrooms built in selected primary schools resulting from project interventions (number)*	0	500	500	Target achieved	100%
	DLI 1	Reduction in PqTR in Grades 1 and 2 in 8 most disadvantaged districts <i>Learning: Improving Learning Environment in Early Grades</i>	166	132	107.30	Target exceeded	173%
	IRI	Framework for conducting low stake zonal tests endorsed (yes/no)	No	Yes	Yes	Target achieved	100%
	IRI	Common zonal tests conducted in grades 3 and 4 in the 8 disadvantaged districts (yes/no)	No	Yes	Yes, in grades 3 and 4	Target achieved	100%
	IRI	Number of schools in the performance-based funding (PBF) treatment receiving PBF grants (number)	0	400	340 ⁴⁹	Target substantially achieved	85%
	IRI	Number of low-cost learning facilities built for lower primary in the 8 most disadvantaged districts (number)	0	1,000	1,345	Target exceeded	134.5%
	IRI*	Number of sanitary facilities constructed in target schools (number)	0	342 ⁵⁰	330	Target substantially achieved	96.5%
		<i>Number of sanitary blocks for boys (number)</i>	0	114	115	Target exceeded	100.8%
		<i>Number of sanitary blocks for girls (number)</i>	0	228	215	Target substantially achieved	94.3%



Objective 2	Indicator type	Indicator	Baseline	End Target	Actual Achievement		
Improved equity of primary education in selected districts and schools	PDO	Pupil to Qualified Teacher Ratio (PqTR) in grades 1-2 in the 8 most disadvantaged districts (text)	166 pupils to 1 qualified primary school teacher	132 pupils to 1 qualified lower primary teacher	107.3	Target exceeded	173%
	PDO	Percent of targeted schools meeting minimum standards in National Education Standard (NES) 16 in the 8 most disadvantaged districts (custom)	62.70	78.38	71.10	Target not achieved	53.6%
	DLI 2	Increase in Female to Male Teacher Ratio in Grades 6-8 in 8 most disadvantaged districts <i>Equity in learning opportunities: Improving retention of girls in upper primary through better deployment of female teachers</i>	0.31	0.34	0.37	Target exceeded	120%
	IRI	Repetition rate in grades 1-4 in 8 most disadvantaged districts (percentage)	23.70 %	21.30 %	20.97%	Target exceeded	113.8%
		<i>Repetition rate for girls in grades 1-4 in 8 most disadvantaged districts (percentage)</i>	23.20 %	20.90 %	20.77%	Target exceeded	105.7%
	IRI	Dropout rate for girls in grades 5-7 in the 8 most disadvantaged districts (percentage)	27.10 %	16 %	15.83%	Target exceeded	101.5%
	IRI	Female to male teacher ratio on grades 6-8 in the 8 most disadvantaged districts (text)	0.31	0.34	0.34	Target achieved	100%
	IRI*	Number of low-cost learning facilities built for lower primary in the 8 most disadvantaged districts (number)	0	1,000	1,345	Target exceeded	134.5%
	IRI*	Number of sanitary facilities constructed in target schools (number)	0	342 ⁵¹	330	Target substantially achieved	96.5%
		<i>Number of sanitary blocks for boys (number)</i>	0	114	115	Target exceeded	100.8%
		<i>Number of sanitary blocks for girls (number)</i>	0	228	215	Target substantially achieved	94.3%



Objective 3	Indicator type	Indicator	Baseline	End Target	Actual Achievement		
Improved efficiency of primary education in selected districts and schools	PDO	Grade-wise promotion rate in lower primary grades in targeted districts (percentage)	65.40 %	67.40 %	68 %	Target exceeded	130%
	DLI 3	Reduction in Repetition Rate in Grades 1-4 in 8 most-disadvantaged districts <i>Efficiency in learning: Promoting efficiency measures at the school level to reduce repetition rate in lower primary education</i>	23.7	20.90	21.40	Target substantially achieved	82.1%
	IRI	Number of low-cost learning facilities built for lower primary in the 8 most disadvantaged districts (number)	0	1,000	1,345	Target exceeded	134.5%
	IRI	Number of headteachers and deputy headteachers trained (number)	0	1600 ⁵²	1,598	Target achieved	99.88%
	IRI	Percent of teachers in targeted schools observed at least once a term by their head teachers (percentage)	57.90	80	84.4%	Target exceeded	120%
	IRI	Average teacher attendance rate in targeted schools (percentage)	82.50 %	90 %	89 %	Target substantially achieved	86.67%
	IRI	Average teacher utilization rate in lower primary (percentage)	56.80 %	62 %	50.2%	Target not achieved	0%
	IRI	Average learner attendance rate in targeted schools (percentage)	62.20 %	72 %	69 %	Target partially achieved	69.4%
	IRI	Number of meetings schools hold with parents in a school year (number)	1.80	3	2.52	Target not achieved	60%
	IRI	Number of unique community members who sent messages through the Component 3.3 Community Dialogue Platform (text)	721	865 (20 pp increase from baseline)	4,824 (3,035 SMS and 1,789 voice messages)	Target exceeded	2849%



B. KEY OUTPUTS BY COMPONENT

Objective 1: To improve the quality of primary education in selected districts and schools	
Outcome Indicators	PDI 1. Number of additional standard classrooms built in selected primary schools resulting from project interventions (number)
Intermediate Results Indicators	Component 1: Performance-Based School Improvement Grants for Improving Promotion and Retention IRI 1. Framework for conducting low stake zonal tests endorsed (yes/no) IRI 2. Common zonal tests conducted in grades 3 and 4 in the 8 disadvantaged districts (yes/no) IRI 3. Number of schools in the performance-based funding (PBF) treatment receiving PBF grants (number) IRI 7. Number of low-cost learning facilities built for lower primary in the 8 most disadvantaged districts (number) Component 2: Improving Equity for the Most Disadvantaged, including Girls IRI 8. Number of sanitary facilities constructed in target schools (number) <i>a. Number of sanitary blocks for boys (number)</i> <i>b. Number of sanitary blocks for girls (number)</i>
Key Outputs by Component (linked to the achievement of the Objective 1)	IRI 1. Achieved, with framework for conducting low stake zonal tests having been endorsed. IRI 2. Achieved, with the conduct of common zonal tests in grades 3 and 4 in the 8 most disadvantaged districts. IRI 3. Substantially achieved, with 340 schools out of the target of 400 having received PBF grants.⁵³ IRI 7. Exceeded target, with the construction of 1,345 low-cost learning facilities for lower primary in the 8 most disadvantaged districts, against a target of 1,000. IRI 8. Substantially achieved, with the construction of 330 sanitary facilities in target schools against a target of 342; 115 sanitary blocks for boys and 215 sanitary blocks for girls.
Objective 2: To improve the equity of primary education in selected districts and schools	
Outcome Indicators	PDI 2. Pupil to Qualified Teacher Ratio (PqTR) in grades 1-2 in the 8 most disadvantaged districts (text) PDI 3. Percent of targeted schools meeting minimum standards in National Education Standard (NES) 16 in the 8 most disadvantaged districts (custom)
Intermediate Results Indicators	Component 1: Performance-Based School Improvement Grants for Improving Promotion and Retention IRI 4. Repetition rate in grades 1-4 in 8 most disadvantaged districts (percentage) <i>a. Repetition rate for girls in grades 1-4 in 8 most disadvantaged districts (percentage)</i>



	IRI 5. Dropout rate for girls in grades 5-7 in the 8 most disadvantaged districts (percentage) IRI 6. Female to male teacher ratio on grades 6-8 in the 8 most disadvantaged districts (text) IRI 7. Number of low-cost learning facilities built for lower primary in the 8 most disadvantaged districts (number) Component 2: Improving Equity for the Most Disadvantaged, including Girls IRI 8. Number of sanitary facilities constructed in target schools (number) <i>a. Number of sanitary blocks for boys (number)</i> <i>b. Number of sanitary blocks for girls (number)</i>
Key Outputs by Component (linked to the achievement of the Objective 2)	IRI 4. Exceeded target, with a reduction in the repetition rate in grades 1-4 in the 8 most disadvantaged districts from 23.70 percent to 20.97 percent against a target of 21.30 percent. The sub-indicator for girls also exceeded its target of 20.90 percent by reducing girls' repetition rates down to 20.77 percent. IRI 5. Achieved, with the project reducing dropout rates for girls in grades 5-7 in the 8 most disadvantaged districts from 27.10 percent to 15.83 percent, against a target of 16 percent. IRI 6. Achieved, with the female to male teacher ratio in grades 6-8 in the 8 most disadvantaged districts increasing from 0.31 to 0.34, against a target of 0.34. IRI 7. Exceeded target, with the construction of 1,345 low-cost learning facilities for lower primary in the 8 most disadvantaged districts, against a target of 1,000. IRI 8. Substantially achieved, with the construction of 330 sanitary facilities in target schools against a target of 342; 115 sanitary blocks for boys and 215 sanitary blocks for girls against targets of 114 for boys and 228 for girls.
Objective 3: To improve the efficiency of primary education in selected districts and schools	
Outcome Indicators	PDI 4. Grade-wise promotion rate in lower primary grades in targeted districts (percentage)
Intermediate Results Indicators	Component 3 Improving Learning Outcomes, Accountability, and Cost- Effectiveness at School Level IRI 7. Number of low-cost learning facilities built for lower primary in the 8 most disadvantaged districts (number) IRI 9. Number of headteachers and deputy headteachers trained (number) IRI 10. Percent of teachers in targeted schools observed at least once a term by their headteachers (percentage) IRI 11. Average teacher attendance rate in targeted schools (percentage) IRI 12. Average teacher utilization rate in lower primary (percentage) IRI 13. Average learner attendance rate in targeted schools (percentage) IRI 14. Number of meetings schools hold with parents in a school year (number) IRI 15. Number of unique community members who sent messages through the Component 3.3 Community Dialogue Platform (text)



Key Outputs by Component
(linked to the achievement of the Objective 3)

- IRI 7.** Exceeded target, with the construction of 1,345 low-cost learning facilities for lower primary in the 8 most disadvantaged districts, against a target of 1,000.
- IRI 9.** Substantially achieved, with the project training 1,598 headteachers and deputy headteachers against a target of 1,600.
- IRI 10.** Exceeded target, given that 84.40 percent of teachers in targeted schools were observed at least once a term by their headteachers, against a target of 80 percent.
- IRI 11.** Substantially achieved, given the increase in the average teacher attendance rate in targeted schools from 82.50 percent to 89 percent, against a target of 90 percent.
- IRI 12.** Not achieved, with a decrease in the average teacher utilization rate from 56.80 percent to 50.2 percent, against a target of an envisaged increase to 62 percent.
- IRI 13.** Partially achieved, with an increase in the average learner attendance rate in targeted schools from 62.20 percent to 69 percent, against a target of 72 percent.
- IRI 14.** Substantially achieved, with the number of meetings schools hold with parents in a school year increasing from 1.80 to 2.52, against a target of 3.
- IRI 15.** Exceeded target, with 4,247 unique community members sending messages through the Component 3.3 Community Dialogue Platform; 3,035 SMS messages and 1,789 voice messages.



C. ACHIEVEMENTS ON THE PROJECT'S INTERMEDIATE RESULTS INDICATORS

1. The project's achievements on its PDIs have been previously discussed in Section X. To consider how the project performed on its IRIs as well, this Annex focuses on its achievements in that regard, on a continuum across the 3 objectives.

Objective 1: Improve the quality of primary education

2. The project's impact and linkages between project interventions and outcomes is also demonstrated by other significant achievements amongst the IRIs reported under Objective 1. The endline targets of all IRIs under this objective were substantially achieved or exceeded, and notably include:
 - a. **School-based grants (substantially achieved).**
 - **Base grants.** In addition to the main SIG grants through PSIP, 800 schools were selected and split into four groups to receive a combination of various interventions (Table 13 in Annex 6), including a combination of base grants, guidelines, training and performance-based grants. Whilst all schools received base grants and guidelines, only 50% of them (400 schools) received training and performance grants. All 800 schools received three tranches of base grants to be used to implement activities from their school improvement plans (SIPs)—the goal being to improve schools; learning environments and improve promotion and reduce retention rates. Tranche amounts were calculated based on the size and need⁵⁴ of participating schools, though on average schools received MWK 1,200,000 [US\$1,465⁵⁵] (Table 14 in Annex 6).
 - **Performance-based grants.** On the PBGs specifically, significant achievements were made. Against a target of 400, 340 schools received PBF. It is important to note that 100 percent of schools that qualified to receive PBF grants, received them (340 schools). However, there was a design issue in that there was no differentiation between the share of *eligible* schools and of those, the expected share of schools that would qualify to receive grants. Thus, the target assumed that all 400 eligible schools *would* become qualified to receive grants, which was not the case. In retrospect, a distinction ought to have been made between number of *eligible* schools, and then the share of them that would eventually *qualify*. PBF grants were intended to be used to further implement activities to improve schools and their learning environments. Interestingly, the majority of funds were used on rehabilitation and construction of classrooms and change rooms (37 percent) and the procurement of teaching and learning materials (TLM) (18 percent) (Figure 11 and Figure 12 in Annex 6).
 - b. **Low-cost learning facilities (exceeded).** Utilizing the grants, targeted schools and communities came together to build 1,345 low-cost learning facilities (against a target of 1,000) in order to reduce class sizes and overcrowding in schools, especially in Standards 1 to 4. Schools and communities⁵⁶ collaborated and fostered trusting partnerships to construct temporary learning shelters/sheds to decongest classes and prevent children from learning 'under the sun', thereby improving the conditions in which they learn.
 - c. **Sanitary facilities (substantially achieved).** Moreover, significant achievements were also made with regard to the number of sanitary facilities constructed in target schools. In total, 330 facilities were built (against a target of 342),⁵⁷ 115 for boys and 215 for girls, to contribute to improved learning conditions by ensuring students felt comfortable during the school day. These results, which are also discussed under Objective 2, are also likely to have contributed towards enhanced equity—especially for girls—



given that the lack of appropriate sanitary facilities has been identified as a constraint to girls' education in the country.

- d. **Common zonal tests (achieved).** A framework for conducting low stake zonal tests was endorsed, and common zonal tests were conducted in grades 3 and 4 in the eight most disadvantaged districts. The conduct of such tests and the collection, analysis and dissemination of results will be crucial for improving the quality of primary education in Malawi moving forward, as it will allow schools, communities, parents, teachers and government officials, amongst others, to understand what schools are achieving in terms of test results, and suggested areas of improvement. For this reason, this initiative will be scaled up under the upcoming Malawi Education Reform Programme (MERP) project.

Objective 2: Improve the equity of primary education

3. Looking at the other achievements of the key interventions of the project under Objective 2, the final targets were mostly achieved or exceeded, some by a substantial margin. Of particular note are the following achievements which occurred in the context of the 8 most disadvantaged districts, in order to promote equity:

- a. **Repetition rate (exceeded).** MESIP exceeded its target of reducing the repetition rate in grades 1-4 in the 8 most disadvantaged districts from 23.70 percent to 20.97 percent, against a target of 21.30 percent. Moreover, as it pertains to girls specifically, it also exceeded its target; repetition rates decreased from 23.20 percent to 20.77 percent, against a target of 20.90 percent. Indicative of the extent to which project activities were successful in bringing students (and girls in particular) back to school, a focus on improving students' access to education, and focusing on those more vulnerable to repetition (like girls) contributes to enhancing equity.
- b. **Dropout rate (exceeded).** MESIP also sought to reduce dropout rates which were particularly problematic across MESIP's disadvantaged districts. It reduced dropout rates from 27.10 percent to 15.83 percent, exceeding its target of 16 percent. Importantly, this achievement should be viewed in light of the difficulties getting students to return to school after being out for long periods of time during schools closures resulting from the Covid-19 pandemic. For instance, data indicates that the number of teenage pregnancies during the pandemic increased, and consequently, a decrease in the number of girls that returned to school post-pandemic.⁵⁸
- c. **Female to male teacher ratio (achieved).** The female to male teacher ratio in grades 6 to 8 in the eight most disadvantaged districts was increased from 0.31 to 0.34, against a target of 0.34. Evidence has indicated that gender sensitive schools environments tend to increase the participation and learning of both boys and girls, with the presence of adequate numbers of female teachers, particularly in leadership positions, benefiting learning particularly for girls.⁵⁹ Given the positive impacts of female teachers on both boys and girls, these results have also contributed towards enhanced quality of primary education, by improving the learning environment for all students, but especially girls.
- d. **Low-cost learning facilities (exceeded).** Utilizing PBF grants, targeted schools and communities came together to build low-cost learning facilities in order to reduce class sizes and overcrowding in schools, especially in Standards 1 to 4.⁶⁰ Recognizing the importance of improved infrastructure for teaching and learning amongst primary schools in Malawi, during the MTR the project decided to track the number of low cost learning facilities built by communities using school grants based on approved low cost infrastructure design. In total, 1,345 low-cost learning facilities were constructed, against the target of 1,000. Together, these facilities have accommodated more than 79,500 pupils in Standards 1-4, enabling them to move from learning in an open space to a sheltered one. Proving to be a more economical⁶¹ and perhaps even more efficient way of improving schools' infrastructure—as compared



to more traditional contractor-constructed—interestingly, it was observed that some communities even started converting shelters into full classrooms. Further, given the success of this initiative, communities in non-MESIP schools have copied the intervention and begun constructing learning shelters as a way of reducing congestion and overcrowding.

- e. **Sanitary facilities (substantially achieved).** As discussed earlier (see Paragraphs 44 and 59) MESIP significantly achieved its target of building 342 sanitary facilities for lower primary. More precisely, 330 facilities were built, 115 for boys and 215 for girls, with the aim of improving the retention of teenage girls in Standards 6-8. Given that the lack of appropriate sanitary facilities has been identified as a constraint to girls' education in the country, MESIP's achievement, albeit partial, in this regard, has enhanced equity via girls' improved access to adequate and appropriate sanitary facilities.

Objective 3: Improve the efficiency of primary education

4. Looking at the other achievements of the key interventions of the project under Objective 3, the final targets were mostly achieved or exceeded, some by a substantial margin. Of particular note are the following achievements:

- a. **Construction of low-cost learning facilities (exceeded).** Important as well for quality and equity (as discussed in Paragraphs 42, 43, 59 and 68), the construction of low-cost learning facilities under Component 1 of MESIP also constitutes a large improvement in the efficiency of the education system, by (i) creating a new innovative design by which to reduce the cost of classroom construction in Malawi which can be replicated; and (ii) demonstrating the importance of trusting and empowering schools and communities to use the grants to mobilize and collaborate, strengthening their cooperation and demonstrating how efficiently and effectively they can work together to improve schools, particularly with regard to improving infrastructure.
- b. **Training of headteachers and deputy headteachers (achieved).** MESIP sought to train headteachers and deputy headteachers on managing school resources and leadership skills in order to enhance accountability for improving performance at the school level. The project achieved its target of training 1,600⁶² headteachers and deputy headteachers, having trained 1,598 in total.
- c. **Observation of teachers (exceeded).** Another envisaged improvement attributable to the leadership training programme—intended to be realized at the school-level—was the observation of teachers by headteachers and deputy headteachers, to encourage better practices and classroom management. The project also exceeded this target, with 84.40 percent of teachers in targeted schools having been observed at least once a term by their headteachers, against a target of 80 percent.
- d. **Teacher attendance rate (substantially achieved).** In an effort to improve accountability, MESIP sought to increase the average teacher attendance rate in targeted schools. Overall, it substantially achieved in this regard, by improving the teacher attendance rate from 82.50 percent to 89 percent, against a target of 90 percent.
- e. **Teacher utilization rate (not achieved).** As it pertains to teacher utilization, however, MESIP did not achieve its target. By the end of the project the percentage of available and trained teachers being utilized was 50.20 percent, against a baseline of 56.80 percent and a target of 62 percent. Evidently then, there is more room for improvement on ensuring that the teacher base across primary schools in Malawi are being adequately and appropriately utilized.
- f. **Learner attendance rate (partially achieved).** Also important for accountability, MESIP only partially achieved the average learner attendance rate in targeted schools, increasing if from 62.20 percent to 69 percent against a target of 72 percent. It is important to note that it became even more difficult to



get students back into schools in Malawi after months of closure during the Covid-19 pandemic, which might have contributed to the project's partial achievement in this regard.

- g. **Meetings held with parents (not achieved).** The project also did not achieve its goal of schools holding an average of at least 3 meetings with parents per school year, achieving 2.52 instead. It must be recognized that schools closures during the pandemic contributed to a reduction of the number of meetings that could be held, given school closures and social distancing requirements in the country.
- h. **Community messaging platform (exceeded).** Alternatively, the project far surpassed its target of receiving messages from 865 unique community members who sent messages through the community dialogue platform (Component 3.3.). In total, it received messages from 4,824 unique community members; 3,035 Short Message Service (SMS) and 1,789 voice. Given this 2,849 percent achievement, it is clear that the target for this IRI was too low, especially given that the baseline was 721. A much higher target ought to have been set for achievement, especially given that in Malawi, surveys show that schools with active communities, parents and School Management Committees (SMCs) tend to be better performing and have higher learning outcomes.⁶³



D. PROJECT COMPONENT DETAILS

- 1. Component 1: Performance-Based School Improvement Grants for Improving Promotion and Retention (ESIP-II reform theme 3: Learner Retention) (US\$10.24 million).** Under this component, the project piloted the feasibility of improving promotion rates through addressing the inefficiencies of repetition and dropout in the primary education system through PBF and incentives, including how to keep girls in school. For this, the project planned to select 800 schools across the eight most disadvantaged districts to receive a base grant for improving promotion and retention, with a particular focus on girls, while maintaining learning. To identify the most cost-effective interventions, four pilots were undertaken in 200 schools each: (a) base grant with instructions; (b) base grant with instructions and training/sensitization; (c) base grant with instruction and performance grant; and (d) base grant with instruction and performance grant with training/sensitization. The goal was to test whether providing incentives has an impact on performance or whether the provision of adequate resources is on its own, sufficient. Schools were expected to use the grant resources to develop and implement strategies—such as improving infrastructure and garnering community involvement—to reduce repetition and dropout, and to address girls' dropout rates in standards 6 to 8. It was expected that the provision of additional resources and consequent 'improvements' made to the school physically and/or socially would improve learning and teaching conditions and result in an increase in retention and promotion rates, and consequently, increased learning and attainment in the long run.
- 2. Component 2: Improving Equity for the Most Disadvantaged, including Girls (ESIP-II reform theme 3: Learner Retention; and reform theme 6: Education Access and Infrastructure) (US\$9.60 million).** The objective of this component was to improve schools' learning environments by reducing (i) PCRs in the 8 most disadvantaged districts, to ensure that class sizes were smaller, enabling teacher to teach 'better' and students to better focus and receive support from teachers, and (ii) teaching 'under the sun', such that less teachers and students were forced to use outside open-air classrooms, which provided sub-optimal conditions for teaching and learning. Activities under this component included the construction of 500 classrooms, 300 latrine blocks—focusing mostly on girls' sanitation needs—and 150 water points. All new school facilities were to be constructed in order to ensure proper access for children with physical disabilities, thereby contributing as well to improved learning environments for those students. To do this, the project also intended to train 150 communities/local artisans such that their skills could be upgraded pertaining classroom construction, building and management.
- 3. Component 3: Improving Learning Outcomes, Accountability, and Cost- Effectiveness at School Level (ESIP-II reform theme 1: Early Grade Learning; reform theme 2: Teacher Training and Infrastructure; and reform theme 3: Learner Retention) (US\$6.91 million).** This component aimed to pilot cost-effective interventions by building on existing experiences of other donors, Civil Society Organisation (CSOs) and Non-Governmental Organisations (NGOs), like Development Aid from People to People (DAPP), for improving classroom management in a resource constrained environment, including by improving (i) the allocation of teachers in schools; (ii) the accountability of teachers and pupils (empowering the school) by using EMIS-HRMIS (Education Management Information System-Human Resources Management Information System) more effectively and in a new manner (building on successful United Nations Children's Fund (UNICEF)/CSO pilots); and (iii) the retention of teenage girls in Standard 6-8 through communication/awareness programs targeting communities and mother groups. The component aimed to do this through three primary activities: (a) School Leadership Program to change School level management and Teacher Behaviours; (b) School Data Collection and Usage, and (c) Improving Community Involvement in Schools, especially targeting retention of teenage girls.



4. **Component 4: Variable Part/Disbursement Linked Indicators (US\$13.47 million).** The objective of this component was to support the development, endorsement, and operationalization of the strategic policy frameworks to (a) improve learning environment in early grades, (b) improve retention of girls in upper primary and (c) promote efficiency measures to reduce repetition in lower primary grades. The proposed areas of focus ultimately became the project's three DLIs. Specifically, (i) Reduction in PqTR in Grades 1 and 2 in 8 most disadvantaged districts; (ii) Increase in Female to Male Teacher Ratio in Grades 6-8 in 8 most disadvantaged districts; and (iii) Reduction in Repetition Rate in lower primary in 8 most disadvantaged districts. Linked to key policy or system wide reforms, the idea was for the three DLIs to act as 'stretch' indicators which would require institutional change to be achieved. The plan was for the GoM to pre-finance the agreed eligible expenditures and submit an application for reimbursement (up to the maximum DLI payment value for the given year) when a particular DLI/stretch indicator was achieved.

5. **Component 5: Project Management, and Sector Program Support and Coordination (US\$4.68 million).** This component aimed to finance activities, including but not limited to core consultant staff, TA, recurrent costs related to the management of the project and sector program facilitation and coordination, including communication and monitoring and evaluation (M&E) and fund an independent verification of attainment of Year 3 targets for three DLIs under the variable part of funding. Component 5 was also intended to finance the establishment and functioning of a Program Facilitation Team (PFT) and capacity building of the MoE's financial management (FM), internal audit and procurement units. Further, it was to also include capacity building at the national, district and local (that is, school, community) levels to support project implementation and development of a communications strategy and plan.



E. CHANGES MADE TO THE PDIS DURING THE LEVEL II RESTRUCTURING

1. **PDO Indicator 1. Wording was changed** to provide more clarity as to the type of classrooms to be reported on, and their locations. Specifically, the indicator was changed from *'Number of additional classrooms built at the primary level resulting from project interventions'* to *'Number of additional standard classrooms built in selected primary schools resulting from project interventions'*.
2. **PDO Indicator 2. Wording and baseline were changed** to remove the directional connotation from the indicator, and in accordance with a change of data source and the data validation process. Specifically, the indicator was changed from *'Increased grade-wise promotion rates in lower primary grades in targeted districts'* to *'Grade-wise promotion rates in lower primary grades in targeted districts'* and the baseline was changed from 65.4 to 67.4 percent.
3. **PDO Indicator 3. Wording, baseline, definition and target was changed** to remove the directional connotation from the indicator, in accordance with a change in the data source and data validation process, to specify a focus on teachers in Grades 1-2 and to ensure consistency between the targets for this PDI and its corresponding DLI which initially conflicted, one had a target of a 10 percent reduction initially, and the other, a 20 percent reduction. The Government and the task team agreed to use the DLI's target of a 20 percent reduction for both the PDI and DLI. Specifically, the indicator was changed from *'Reduced Pupil to Qualified Teacher Ratio (PqTR) in lower primary grades in targeted districts'* to *'Pupil to Qualified Teacher Ratio (PqTR) in grades 1-2 in the 8 most disadvantaged districts'* and the baseline was changed from 145:1 to 166:1.
4. **PDO Indicator 4. Replaced** to instead focus on the percentage of schools meeting the minimum standards. Specifically, the indicator was changed from *'Pilot interventions for cost-effective improvements in learning outcomes implemented'* to *'Percent of targeted schools meeting minimum standards⁶⁴ of the NES 16 in the eight most disadvantaged districts'*. The decision to replace this indicator was made on the basis that it (i) had already been achieved as of October 22, 2018; and (ii) was tied to the processing and disbursement of base and PBF grants to selected schools, which was better measured by the existing output indicator, specifically 'participating schools received performance grant allocation' at the time. The revised indicator is a more robust, valid measure of realized improvements across selected schools in the 8 most disadvantaged school districts, indicative of the application of skills by teachers and deputy headteachers from the SLP training, and ultimately, improvements in ensuring a minimum level of standards, as well, for students from low-income areas in Malawi, and is therefore important for equity.



F. ALIGNMENT WITH THE CAS, SCD AND THE GOVERNMENT OF MALAWI'S STRATEGIC PLANS

- Alignment with the CAS.** The PDO is closely aligned with the CAS (FY12-16), which covered most of the project implementation period, given that Malawi's CPF was only approved in April 2021. The CAS is structured around three strategic objectives—themes—and the PDO is directly aligned with the second—'*Enhancing Human Capital and Reducing Vulnerabilities*'. Under this objective, the CAS emphasized the need to improve the delivery of public services, for instance, by improving access to quality education and lower vulnerability and enhance resilience. The CAS also identified gaps in learning outcomes, attributable to the poor quality of education in the country, resulting from inadequate school infrastructure, financial constraints and teacher-pupil ratios, amongst others, and that addressing these constraints was a priority intervention area. Many of the critical barriers identified by the CAS as priority issues were the focus of MESIP to *improve the equity and quality of primary education service delivery with an emphasis on improved accountability and functioning*. For example, interventions supported under Component 1 (PBF and incentives) responded to some of the identified constraints in the CAS as priorities in providing high quality learning and teaching conditions. The project's focus on reducing PCR ratios and teaching under the sun, and increasing the retention of teenage girls (especially in standards 6-8) by improving the availability of sanitary facilities, was also aligned with the CAS's focus on equity, by promoting social inclusion and addressing gender inequalities. Moreover, many MESIP-supported activities (e.g., SLP, school data collection and usage and community-based interventions) were also aligned with the CAS's focus on strengthening the education system's effectiveness, more generally.
- Alignment with the SCD.** The PDO continues to be well-aligned with the findings and recommendations of the 2018 SCD, which informed the new CPF. Aligned precisely with SCD Pathway 3, 'harness the demographic dividend', the SCD identified the slow pace of human development outcomes as a binding constraint to Malawi's path towards sustainable growth and development. The SCD showed that many of the challenges identified as facing the education sector at the time of MESIP preparation were pervasive, even though significant progress had been made. Specifically, regarding education, the SCD identifies both demand- and supply-side constraints to improved learning outcomes at the primary and secondary levels, including poor infrastructure and limited school finances, which were all challenges that the MESIP aimed to address.⁶⁵ Moreover, the SCD emphasized the need for increased accountability and transparency in school management, which MESIP also addressed through activities in Component 1 (PBF and incentives) and Component 3 (SLP, school data collection and usage and community-based interventions).
- Alignment with the Government's Strategic Plans.** MESIP's objectives of improved equity, quality and efficiency are also consistent with Malawi's National Education Sector Investment Plan (NESIP) (2020-2030), and formerly, its National Education Sector Plan (2007-2017), which similarly focus(ed) on the following three thematic areas across its education system: (i) access and equity; (ii) relevance and quality; and (iii) governance and management. More recently, the Government of Malawi launched *Malawi 2063* to describe Malawi's vision for cultivating Malawi as an 'inclusively wealthy and self-reliant nation', which puts forth a set of prioritized policy and programmatic actions to improve human capital outcomes. Under the education section of the human capital development pillar, targets include ensuring that every constituency in the country has well-equipped and staffed primary and secondary schools, improved availability, accessibility and quality education to improve learning outcomes and constructing and expanding disability-friendly and gender-sensitive school physical infrastructure at all levels to enhance the availability of, and access to, education. This shows that MESIP's PDO and project-supported interventions align with Malawi's strategic priorities to build its human capital.



G. ADDITIONAL DETAILS REGARDING 'RISK TO DEVELOPMENT OUTCOME'

1. **The GoM has been fully committed to continue the efforts and sustain the achievements made under MESIP.** To ensure the project's sustainability, MESIP focused on institutional capacity building and making SBMCs more effective through the institutionalization of school-level funding. Available information from the internal and external audits provides evidence that project resources were used for their intended purposes and that no significant financial leakages or losses occurred during the life of the project. Many of the project interventions supported system-wide improvements. Although the targets for many of the indicators related to achieving the project's PDO were achieved, given the inherent challenges in the education sector, ensuring standard learning quality for all—not just in targeted schools—can take time, requiring sustained and continuous efforts.
2. **Building on this, the World Bank has plans in place for continuous education sector engagement, particularly through the ongoing Equity with Quality and Learning at Secondary (EQUALS) project [P164223] and the recently approved MERP [P174329] and Skills for a Vibrant Economy (SAVE) [P172627] projects.** These projects will ensure that the outcomes achieved under MESIP—in overlapping districts—are maintained. Moreover, they will incorporate lessons learned from MESIP (see 'Lessons' section) and, to the greatest extent possible, further strengthen the education sector in other districts and thus, in Malawi, more generally. MESIP provided schools and districts with an opportunity to strengthen their primary education system. In line with state governments' strategic objectives, the project's activities sought to deliver intermediate results while simultaneously building the foundation for the improved quality, equity and efficiency amongst primary schools in Malawi.
3. **Further, the GoM has reported a number of positive changes as a result of MESIP,** including but not limited to increased collaboration between schools and communities, more transparency within schools and pledges by community chiefs to adhere to the dissuasion and discouragement of child marriages, particularly impactful for girls' education. The draft CPF outlines the following objectives to support the GoM to accomplish its overarching goal of increasing human capital development through the following means: (i) grow engagement in the education sector, from early childhood through tertiary education, to strengthen systems and improve learning outcomes; (ii) implementation of a programmatic approach to address systemwide inefficiencies in spending and provide targeted and needs-based financing to address low overall learning at the lower primary level and gaps between schools; and (iii) foster entrepreneurship skills through targeted vocational and technical training and apprenticeships. MESIP, therefore, continues to be relevant to the country's more recent higher-order objectives, considering the shared focus on enhancing quality, equity and efficiency across its primary education system.
4. **A key risk to the PDO is the impact of the ongoing COVID-19 pandemic on the education sector.** To prevent the spread of the virus, the GoM closed all schools in March 2020, affecting more than seven million⁶⁶ children enrolled in formal and non-formal streams of learning. Schools reopened in early October 2020⁶⁷ for the examination class and January 2021 for the rest of the grades, with strict measures put in place to protect teachers and students returning to schools. Analysis by the World Bank suggests that in Sub-Saharan Africa, school closures of five months could produce a reduction in student learning outcomes from 4.9 learning-adjusted years of schooling (LAYS) to only 4.3, assuming some successful mitigation of learning loss from distance learning and catch-up learning following the reopening of schools.⁶⁸ Even more concerning is the potential inequitable impact of the pandemic, which is likely to have exacerbated existing inequalities in the education system, particularly across income-level and gender. Indeed, according to the results of a simulation exercise,⁶⁹ the school closures may result in a learning loss of up to one learning-adjusted year of schooling and increased dropouts, particularly among girls and children from poor families. In addition, the pause in school feeding programs could lead to higher rates of malnutrition amongst



children. The negative impacts will be higher for children from disadvantaged and vulnerable backgrounds, exacerbating the issue of economic inequality and the intergenerational transmission of poverty. In addition, girls face an increased risk of early marriage and pregnancy, which may permanently disrupt their education. The pandemic is also likely to result in a significant reduction of resources allocated to the primary education sector by the Government, given the additional resources required to respond to the pandemic challenge.⁷⁰

5. **There has also been increased dialogue with DPs, not only on mitigating the impact of the pandemic but also on using the opportunity to build back a better education system.** The use of technology to improve basic education service delivery, which has gained renewed interest and momentum, offers another opportunity to improve access to and the quality of education. Indeed, efforts to implement distance learning have already been undertaken through the establishment and maintenance of Open and Distance and e-Learning (ODEL) by EQUALS [P164223], to provide more sustainability in the future, when in-person learning is not practical—such as during the Covid-19 pandemic. While some distance learning options have been made available to some students in some areas, it is unlikely that these will fully compensate for the loss of learning due to the absence of classroom interactions. Given the inequities, children from marginalized communities and poor households, many of whom are served by MESIP-supported schools, are at greater risk of falling behind as they may have had limited access to distance learning. The impact on girls' schooling is also likely to be significant, particularly in MESIP states, where social and gender norms are likely to affect intra-household allocation of resources for schooling and where girls are more likely to bear the burden of care-related tasks in the household (e.g., chores, childcare, etc.) than boys. This will likely negatively affect their engagement in distance learning. In recognition of these unique challenges posed by Covid-19, EQUALS Additional Financing (AF) [P176751] was approved, with one of its primary activities being to scale up ODEL, in an effort to reach more students—particularly girls—those from poorer backgrounds and others from more vulnerable and marginalized backgrounds.

6. **The Government's efforts, together with the World Bank's continued engagement, are thus expected to be mutually reinforcing in ensuring that children in Malawi have access to quality, equitable and efficient primary education.** Based on this strong Government commitment and the current level of financing and support from both the Government and the World Bank, it is highly likely that the development outcomes will be sustained.

7. **MESIP has been transformational and set the foundation for what is effectively possible in the context of a country with limited resources and history of severe challenges—including in the education system—by trailing various innovations and enabling other projects to build on them, reducing wastage of time and resources.** Indeed, lessons learned from MESIP's implementation have been incorporated into the design of the MERP [P174329] and SAVE [P172627] projects, namely the importance of (i) larger needs-based components targeted to schools with more severe needs; (ii) considering community-led construction as opposed to contractor-led construction; (iii) programmatic, needs-based approaches, which provide support to all schools while targeting key investments to the most severely disadvantaged schools on a needs basis; (iv) attending to girls' learning in lower primary; (v) setting annual targets to enhance the incentive effect to ensure achievement for results-based financing; (vi) embedding PFTs within MoE directorates and systems for effective implementation; and (vii) developing an FM Manual that will detail how project funds will be used covering planning and budgeting, accounting and reporting, funds flow, internal controls and internal audit, and external audit; (viii) including a project accountant within the PIU to be responsible for the day-to-day FM activities, including financial reporting; and (ix) careful selection of an IVE, to support timely and clear verification of Performance-Based Condition (PBC)/DLI achievement. Indeed, a number of successful MESIP innovations are being scaled up under MERP, namely: (i) community-based construction and low-cost classrooms; (ii) timely delivery of grants; (iii) the SLP; and (iv) common zonal testing and disbursement of report cards. Notably,



the hanging of report cards became a point of pride for schools, which proudly hung them up to be viewed by others, as well as the school's mission, vision and objectives.



ANNEX 2. BANK LENDING AND IMPLEMENTATION SUPPORT/SUPERVISION

A. TASK TEAM MEMBERS

Name	Role
Preparation	
Soren Nellemann, Natalia Cherevatova	Task Team Leader(s)
Steven Maclean Mhone	Procurement Specialist(s)
Trust Chamukuwa Chimaliro	Financial Management Specialist
Boyenge Isasi Dieng	Social Specialist
Deliwe Hazel Gama	Team Member
Omer Nasir Elseed	Team Member
Celia A Dos Santos Faias	Team Member
Salman Asim	Team Member
Dmitry Chugunov	ICR Contributing Author
Karthika Radhakrishnan	Team Member
Ruma Tavorath	Social Specialist
Michael N. Mambo	Team Member
Supervision/ICR	
Salman Asim	Task Team Leader(s)
Komana Rejoice Lubinda	Procurement Specialist(s)
Trust Chamukuwa Chimaliro	Financial Management Specialist
Lauren Justine Marston	ICR Main Contributor
Karishma Talitha Silva	Team Member
Gloria Pamela Chinguo	Team Member
Violette Mwikali Wambua	Social Specialist
Lizzie Wallace Chiwaula	Team Member



Mercy Chimpokosera-Mseu	Environmental Specialist
Polycarp Omondi Otieno	Team Member
Alice Chingoma	Team Member
Greshom Sichinga	Team Member
Fisseha Tessema Abissa	Social Specialist
Deliwe Hazel Gama	Procurement Team
Omer Nasir Elseed	Team Member
Celia A Dos Santos Faias	Team Member
Dmitry Chugunov	Team Member
Adama Ouedraogo	Team Member
Karthika Radhakrishnan	Team Member
Edmund Motlatsi Motseki	Team Member
Innocent Kibira Najjumba Mulindwa	Team Member
Soren Nellemann	Team Member
Natalia Cherevatova	Team Member
Michael N. Mambo	Team Member

**B. STAFF TIME AND COST**

Stage of Project Cycle	Staff Time and Cost	
	No. of staff weeks	US\$ (including travel and consultant costs)
Preparation		
FY15	7.380	44,619.77
FY16	30.455	288,405.70
FY17	48.726	128,410.35
FY18	21.670	-1,347.56
FY19	26.803	-99,464.37
FY20	0	-381,550.32
Total	135.03	-20,926.43
Supervision/ICR		
FY17	0	24,288.92
FY18	35.820	188,684.42
FY19	26.426	270,001.51
FY20	37.561	517,845.55
Total	99.81	1,000,820.40



ANNEX 3. PROJECT COST BY COMPONENT

Components	Amount at Approval (US\$M)	Actual at Project Closing (US\$M)	Percentage of Approval (US\$M)
Component 1: Performance-based school improvement grants for improving promotion and retention.	10.24	10.273	100.32
Component 2: Improving Equity for the most disadvantaged, including girls.	9.60	9.600	100
Component 3: Improving learning outcomes, accountability and cost- effectiveness at school level.	6.91	6.865	99.35
Component 4: Variable Part/Disbursement Linked Indicators.	13.47	12.225	90.76
Component 5: Project management, and sector program support and coordination.	4.68	4.761	101.73
Total	44.90	43.724⁷¹	97.38



ANNEX 4. EFFICIENCY ANALYSIS

1. **The economic analysis for the Malawi Education Sector Improvement Project (MESIP, P154185) evaluates the benefits and costs associated with the project.** The economic analysis presents an analysis of (a) the impact on internal efficiency and cost savings, that is, the government budget savings due to the reduction of 'inefficient' expenditures on students that continuously repeat grades and drop out from the system (Internal Efficiency Gains), and (b) the impact of completion probabilities in primary education, that is, direct private returns to schooling (External Efficiency Gains).

Economic Rationale for Public Investment in Sustaining Primary Education Enrollment in Malawi

2. **The rationale for public sector financing of primary education is well established.** Investments under the project were to strengthen efficiency and equity at the primary education level overall, likely contributing to improved learning outcomes at the school level. The pressing needs and challenges for both improved efficiency and equity warrant public sector support consistent with Malawi's commitment to providing universal primary education of good quality to all children.

3. **Investments in primary education in Malawi are justified** by the high repetition ranging from 30 percent in Standard 1 to 20 percent in Standard 8 (22.7 percent on average), low student retention with only two-thirds of students entering Standard 1 surviving to Standard 5, low primary completion rates (58 percent), and weak learning levels among enrolled students. According to the results of international student assessments, despite improvement in recent years, Malawi still registers the lowest learning levels in the Eastern and Southern Africa region, with most Standard 6 learners not being able to achieve the expected minimum levels of learning in Mathematics or English (Bashir et al., 2018).⁷² Around 90 percent of students cannot read a single word by the end of grade 2 (World Bank WDR 2018).⁷³

The Project's Development Impact

4. **The project aimed to contribute positively to Malawi's education system and national economic development.** It intended to improve learning in the lower grades and primary sub-sector efficiency overall. To that end, the project interventions were to affect the probability of a child completing the lower primary education and transitioning to upper primary school. This, in turn, is to yield gains in labor earnings measured over the course of a standard working life. The key project's economic impact is, therefore, estimated as the incremental benefit accruing to a representative child as the result of effects induced by the program's interventions.

5. **More specifically, the construction of additional classrooms under the project aimed at improvements in the class size, student-teacher ratios, and a better learning environment.** Performance-based school improvement grants were to incentivize schools to make better use of existing resources to achieve improved learning and efficiency goals through reduced repetition rates and better retention of students. Gains in internal efficiency are to lower the cost to the government for providing primary education in the lower grades. As fewer students fail and repeat grades, government spends fewer resources. Improvements in teachers' behavior toward girls and overage children are likely to result in reduced dropouts in the course of the primary education cycle.

Financial and Economic Analysis

6. **The Malawi Education Sector Improvement Project is likely to yield positive results on the education quality in the medium run** as it: (a) targeted an area of intervention—primary education—that is critical for long-term school



performance, as measured by standardized assessment; (b) supported and complemented the government's reforms in this area, and (c) provided additional instrumental funding to support both cost-effective and well-targeted primary education programs.

7. **The analysis was therefore restricted to the quantifiable economic impact and benefits.** These comprise: (a) impact on internal efficiency estimates and cost savings, that is, government budget savings due to the reduction of 'inefficient' expenditures on pupils that drop out (Internal Efficiency Gains), and (b) impact of completion probabilities in primary education, that is, direct private returns to schooling (External Efficiency Gains).

8. **The importance of schooling and learning to economic growth and development is well documented.** Education is central to achieving the goals of eliminating extreme poverty and boosting shared prosperity. High levels of education are often associated with improved economic opportunities, including higher improved access to jobs and higher lifetime wages. Education is also correlated with healthier life choices and increased voice and agency, the ability to make decisions and act on them. At the country level, economic benefits include increased rates of economic growth through gains in productivity and a greater capacity to adopt new technologies. But education is not only instrumental in promoting development; it is also by itself an end of development.

Impact on Internal Efficiency Estimates and Cost Savings

9. **Internal efficiencies of Malawi's education system.** The government benefits are estimated in terms of reduced inefficient public spending as a result of improved internal efficiency in Malawi's education system. Inefficient spending is defined as the money that the government spends through teacher salaries and other education-related items, such as goods and services for schools, on students who repeat grades and drop out before completing the primary education cycle. The project examined the evolution of inefficient government spending on schools that benefited from receiving school improvement grants.

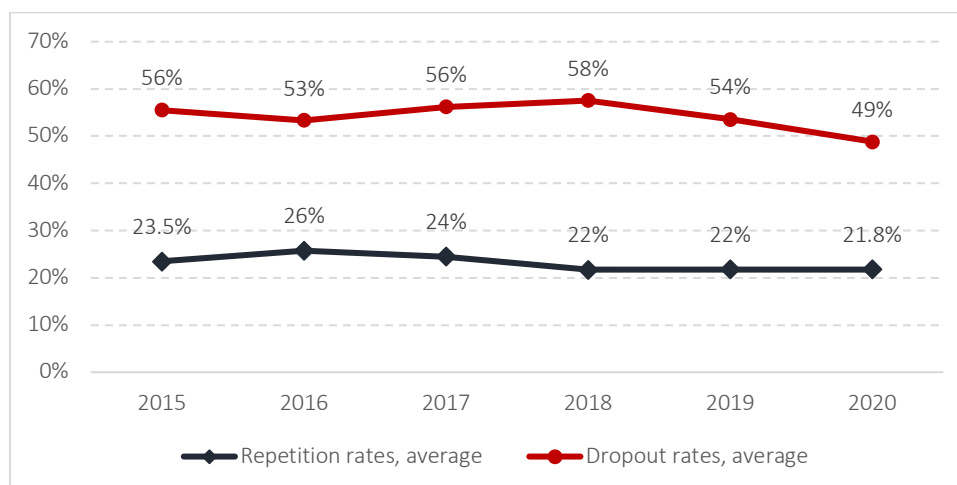
10. **The project intended to sustain enrollment in public schools in Malawi,** which is likely to lead to improved internal efficiency of primary education through preventing children from dropping out, thereby improving retention rates between grades 1 and 8.

11. **The current economic analysis** presents estimates of the efficiency gains in primary education between 2015/16 and 2020/21, based on enrollment estimates employing UN population projections, average values from recent years for intake into grade 1 of primary education (from the Malawi EMIS) relative to population, and recent trends in promotion and retention in each grade of primary school. The analysis employs the same projections as the current education sector strategic program (ESSP), including for the GDP growth (IMF/World Bank), the share of domestic resources spent on education.

12. **Gains from improved internal efficiency** show that the project succeeded in achieving its objective of sustaining enrollment in public schools: the number of students in target schools increased by 18 percent from 440,000 in 2015 to 520,000 in 2020. The repetition rate in schools that received performance-based grants and new construction decreased from 24 percent in 2015 to 22 percent in 2020. Student retention in those schools increased from 21 percent in 2015 to 29 percent in 2020.



Figure 1. Evolution of repetition and dropout rates in MESIP target schools, 2015-2020 (percent)



Source: authors' estimates based on Malawi EMIS (2015-2020) and MESIP data.

13. **The potential change in inefficient government spending** is explored throughout the project implementation. The analysis assumes that without the project, internal efficiency indicators, including promotion and repetition rates, would stay unchanged (the 'business as usual' scenario). This scenario was compared with the actual case in which the project activities resulted in an 18 percent increase in student enrollment from 440,000 in 2015 to almost 520,000 in 2020.

14. **Inefficient public spending is estimated by multiplying the unit cost in primary education by the number of repeaters and those students that drop out from school.** The following formula is used to estimate inefficient spending:

$$\text{Inefficient Spending} = \sum_{i=1}^8 (D_i^x * N_i^x + R_i^x * N_i^x) * S^x,$$

where D_i^x and R_i^x are dropout and repetition rates, respectively, in grade i in year x in target schools; N_i^x is the number of students enrolled in grade i in year x ; S^x is the government spending per student in year x .

15. Given that Malawi spends approximately 8.2 percent of its GDP per capita per primary education student⁷⁴ and the country's GDP per capita is about US\$ 625,⁷⁵ the inefficient government spending on MESIP target schools decreased by US\$ 2.4 million in 2020 prices, which is equivalent to 1.6 percent of total government expenditures in primary education.

Impact on External Efficiency Estimates and Cost-Benefit Analysis

16. **The project supported activities to promote education outcomes**, which are a critical component of human capital. As the nature of work evolves in response to rapid technological change, investing properly in human capital is considered not only desirable but necessary in the pursuit of economic development and wealth. To illustrate this concept, the World Bank developed the Human Capital Index (HCI), which measures the impact of underinvesting in human capital on the productivity of the next generation of workers. It is defined as the amount of human capital that a child born today can expect to achieve in view of the risks of poor health and poor education currently prevailing in the country where that child lives.

17. **Education is a major component of the HCI**, and Africa is the region of the world with the highest economic returns



to education. The key drivers of these returns are the quality of education and the average years of schooling that a child may benefit from. Analyses of HCI among developing countries show that Malawi is underinvesting in the future productivity of its citizens.

18. A child born in Malawi today will be 41 percent as productive when she grows up as she could be if she enjoyed complete education and full health. This is slightly higher than the average for Sub-Saharan Africa region and higher than the average for low-income countries. Between 2010 and 2020, the HCI value for Malawi increased from 0.36 to 0.41. A child born today in Malawi is expected to complete only 9.6 years of education combined by age 18, compared to a regional average of 8.1. Because of the low levels of learning achievement in Malawi, this is only equivalent to 5.5 years of learning, with 4.1 years considered lost due to poor quality.

19. Private returns to education are high in Sub-Saharan Africa, where one additional year of education (primary through higher education) represents on average a 12.4 percent increase in expected income. These returns also increase with education level. For higher education, the regional average is 21.0 percent, while the returns to primary and secondary education are 14.4 percent and 10.6 percent, respectively.

20. Studies on Malawi confirm the private returns to education as demonstrated by a positive correlation between the level of education of the household head and income. Table 6 below displays the results from a Mincerian estimation of regressing the logarithm of workers' income on education. The results confirm a positive and significant correlation between the household level of education and income. The figures imply that having attained a primary education increases annual income by 20.0 percent compared to someone with no schooling. This impact of education increases to reach 41.1 percent for individuals with secondary education in comparison to those with no education and further rises to 103.6 percent for higher education. The second model specification show that an additional year of schooling yields approximately 9.4 percent higher salary in the labor market. This very high premium for higher educational levels indicates a high labor market demand for a qualified workforce and reflects the exceptionally low enrolment rates for higher levels of education.

Table 6. Results from a Mincerian Estimation of Regressing the Logarithms of Workers' Income on Education

	Mincer Earning Equation (1)	Years of schooling (2)
<u>Highest Education Level Achieved:</u>		
Primary	0.200***	-
Secondary	0.411***	-
TVET/University	1.036***	-
Number of years of schooling	-	0.094***
<u>Control variables:</u>		
Age	0.058***	0.062***
Age squared	-0.001***	-0.001***
Sex (Female=1)	-0.196***	-0.165***
Type of Settlement (Rural=1)	-0.356***	-0.353***
Year (2016=1, 2013=0)	-0.033***	-0.039***
Number of observations	9,827	9,827
Adj R-squared	0.50	0.48

Source: Authors' estimation based on Malawi 2013 and 2016 Household Survey data

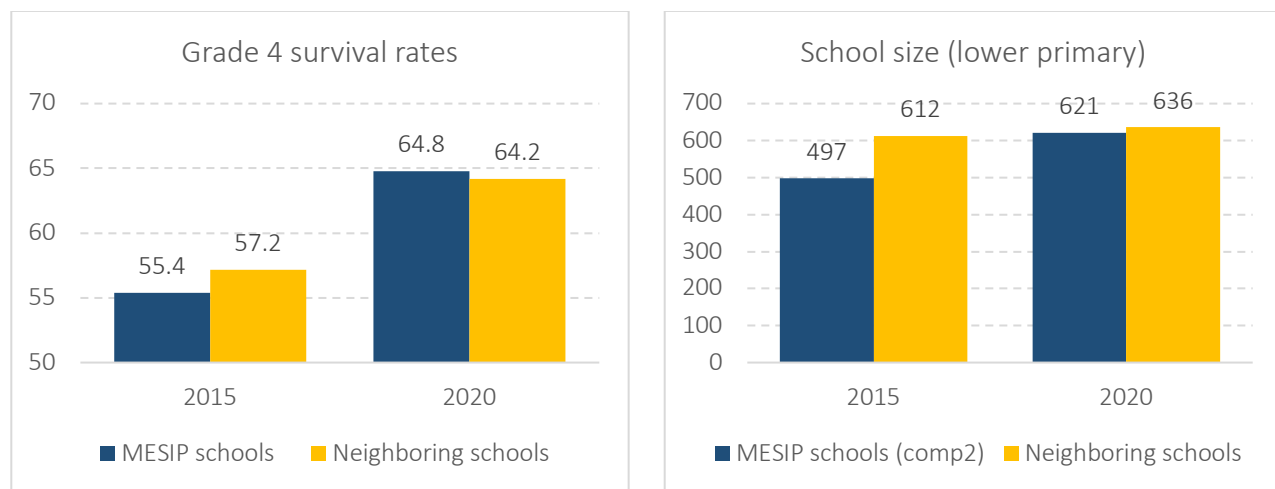
*** 1 percent significance level. "No education" is the reference group.



21. **MESIP contributed to higher student retention in target schools.** Decreases in repetition rates (as displayed above in Figure 1) resulted in higher promotion rates in public schools, which on average increased by 2.8 percentage points. Improvements in promotion rates were especially pronounced in lower grades, which benefited the most from the MESIP interventions.

22. We compare performance of MESIP target schools with schools located within 4 km radius from them. It's remarkable that MESIP target schools were lagging behind their neighbors in term of student retention before the project started and managed to catch up and slightly overperform their neighbors. Grade 4 survival rates increased by 9.4 percentage points ($p < 0.05$) reaching 64.8 percent (Figure 2). Student enrollment in school that received additional classrooms under component 2 of the project increased by 25 percent compared to only 4 percent enrollment increase in neighboring schools ($p < 0.01$).

Figure 2. Comparison of survival rates and school size (average number of students) between MESIP target schools and their neighboring schools within 4 km radius, 2015 and 2020



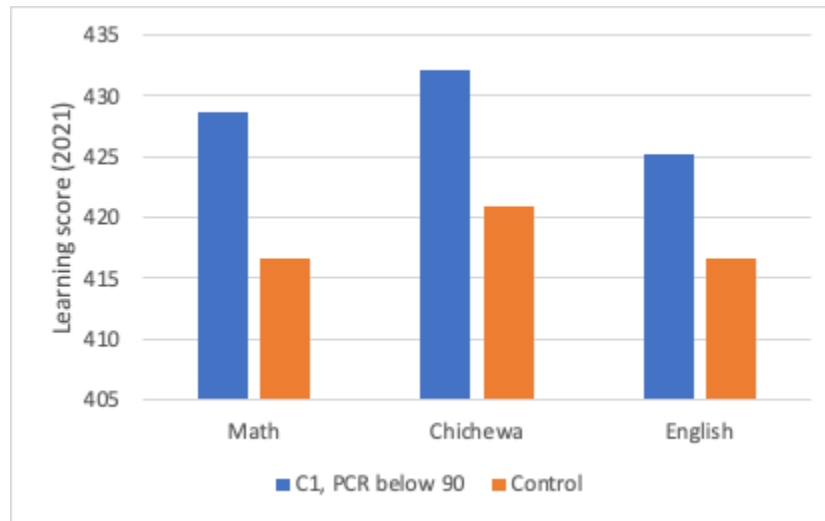
Source: authors' estimates based on Malawi EMIS (2015-2020) and MESIP data.

23. In order to assess the impact of the MESIP interventions on learning outcomes, we exploit learning data from the Malawi Longitudinal Schools Survey (MLSS). The MLSS conducted learning assessments with more than 10,000 Standard 4 students across Malawi in 2016 and re-tested more than 5,000 of them (randomly selected) again in 2021.

24. **Preliminary descriptive analysis suggests that MESIP helped schools to significantly improve learning outcomes.** Schools which constructed a learning shelter with Base Grants or PBGs, and were able to reduce their PCR to below 90, have learning scores at endline 9-12 points higher (on a mean-adjusted scale centered at 500, across English, Math and Chichewa) than control schools in the same zones which were not part of C1. This represents a significant gain in learning equivalent to around half a term's additional learning (Figure 3).

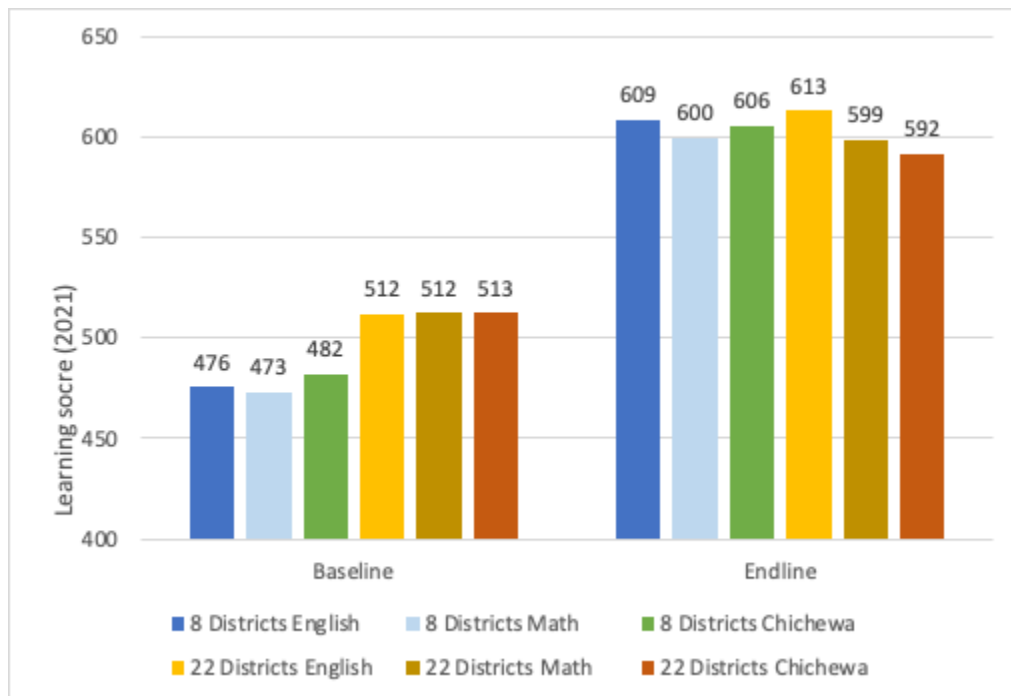


Figure 3. Learning impact of classroom construction under Component 1



25. Looking at the overall impact of MESIP on learning focusing again on the difference between the 8 districts and non-MESIP districts,⁷⁶ evidence indicates that MESIP helped substantially close the gap in learning between the 8 districts and the non-MESIP districts. In 2016 prior to the implementation of MESIP, students in the 8 districts lagged behind students in the other districts in English, Math and Chichewa by an average of 35 points (on a mean-adjusted scale centered at 500), equivalent to more than six months' learning.⁷⁷ By 2021, following the completion of MESIP, this gap had closed to just three points on average, and students in the eight districts were achieving higher average scores in than in the non-MESIP districts in Chichewa (Figure 4).

Figure 4. Learning outcomes in 8 disadvantaged districts v 22 non-MESIP districts

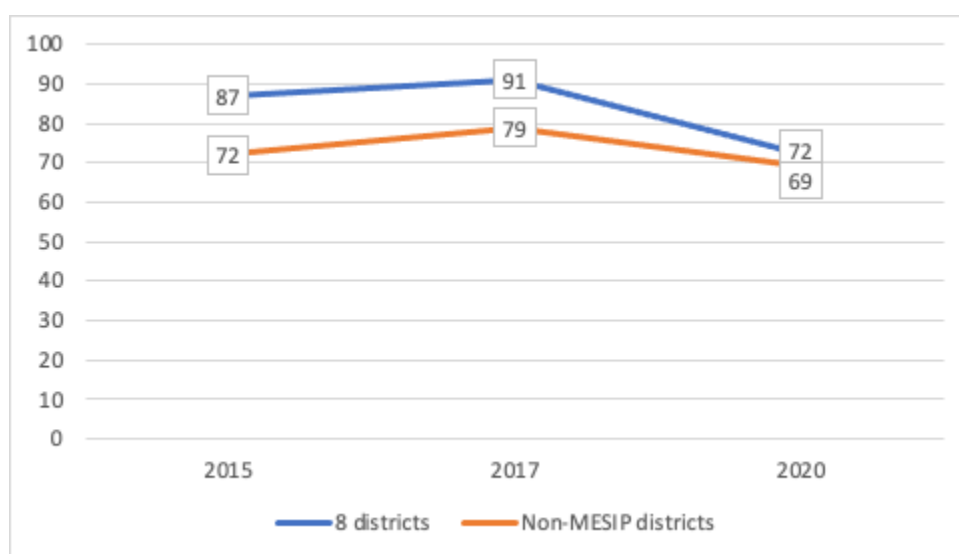




26. **MESIP also reduced PqTRs between the 8 most disadvantaged and other districts.** PqTRs were particularly high in the 8 districts, and this was one of the disadvantages for which they were selected for MESIP interventions. MESIP supported improved PqTRs through both hiring of auxiliary teachers (supported by grants to schools under Component 1) and policy reforms to improve the distribution of teachers between schools, supported by a Disbursement-Linked Indicator rewarding improvements in PqTR in Standards 1-2.

27. Analysis suggests that MESIP significantly reduced the gap in PqTRs between the 8 districts and other districts. Prior to MESIP (EMIS 2015), the average school PqTR in the 8 districts was 20 percent higher than in the non-MESIP districts, 87:1 versus 72:1. By the end of MESIP (EMIS 2020), the average PqTR in the 8 districts was just 4% higher than in the non-MESIP districts at 72:1 versus 69:1. (Figure 5). Forthcoming analysis will assess the learning impact of these reductions in PqTR.

Figure 5. PqTR in 8 disadvantaged districts v 22 non-MESIP districts



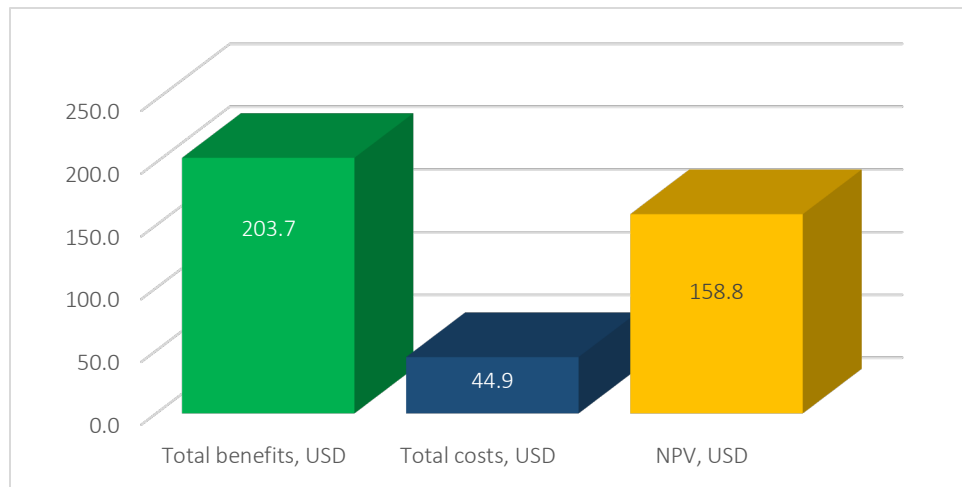
28. **Costs** are equivalent to the total cost of the project. The project was financed through a grant from the Global Partnership for Education of US\$44.9 million inclusive of the Grant Agent supervision fees over the period of 6 years from 2016 to 2021.

29. **In Malawi, primary education lasts eight years**, from ages 6 to 13. It was assumed that students would join the labor market the year after graduating and work for 40 years. The unemployment rate for the labor force was taken into account with primary education reported by the International Labor Organization. The discount rate used to calculate the present value of costs and benefits was 8 percent.

30. The economic analysis confirms the economic rationale of the project, with Net Present Value (NPV) of US\$158.8 million during the period 2021-2066 and Internal Rate of Return (IRR) of 17 percent Figure 6. The project is expected to break even (after which total net benefits will become positive) by 2035.



Figure 6. The Project's Total Costs, Total Benefits, and Net Benefits (Project Net Present Value), million US\$ (in 2021 prices)



Source: authors' estimates based on Malawi EMIS (2015-2020) and MESIP data.



ANNEX 5. BORROWER, CO-FINANCIER AND OTHER PARTNER/STAKEHOLDER COMMENTS

1. MESIP hosted a project closing and ICR workshop from September 21, 2021 to September 24, 2021 with the World Bank, Government of Malawi, stakeholders and beneficiaries, after the closing of the project on July 30, 2021. The national and participating district teams, as well as the World Bank team, presented on the various project activities and discussed MESIP's achievements, challenges, lessons learned, and served as a basis upon which strong knowledge transfer can occur between MESIP and other upcoming education projects in Malawi.⁷⁸
2. The findings of the ICR workshop have been captured in a comprehensive borrower Project Completion Report (PCR) that members of the Government of Malawi wrote after its completion. Specifically, the World Bank received the final version of the Government's own project completion report on October 21, 2021, and archived it in World Bank Docs on January 26, 2022, for reference and information.
3. Link to Borrower ICR document:  [Malawi Education Sector Improvement Project \(MESIP\) Project Completion Report \(PCR\)-Final.docx](#).⁷⁹



ANNEX 6. ADDITIONAL PROJECT DETAILS

Table 7. Achievements Under Objective 1

Objective 1: To improve the quality of primary education in selected districts and schools								
(1)	Targets and current status				Analysis of progress to meet end-of-project target			
	(2)	(3)	(4)	(5)	(6)	(7)		(8)
PDO indicators (PDIs)	Baseline	Original Target	Revised Target*	Current	Change required to meet end-of-project target	Actual achievement relative to the end-of-project target		Comments
1) Number of additional standard classrooms built in selected primary schools resulting from project interventions (number)	0	500	N/A	500	500 classrooms	500 classrooms	100 percent	Target achieved
Source: Created by the author based on a review of the PAD, restructuring paper and ISRs.								
* In the few cases where targets were revised at project restructuring, the analysis is made against the new targets.								

Figure 7. Learning impact of classroom construction under Component 1

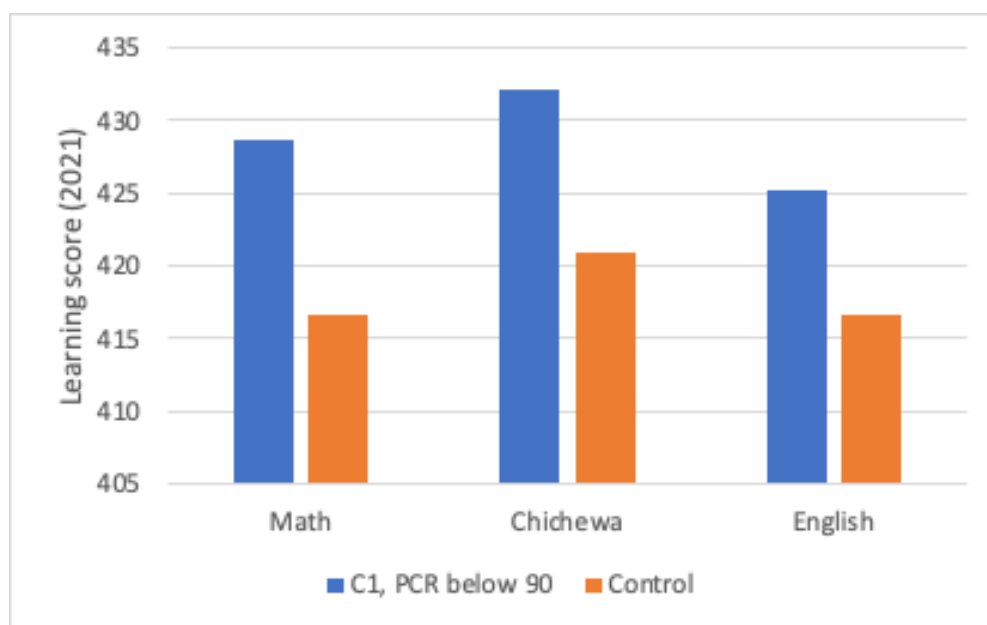




Figure 8. Cumulative distribution of test scores at baseline and endline in MESIP and non-MESIP districts

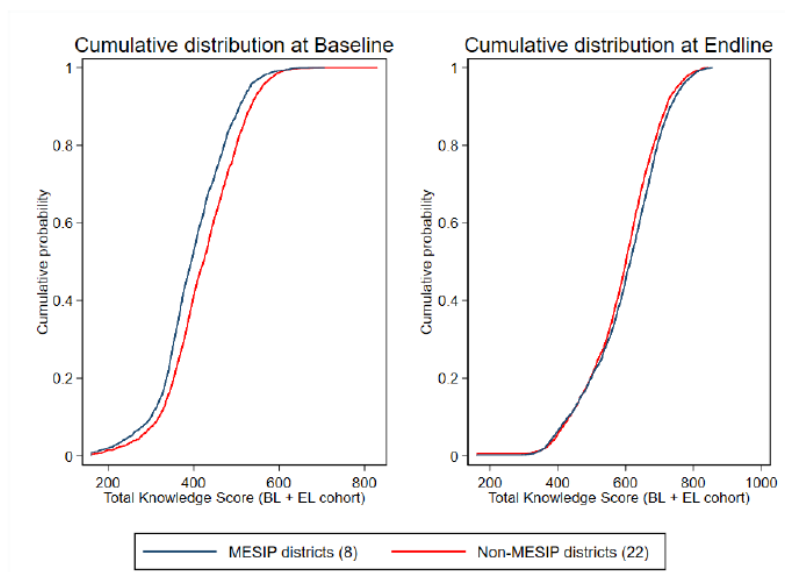


Table 8. Achievements Under Objective 2

Objective 2: To improve the equity of primary education in selected districts and schools								
		Targets and current status			Analysis of progress to meet end-of-project target			
(1)	(2)	(3)	(4)	(5)	(6)	(7)		(8)
PDO indicators (PDIs)	Baseline	Original Target	Revised Target*	Current	Change required to meet end-of-project target	Actual achievement relative to the end-of-project target		Comments
1) Pupil to Qualified Teacher Ratio (PqTR) in grades 1-2 in the 8 most disadvantaged districts (text)	166 pupils to 1 qualified primary school teacher	10 percent reduction ⁸⁰	132 pupils to 1 qualified primary school teacher (20 percent reduction) ⁸¹	132 pupils to 1 qualified primary school teacher (20 percent reduction)	20 percent reduction from 166 to 132	107.3 pupils to 1 qualified primary school teacher (34.9 percent reduction from 166)	173 percent	Target exceeded
2) Percent of targeted schools meeting minimum standards in National Education Standard (NES) 16 in the 8 most disadvantaged districts (custom)	62.70	78.38	N/A	78.38	~15 percent points increase	71.10	53.6 percent	Target not achieved
Source: Created by the author based on a review of the PAD, restructuring paper and ISRs.								
* In the few cases where targets were revised at project restructuring, the analysis is made against the new targets.								



Table 9. Achievements Under Objective 3

Objective 3: To improve the efficiency of primary education in selected districts and schools								
	Targets and current status				Analysis of progress to meet end-of-project target			
(1)	(2)	(3)	(4)	(5)	(6)	(7)		(8)
PDO indicator (PDI)	Baseline	Original Target	Revised Target*	Current	Change required to meet end-of-project target	Actual achievement relative to the end-of-project target		Comments
1) Grade-wise promotion rates in lower primary grades in targeted districts (percentage)	65.4	67.4	N/A	67.4	2 percent points increase	68	130 percent	Target exceeded
Source: Created by the author based on a review of the PAD, restructuring paper and ISRs.								
* In the few cases where targets were revised at project restructuring, the analysis is made against the new targets.								

Table 10. School Leadership Programme: Test Scores: ITT estimates for ANCOVA model using Longitudinal

	(1) Math Score b/se	(2) English Score b/se	(3) Total Score b/se
Treatment	12.972** (5.63)	9.574 (5.87)	11.214** (5.51)
Baseline Math Score	0.299*** (0.02)		
Baseline English Score		0.321*** (0.02)	
Baseline Total Score			0.334*** (0.03)
constant	460.679*** (11.02)	458.841*** (10.97)	450.077*** (12.69)
Observations	4339.000	4339.000	4339.000
R-sqr	0.096	0.098	0.117

Data Source: MLSS 2021.

Scores are for all students.

Baseline + Endline Knowledge score distribution is used.

Standard Errors are clustered at school level

All values are winsorised at 1st and 99th percentile

* p<0.10, ** p<0.05, *** p<0.01



Table 11. School Leadership Programme: ANCOVA (Gradewise Repetition)

	(1) Std. 1 RR b/se	(2) Std. 2 RR b/se	(3) Std. 3 RR b/se	(4) Std. 4 RR b/se
Treatment	-2.841 (2.48)	-0.228 (1.84)	-2.146 (1.84)	-4.576** (1.87)
constant	31.895*** (2.32)	24.740*** (1.64)	24.518*** (1.81)	21.974*** (1.76)
Observations	326.000	326.000	327.000	326.000
R-sqr	0.036	0.016	0.028	0.050

Data Source: MLSS 2021.

School level Variables. Baseline outcome variable is a covariate.

* p<0.10, ** p<0.05, *** p<0.01

Figure 9. Original Theory of Change for MESIP (taken from the PAD)

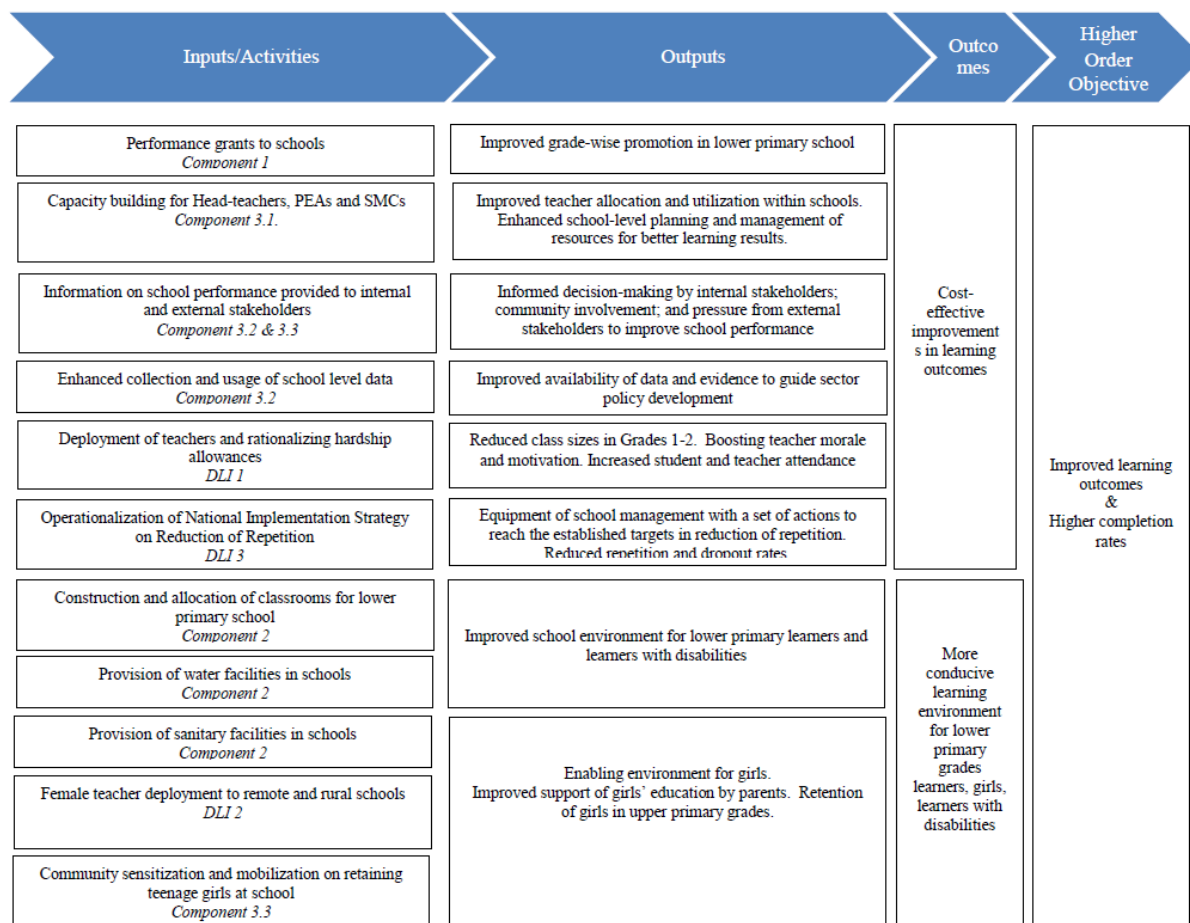
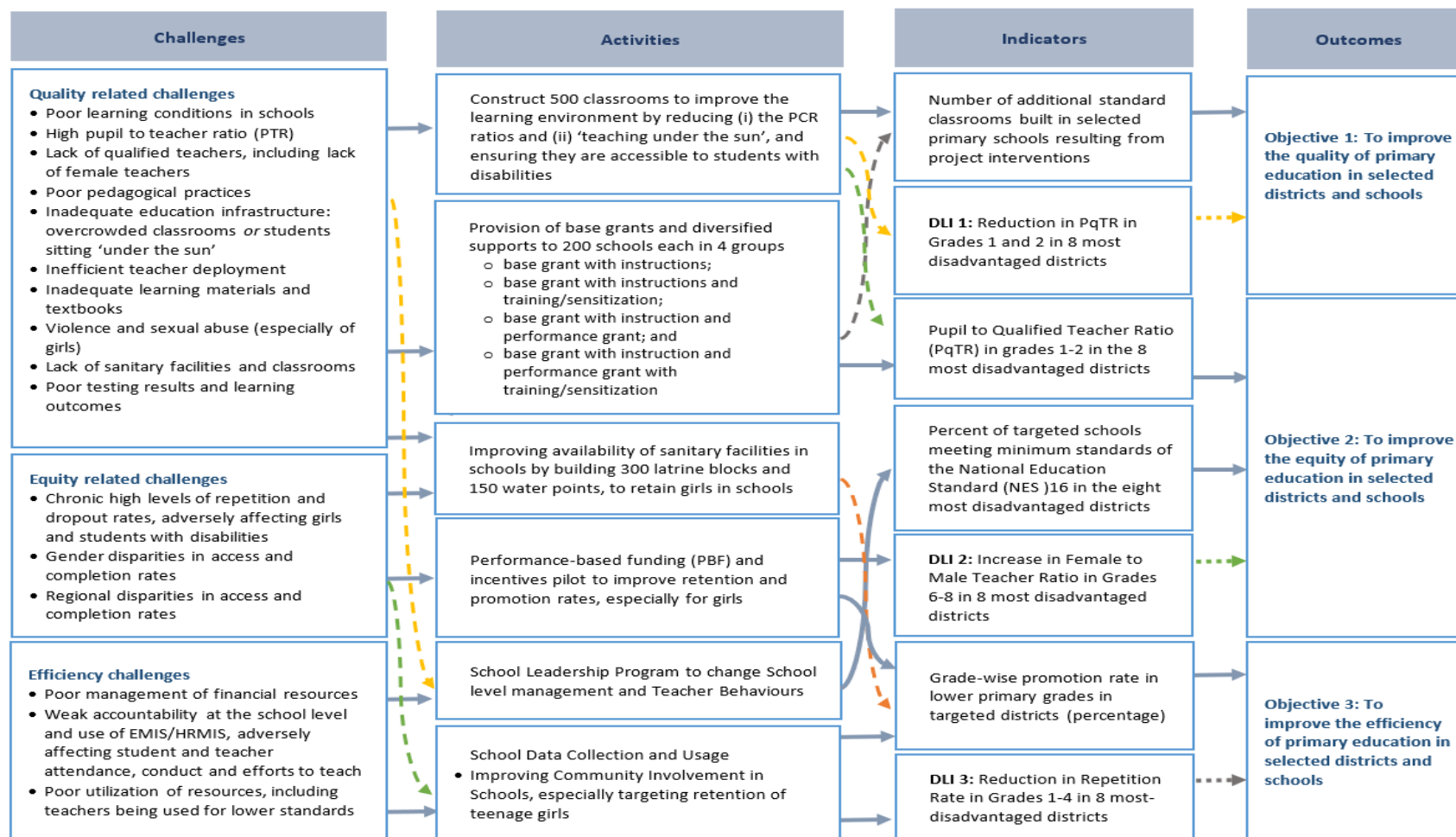




Figure 10. Revised Theory of Change for MESIP



Source: The theory of change was developed for the ICR by the author to reflect the project's objectives post-MTR.



Table 12. Summary of changes during the first Level II Restructuring (October 2019)

ORIGINAL Indicator Name	ORIGINAL (PAD) Baseline	ORIGINAL (PAD) End Target	REVISED/NEW Indicator Name	REVISED (RP) Baseline	REVISED (RP) End Target
PROJECT DEVELOPMENT OBJECTIVE INDICATORS					
Number of additional classrooms built at the primary level resulting from project interventions. <i>(core indicator)</i>	0	500	Number of additional standard classrooms built in selected primary schools resulting from project interventions <i>(revised indicator definition and coverage)</i>	0	500
Pilot interventions for cost-effective improvements in learning outcomes implemented	No	Yes	Percent schools in the eight most disadvantaged districts meeting minimum standards in NES 16 <i>(replacement indicator)</i>	To be validated during the forthcoming mission.	25 pp increase from baseline
Reduced PqTR in lower primary grades in targeted districts.	145	130.5 (10% reduction)	PqTR in grades 1-2 in the 8 most disadvantaged districts (DL1) <i>(transferred from the DLIs, Indicator definition, baseline and end line target revised)</i>	166	132 (20% reduction to align with DL1)
Increased grade-wise promotion rates in lower primary grades in targeted districts	68	70	Grade-wise promotion rate in lower primary grades in targeted districts <i>(revised definition and baseline)</i>	65.4	67.4
INTERMEDIATE RESULTS INDICATORS					
Participating schools received performance grant allocation	0	400	Number of schools in PBF treatment receiving performance grants allocation <i>(revised definition)</i>	0	400
			Framework for conducting low stakes zonal tests finalized and endorsed <i>(new indicator)</i>	No	Framework endorsed by the LEG
			Common zonal tests conducted in grades 3 and 4 in the 8 disadvantaged districts <i>(new indicator)</i>	No	Common tests conducted, and results disseminated
	23.8	21.3	Repetition Rate in Grades 1-4 in 8 most disadvantaged districts (DL13) – <i>new indicator, transferred from the DLIs</i>	23.7 (was 23.8 in PAD) (data validation process yielded 23.7)	21.3 (reconciles with the 10 percent reduction end target in PAD)
			Repetition Rate for girls in Grades 1-4 in 8 most disadvantaged districts (DL13) – <i>introducing gender disaggregation of the indicator</i>	23.2%	20.9% (reconciles with the 10 percent reduction end target in PAD)
			Dropout rate for girls in upper primary grades 5-7 in the 8 most disadvantaged districts <i>(new indicator)</i>	27.1%	16.0%
			Female to male teacher ratio in grades 6-8 in 8 most disadvantaged districts (DL12) <i>(new indicator), RP main text proposes that this indicator be transferred from the DLIs to the RF, measuring only the 8 original districts.</i>	Baseline remains the same	10 percent increase over baseline
			Number of low-cost learning facilities built for lower primary in the 8 disadvantaged districts <i>(new indicator)</i>	0	1000

ORIGINAL Indicator Name	ORIGINAL (PAD) Baseline	ORIGINAL (PAD) End Target	REVISED/NEW Indicator Name	REVISED (RP) Baseline	REVISED (RP) End Target
Water facilities (Hands washing points)	0	150	<i>dropped</i>	<i>dropped</i>	<i>dropped</i>
Sanitary facilities: total number of blocks by gender (Total)	0	300	Number of sanitary facilities constructed in target schools <i>(indicator definition and coverage revised)</i>	0	300
• number of blocks for boys	0	100	Number of sanitary blocks for boys	0	114
• number of blocks for girls	0	200	Number of sanitary blocks for girls		228
Schools with trained HTs and Deputy HTs	0	800	Number of headteachers and deputy head teachers trained <i>(revised)</i>	0	800
PEAs trained in teachers' management at school level	0	150	% of teachers observed at least once a term in selected schools by their headteachers <i>(replacement indicator)</i>	57.9%	80.0%
Zonal officers, Head- teachers, Deputy Head- teachers trained on interpretation of report cards	0	800	Average teacher attendance in targeted schools <i>(replacement indicator)</i>	82.5%	90%
			Average teacher utilization rate in lower primary <i>(replacement indicators)</i>	56.8%	62.0%
Schools where observations of performance of school Head-teachers, Deputy Head-teachers and PEAs performed	0	800	<i>Dropped</i>		
			Average learner attendance rate in targeted schools <i>(replacement indicator)</i>	62.2%	72.2%
Citizen-feedback mechanism established in participating communities/zones	No	Yes	Number of meetings schools hold with parents in a school year <i>(replacement indicator)</i>	1.8	3
			No of unique community members who sent messages through the 3.3 Community Dialogue Platform <i>(replacement indicator)</i>	To be established in Year 3 2019/2020	20 pp increase over baseline



Table 13: SIGs and PBF grants and activities according to school groups

GROUP 1 200 Schools	GROUP 2 200 Schools	GROUP 3 200 Schools	GROUP 4 200 Schools
Base Grant	Base Grant	Base Grant	Base Grant
Guidelines	Guidelines	Guidelines	Guidelines
	Training	Performance Grant	Training
			Performance Grant

Table 14: Summary of Base grants distributed to 800 schools by tranche

Tranches of base grants	Total Amount (MK)
1. Financial Year 2016/17	1,627,481.88 (US\$1,599,176)
2. Financial Year 2017/18	1,627,481.88 (US\$1,597,963.86)
3. Financial Year 2018/19	1,232,090,338 (US\$ 1,705,760.39)
Totals	3,559,731,734.00 (USD 4,959,512)

Table 15: Award of PBG (2017-21)

	Amounts disbursed (USD)	No of Schools eligible	Target	No of schools qualified/awarded
2017-18	100,254	400	200	264
2018-19	157,254	400	300	317
2019-20	214,590	400	400	325
2020-21	282,205	400	400	340



Figure 11: Distribution of expenditure by activity in all the 800 targeted schools

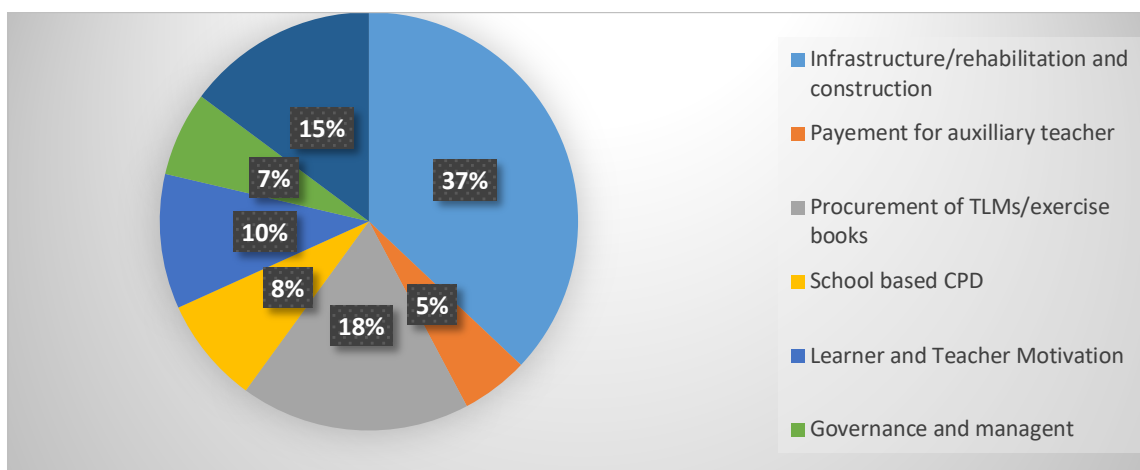
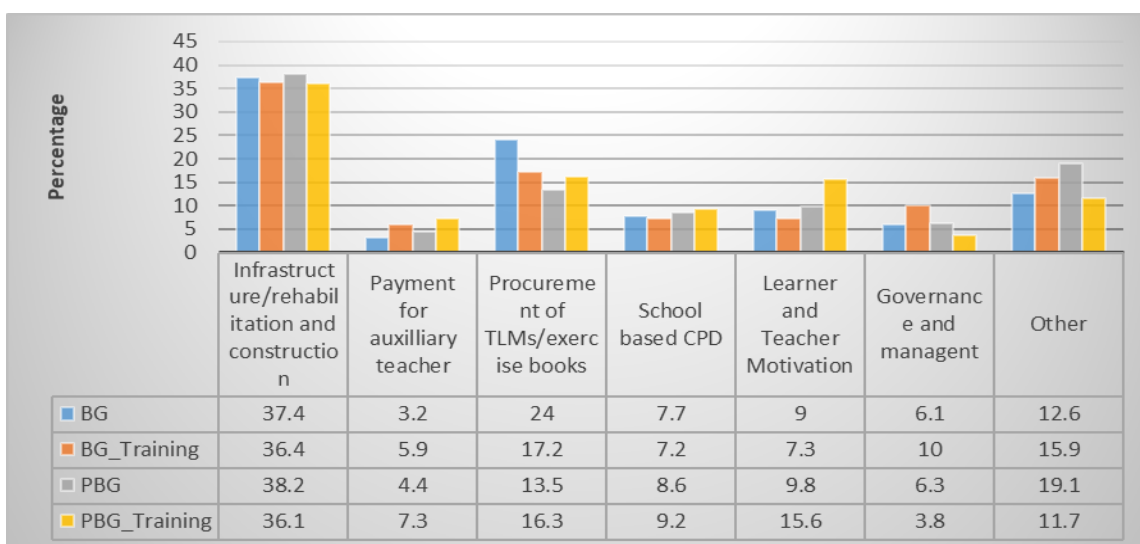


Figure 12: Distribution of expenditure by treatment



*Table 16: District Specific female to male teacher ratio*

No	Districts	Female to male teacher ratio
1	Chikwawa	0,31
2	Dedza	0,31
3	Kasungu	0,35
4	Lilongwe R. West	0,46
5	Machinga	0,38
6	Mangochi	0,43
7	Mzimba South	0,37
8	Thyolo	0,36

Table 17. Key complaints received by the Project

Type of Complaint	Number of Received	Remark/Status
Land ownership	5	There was 1 for Component 2 and 4 for Component 1. But all were resolved
Late Payments of wages	10	These were from construction sites and were resolved
Nonpayment of wages	46	All from construction sites and are all resolved
Delayed Completion of works	5	All from construction works and resolved
Marriage Interference	2	Recorded in Mzimba and Chikwawa and all resolved
Total	68	



Figure 13. DP activity in Malawi at the time of appraisal

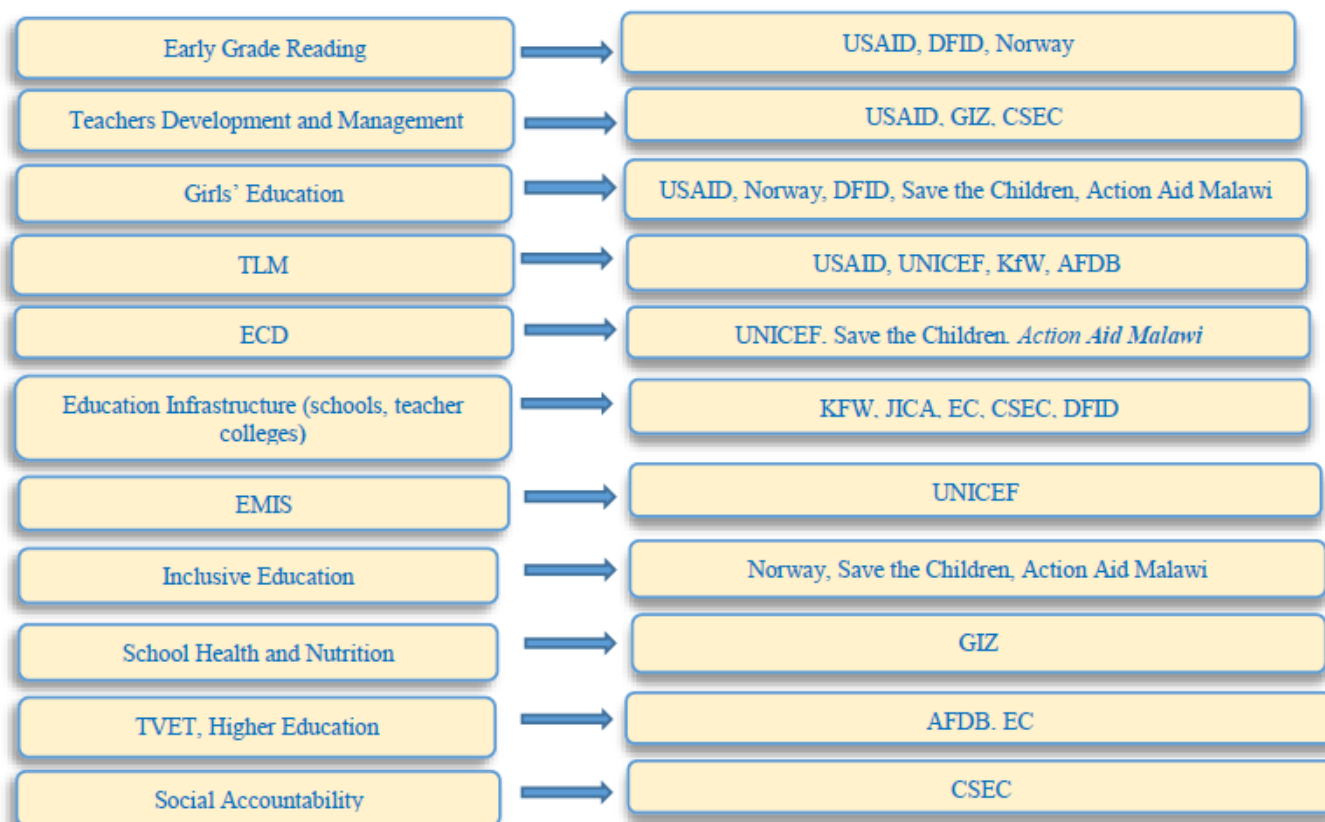




Figure 14. Students' knowledge scores in MLSS [8 vs. 22 districts]

Table 5: Students Knowledge scores in MLSS. 8 vs 22 districts

	(1) Total	(2) English	(3) Math	(4) Chichewa
Change from Baseline to Endline (Time)	166.04*** (2.82)	180.13*** (3.09)	170.86*** (3.20)	147.11*** (3.28)
Schools in MESIP districts (Treatment)	-25.10*** (2.47)	-25.16*** (2.53)	-26.88*** (2.81)	-23.27*** (3.21)
Time x Treatment	34.74*** (4.04)	27.93*** (4.37)	32.96*** (4.56)	43.32*** (4.72)
Constant	422.98*** (1.76)	418.41*** (1.84)	420.08*** (1.99)	430.44*** (2.25)
Students	4833	4833	4833	4833

Note: Harmonized scores * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Figure 15. Total Knowledge Score

Table 1: Total Knowledge Score (BL + EL cohort)

Variable	N	(1) Mean/SE	N	(2) Mean/SE	T-test Difference (2)-(1)
8 MESIP districts	2384	397.874 (1.727)	2384	598.649 (2.314)	200.775***
12 MESIP districts	3737	408.486 (1.403)	3737	583.782 (1.754)	175.296***
22 non-MESIP districts	2449	422.978 (1.759)	2449	589.015 (2.207)	166.037***

Notes: The value displayed for t-tests are the differences in the means across the groups. ***, **, and * indicate significance at the 1, 5, and 10 percent critical level.

Figure 16. English Knowledge Score

Table 2: English Knowledge Score (BL + EL cohort)

Variable	N	(1) Mean/SE	N	(2) Mean/SE	T-test Difference (2)-(1)
8 MESIP districts	2384	393.244 (1.742)	2384	601.307 (2.556)	208.062***
12 MESIP districts	3737	404.954 (1.443)	3737	584.074 (1.948)	179.121***
22 non-MESIP districts	2449	418.409 (1.840)	2449	598.542 (2.482)	180.132***

Notes: The value displayed for t-tests are the differences in the means across the groups. ***, **, and * indicate significance at the 1, 5, and 10 percent critical level.



Figure 17. Math Knowledge Score

Table 3: Math Knowledge Score (BL + EL cohort)

Variable	N	(1) Mean/SE	N	(2) Mean/SE	T-test Difference (2)-(1)
8 MESIP districts	2384	393.205 (1.982)	2384	597.032 (2.564)	203.828***
12 MESIP districts	3737	407.460 (1.613)	3737	585.410 (1.932)	177.950***
22 non-MESIP districts	2449	420.081 (1.989)	2449	590.946 (2.509)	170.864***

Notes: The value displayed for t-tests are the differences in the means across the groups. ***, **, and * indicate significance at the 1, 5, and 10 percent critical level.

Figure 18. Changes in PqTR in Standards 1 and 2

Table 6: Absolute change. Indicator: PqTR Std 1+2

	(1) 8 vs 22 districts
Change from 2016 to 2020 (Time)	-21.47*** (1.72)
School in MESIP district	31.43*** (2.70)
Time x Treatment	-25.19*** (3.06)
Constant	114.73*** (1.45)
Schools	4535

Notes: Standard errors in parentheses. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Figure 19. Changes in PCR between MESIP and non-MESIP districts

Table 15: Indicator: PCR

	(1) 8 vs 22 districts
Change from 2016 to 2020 (Time)	-4.59** (1.65)
School in MESIP district	17.09*** (2.01)
Time x Treatment	-3.11 (2.73)
Constant	107.10*** (1.20)
Schools	4535

Notes: Standard errors in parentheses. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$



Figure 20. Changes in repetition rates in Standards 1 to 4

Table 8: Absolute change. Indicator: Repetition Rate Average Standards 1-4

	(1) 8 vs 22 districts
Change from 2016 to 2020 (Time)	0.02*** (0.00)
School in MESIP district	-0.00 (0.00)
Time x Treatment	-0.01* (0.00)
Constant	0.25*** (0.00)
Schools	4535

Notes: Standard errors in parentheses. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Figure 21. Changes in female to male teach ratio in Standards 6 to 8

Table 7: Absolute change. Indicator: Female to Male teacher ratio Standards 6-8

	(1) 8 vs 22 districts
Change from 2016 to 2020 (Time)	0.12** (0.05)
School in MESIP district	-0.31*** (0.03)
Time x Treatment	-0.00 (0.05)
Constant	0.55*** (0.03)
Schools	4535

Notes: Standard errors in parentheses. * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$



Figure 22. Impact of School Leadership training programme on students' test scores

ITT findings: test scores

	(1) Math Score b/se	(2) English Score b/se	(3) Total Score b/se
Treatment	12.146** (5.53)	8.616 (5.76)	10.056* (5.39)
BL Math Knowledge Score	0.397*** (0.02)		
BL English Knowledge Score		0.429*** (0.03)	
BL Total Knowledge Score			0.487*** (0.03)
constant	418.065*** (9.82)	412.906*** (11.58)	385.042*** (11.58)
Observations	4339.000	4339.000	4339.000
R-sqr	0.111	0.111	0.143

- Treatment associated with **significant increase in scores** for Longitudinal sample of students
- Controlling for baseline scores

Baseline = Grade 6 Knowledge score distribution in 2007.
Standard Errors are clustered at school level.
All values are estimated at 50 and 95th percentile.
* p<0.10, ** p<0.05, *** p<0.01

Figure 23. Impact of School Leadership training programme on students' progression

ITT findings: progression

	(1) Lower RR b/se	(2) Upper RR b/se	(3) Total RR b/se	(4) Lower DR b/se	(5) Upper DR b/se	(6) Total DR b/se
Treatment	-2.246* (1.34)	-0.863 (1.39)	-1.771 (1.17)	0.271 (0.82)	0.182 (0.82)	0.087 (0.74)
constant	25.079*** (1.49)	18.617*** (1.47)	21.016*** (1.37)	5.222*** (0.63)	6.620*** (0.74)	5.924*** (0.65)
Observations	386	386	386	386	386	386
R-sqr	0.042	0.052	0.072	0.019	0.028	0.024

- **Significant impacts on repetition** driven by lower primary grades
- No impact on dropout

Data Source: MLSS 2021.

School level Variables. Baseline outcome variable is a covariate.

* p<0.10, ** p<0.05, *** p<0.01



ANNEX 7. SUPPORTING DOCUMENTS

A. World Bank Project Documents

Aide Memoires for the Project's Implementation Support and Supervision Missions

Asim, S., Gera, R., & Wang, X. (forthcoming). *Creating Equal Opportunities for Malawi's Children*.

Asim, S., Gera, R. C., Harris, D., & Dercon, S. (2021). *Pre-Analysis Plan The Impact of School Leadership Training on improving Teacher Behaviors and Student Achievement*.

Asim, S., & Walsh, J. (draft, final expected in 2021). *Pre-Analysis Plan: Getting school finance to work: Evidence from Malawi*.

Asim, S., & Casley Gera, R. 2022 (forthcoming). "What Matters for Learning in Malawi? Evidence from the Malawi Longitudinal Schools Survey." World Bank Group.

Asim, S., Gera, R. C., Harris, D., & Dercon, S. (forthcoming). *Does Effective School Leadership Matter? Evidence from a Field Experiment in Malawi*. 46.

Bank Guidance. Implementation Completion and Results Report (ICR) for Investment Project Financing (IPF) Operations dated March 2, 2020

Country Assistance Strategy for the Republic of Malawi for the period FY13-16 (Report No.: 74159-MW) dated December 17, 2012⁸²

Country Partnership Framework for the Republic of Malawi for the period FY21-FY25 (Report No.: 154505-MW) dated April 2, 2021

Disbursement Arrangements (Grant No. TF0A2913) dated September 22, 2016

DRAFT Guidelines for Reviewing World Bank Implementation Completion and Results Reports: A Manual for IEG ICR Reviewers (updated version as of July 25th, 2017)

Grant Agreement [Global Partnership for Education Fund Grant Agreement] (GPEF Grant Number: TF0A2913) dated September 22, 2016

Implementation Status and Results Reports (ISRs) No. 1–10 for the Project

Malawi Systematic Country Diagnostic: Breaking the Cycle of Low Growth and Slow Poverty Reduction, dated December 2018

Malawi 2063. Malawi's Vision for An Inclusively Wealthy and Self-reliant Nation published in 2020

Moreno, M. (2022). *Malawi ICR Results (v4)*.



Project Appraisal Document on a Proposed Grant in the amount of US\$44.9 Million to the Republic of Malawi for a Malawi Education Sector Improvement Project (MESIP) (Report No.: PAD1515) disclosed on May 25, 2016

Restructuring Paper on a Proposed Project Restructuring of Malawi Education Sector Improvement Project (MESIP) approved on August 31, 2016 for the Republic of Malawi (Report No.: RES35991), disclosed October 3, 2019

Restructuring Paper on a Proposed Project Restructuring of Malawi Education Sector Improvement Project (MESIP) approved on August 31, 2016 for the Republic of Malawi (Report No.: RES44733), disclosed December 23, 2020

World Bank Group. (2018). *Malawi Systematic Country Diagnostic: Breaking the Cycle of Low Growth and Slow Poverty Reduction*. <https://documents1.worldbank.org/curated/en/723781545072859945/pdf/malawi-scd-final-board-12-7-2018-12122018-636804216425880639.pdf>

B. Government's Documents

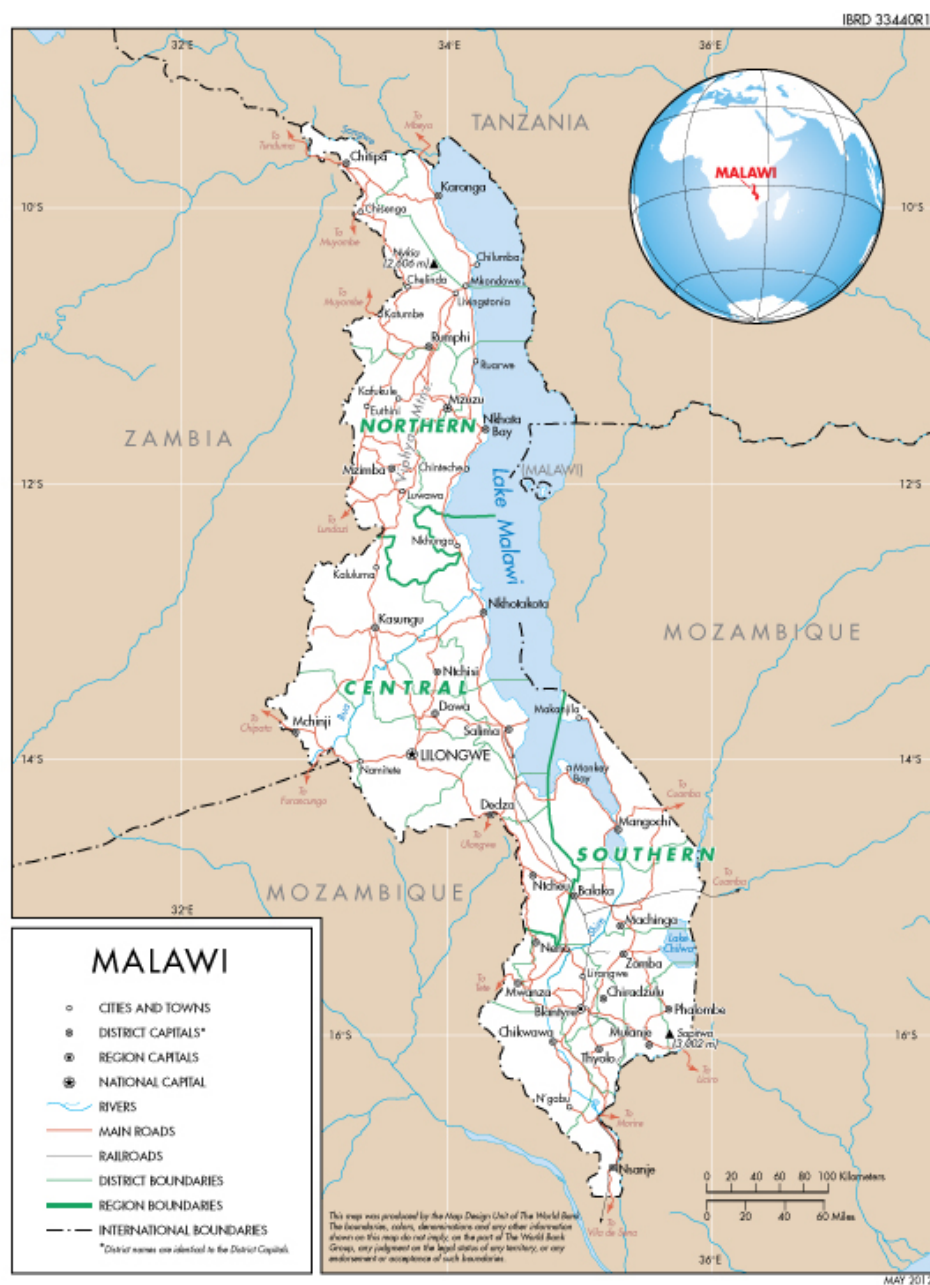
D R Consulting Services. (2020). *Ministry of Education, Malawi Education Sector Improvement Project: Independent Verification of Results of Achievement for the Disbursement Linked Indicators*.

Government of Malawi, Ministry of Education, Science and Technology (MoEST), & Malawi Education Sector Improvement Project (MESIP). (2020). *School Leadership Training Programme (SLP) for Head Teachers, Deputy Head Teachers and Primary Education Advisors (Component 3.1): Final Report on Main Training*.

Muhammad Jamshed Khan, & Bismarck Robings Sakunda. (2020). *Ministry of Education, Science and Technology (MoEST)—Malawi Education Sector Improvement Project (MESIP) School Leadership Training Programme in Malawi: Formative Evaluation Report (Final Draft)*.



ANNEX 8. PROJECT MAP





ANNEX 9: ENDNOTES

¹ Rate used as of March 31, 2022: <https://www.xe.com/currencyconverter/convert/?Amount=1&From=USD&To=MWK>.

² Exchange rate as of March 30, 2022: .

³ World Bank: "Malawi Poverty and Vulnerability Assessment" 2015.

⁴ World Bank: Poverty and Shared Prosperity in Malawi, 2004-2010.

⁵ Ministry of Education, Science and Technology: Malawi towards Education for All, 1995; Malawi Education Statistics 2017-2018.

⁶ At the time of appraisal and initial implementation, the MoE was known as the Ministry of Education, Science and Technology (MoEST), but as that name is no longer applicable, this ICR makes reference to them appropriately as the MoE.

⁷ Education Sector Implementation Plan II: Towards Quality Education—Empowering the Schools.

⁸ World Bank (2013). Country Assistance Strategy for the Republic of Malawi for the Period FY2013-2016 (extended by one year through FY17).

⁹ Including latrine blocks and water points.

¹⁰ Based on the results framework from the PAD.

¹¹ The minimum standards for this indicator were: (i) a school having an approved School Improvement Plan (SIP) in place; (ii) demonstrable implementation of activities of the SIP through verifiable monitoring documents; (iii) open display of key school information to ensure transparency; and (iv) availability of mechanisms to monitor learner and teacher school attendance.

¹² DRAFT Guidelines for Reviewing World Bank Implementation Completion and Results Reports: A Manual for IEG ICR Reviewers (updated version as of July 25th, 2017).

¹³ In line with the ICR guidelines (issued in March 2020), the assessment on relevance focuses on the alignment of the PDO with the CAS and CPF that were current at the time of project closing, which were the CAS for FY 13-16, and the CPF for FY 21-25, the latter of which was newly approved in April, 2021.

¹⁴ The Country Assistance Strategy for FY 13-16 was extended to FY17 via the Performance and Learning Review of 15 March 2015.

¹⁵ It should be noted that the validity of the indicators is a key area of analysis under the M&E design. However, it is also included under the efficacy discussion to assess and confirm if the PDIs under each objective provide sufficient basis to examine the project impact and outcomes.

¹⁶ (UNESCO, 2016)

¹⁷ According to the ISR Seq No: 7 which was created on October 14th, 2019, just after the restructuring has been concluded.

¹⁸ Schools and communities decided to construct temporary learning shelters/sheds to reduce class sizes and overcrowding in schools, to decongest classes and prevent children from learning 'under the sun'. The community contribution ranges from moulding bricks, provision of sand and labour has been key in these achievements.

¹⁹ According to the 2021 statistical bulletin, there are a total of 3,197,768 students in Standards 1 to 4 across public and private schools in Malawi.

²⁰ The cost of the shelters is much lower than conventional classrooms and have been evaluated to be structurally sound for use in learning.

²¹ It is important to note that there was an error in the restructuring paper and across the ISRs post-MTR as the target for the number of sanitation facilities increased from 100 to 114 for boys and from 200 to 228 for girls. However, the cumulative end target was never revised from 300 to 342, which would have reflected the new accurate total (114+228).

²² Using a more rigorous regression, Figure 8 in Annex 6 confirms that the improvement in test scores in the MESIP districts between baseline and endline.

²³ It should be noted that while the results from school surveys provide strong evidence linking MESIP interventions to the project outcomes, the evidence is not sufficient to conclusively establish a causal relationship.

²⁴ The minimum standards for this indicator were: (i) a school having an approved School Improvement Plan (SIP) in place; (ii) demonstrable implementation of activities of the SIP through verifiable monitoring documents; (iii) open display of key school



information to ensure transparency; and (iv) availability of mechanisms to monitor learner and teacher school attendance.

²⁵ There exists a minor discrepancy between the figure calculated by the World Bank, and that calculated by the Government. The Government got a final achievement of 20.70 percent as compared to the Bank's calculation of 20.97 percent (see MESIP PCR-Final in Annex 5).

²⁶ There exists a minor discrepancy between the figure calculated by the World Bank, and that calculated by the Government. The Government got a final achievement of 20.60 percent as compared to the Bank's calculation of 20.77 percent (see MESIP PCR-Final in Annex 5).

²⁷ It is important to note that there is a discrepancy between the World Bank's figures and that of the Government. The assumptions/ methodology used by the World Bank include the following: (i) For each Std. 1-8, Promotion Rate (PR) is calculated for boys & girls using the following formula: (Std. 1 for ex:) (2021 Enrolment Std. 1 – 2021 Repeaters Std. 1 – 2021 Net transfers in Std. 1 – 2021 Returnees Std. 1)/(2020 Enrolment Std. 1); (ii) For each Std. 1-8, Repetition Rate (RR) is calculated for boys & girls using the following formula: (Std. 1 for ex:) (2021 Repeaters Std. 1)/(2020 Enrolment Std. 1); (iii) RR for each Std. is replaced with 0 if repeaters = 0, and replaced to missing if 2020 Enrollment is 0; (iv) For each Std. 1-8, Dropout Rate (DR) is calculated using the following formula: (Std. 1 for ex) $1 - \text{PR Std. 1} - \text{RR Std. 1}$; (v) If DR is less than 0, then it is assumed to be 0; (vi) If DR is greater than 1, then it is assumed to be 1 and (vii) DR for girls Std. 5-7 is average of DR for Std. 5, 6, 7.

²⁸ Girls and boys achieve significantly higher scores in Standard 4 schools with a female headteacher, deputy headteacher, or School Management Committee chair, with girls benefiting significantly more than boys. Both boys and girls achieve significantly higher scores in schools with a female teacher than schools without a female teacher (MLSS baseline).

²⁹ This cost of the shelters is much lower than conventional classrooms and have been evaluated to be structurally sound for use in learning.

³⁰ In Malawi, primary education lasts eight years, from ages 6 to 13. It was assumed that students would join the labor market the year after graduating and work for 40 years.

³¹ Specifically, the firm had to be contracted and partnership formed with the local partner; the content was developed from scratch, including consultations, preparation, revision, piloting; participants had to be identified; etc. It was a major new activity for Government and a new way of working in partnership with firms. As such, despite not being a planned delay, enough time was deliberately allowed to make sure everything could be completed even if things got off to a slow start.

³² Even though positive externalities pertaining to girls' education and children with disabilities are not formally included in the CBA, it is possible that the project's investments and output-level achievements could yield additional gains in the coming years.

³³ Including but not limited to USAID, Norway, DFID, Save the Children, Action Aid Malawi, JICA and GIZ.

³⁴ Ministry of Education, 2017.

³⁵ More specifically, some DPs working on girls' education included, but were not limited to, USAID, Norway, DFID, Save the Children, Action Aid Malawi, Japan International Cooperation Agency (JICA) and Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ). DPs working on inclusive education similarly included but were not limited to Norway, Save the Children and Action Aid Malawi. See Figure 13 in Annex 6 for more details.

³⁶ Dated March 18-April 2, 2019.

³⁷ Specifically, the MERIT project.

³⁸ A Theory of Change diagram was included in the PAD, which laid out the logic of the project on how the PDO will be achieved. See Figure 9 in Annex 6.

³⁹ This figure does not include sub-indicators, which are counted under their 'parent' indicator.

⁴⁰ Supported by the Norwegian Embassy.

⁴¹ See Table 1 in the PAD.

⁴² See details for Restructuring Paper in Annex 7.

⁴³ Year 4 of the project.

⁴⁴ During which support to the sector wide PIQEM project was withdrawn by a number of DPs with only World Bank remaining. Known as the 2013 'Cashgate' fraud scandal, wherein significant resources were redrawn leaving a deep funding gap with all projects becoming off-budget as a result.



⁴⁵ The project designated and local accounts were hosted at a commercial Bank; the National Bank of Malawi.

⁴⁶ The DA was expected to be functional by January 2017 for timely first disbursement, but this did not occur as expected given the MoE's delay in processing some of the necessary approvals and clearances.

⁴⁷ Internal auditing of the project was done by the Internal Audit Department of the MoE.

⁴⁸ There is a strong recognition of the unprecedented challenges the pandemic poses for the education sector. As an immediate response, the GoM has raised public awareness on the crisis and disseminated information on preventive measures. The approved national multi-sectoral preparedness and response plan guides the COVID-19 responses across different sectors, including the MoE, and local governments. In the Relief phase, the Board approved a \$7 million Emergency Response and Health System Preparedness COVID-19 Project (P173806) under the Multi Phased Approach in support of the government's contingency plan in April 2020. In the Restructuring phase, to protect the poor and vulnerable, the Bank is currently restructuring the Social Support for Resilient Livelihoods Project (P169198) to re-prioritize \$40 million towards the COVID-19 Urban Cash Initiative (CUCI), covering 185k poor households as well as COVID-19 top-ups to rural beneficiaries. To initiate a Resilient Recovery the government has requested the proposed Financial Inclusion and Entrepreneurship Scaling Project (P168577) to finance a \$22 million emergency facility for SMEs impacted by the crisis. Moreover, Malawi was also able to benefit from COVID-19 funding from the GPE, to assist with its recovery efforts.

⁴⁹ It is important to note that in implementing this pilot intervention, setting a target of 100 percent was a design issue that did not take into account that some of the 400 eligible schools would not qualify by meeting the requirements. Indeed, 340 of the 400 schools qualified (85 percent). Despite this oversight at the design stage, implementation was sound, and all schools that qualified to receive PBF grants, did (340 schools).

⁵⁰ It is important to note that there was an error in the restructuring paper and across the ISRs post-MTR as the target for the number of sanitation facilities increased from 100 to 114 for boys and from 200 to 228 for girls. However, the cumulative end target was never revised from 300 to 342, which would have reflected the new accurate total (114+228).

⁵¹ It is important to note that there was an error in the restructuring paper and across the ISRs post-MTR as the target for the number of sanitation facilities increased from 100 to 114 for boys and from 200 to 228 for girls. However, the cumulative end target was never revised from 300 to 342, which would have reflected the new accurate total (114+228).

⁵² It is important to note that there was an error in the restructuring paper and across the ISRs post-MTR regarding this IRI. Originally the IRI was 'Schools with trained HTs and Deputy HTs' for which the original target of 800 was appropriate. However, it was revised after the MTR to 'Number of headteachers and deputy headteachers trained', whence the target was supposed to be changed to 1,600 post-MTR, as according to a conversation with the TTL (Salman Asim). However, this change was not reflected in the Restructuring Paper nor the RF, and as such, this error has been reflected throughout other project documents, including but not limited to ISRs. For the purpose of this ICR, it has been amended on the portal.

⁵³ It is important to note that in implementing this pilot intervention, setting a target of 100 percent was a design issue that did not take into account that some of the 400 eligible schools would not qualify by meeting the requirements. Indeed, 340 of the 400 schools qualified (83.75 percent). Despite this oversight at the design stage, implementation was sound, and all schools that qualified to receive PBF grants, did (340 schools).

⁵⁴ Indicators used included schools' (i) access to water and electricity; (ii) pupil-to-classroom ratio; and (ii) pupil-teacher ratio.

⁵⁵ Based on currency converter: <https://www.xe.com/currencyconverter/convert/?Amount=1200000&From=MWK&To=USD>.

⁵⁶ Community contributions ranging from the provision of moulding bricks, sand and labour have been key in these achievements.

⁵⁷ It is important to note that there was an error in the restructuring paper and across the ISRs post-MTR as the target for the number of sanitation facilities increased from 100 to 114 for boys and from 200 to 228 for girls. However, the cumulative end target was never revised from 300 to 342, which would have reflected the new accurate total (114+228).

⁵⁸ According to the African Institute for Development Policy, Malawi ranked eleventh globally on child marriages before the COVID-19 pandemic, with evidence from education development and implementing partners indicating that cases of teen pregnancy and child marriages increased during the COVID-19 pandemic.

⁵⁹ Girls and boys achieve significantly higher scores in Standard 4 schools with a female headteacher, deputy headteacher, or School Management Committee chair, with girls benefiting significantly more than boys. Both boys and girls achieve



significantly higher scores in schools with a female teacher than schools without a female teacher (MLSS baseline).

⁶⁰ Schools and communities decided to construct temporary learning shelters/sheds to decongest classes and prevent children from learning 'under the sun'. The community contribution ranges from moulding bricks, provision of sand and labour has been key in these achievements.

⁶¹ This cost of the shelters is much lower than conventional classrooms but have been evaluated to be structurally sound for use in learning.

⁶² It is important to note that there was an error in the restructuring paper and across the ISRs post-MTR regarding this IRI. Originally the IRI was 'Schools with trained HTs and Deputy HTs' for which the original target of 800 was appropriate. However, it was revised after the MTR to 'Number of headteachers and deputy headteachers trained', whence the target was supposed to be changed to 1,600 post-MTR, as according to a conversation with the TTL (Salman Asim). However, this change was not reflected in the Restructuring Paper nor the RF, and as such, this error has been reflected throughout other project documents, including but not limited to ISRs. For the purpose of this ICR, it has been amended on the portal.

⁶³ See MESIP PAD, paragraph 35.

⁶⁴ The minimum standards for this indicator were: (i) a school having an approved School Improvement Plan (SIP) in place; (ii) demonstrable implementation of activities of the SIP through verifiable monitoring documents; (iii) open display of key school information to ensure transparency; and (iv) availability of mechanisms to monitor learner and teacher school attendance.

⁶⁵ See MESIP PAD.

⁶⁶ 2020 Malawi Annual Schools Census.

⁶⁷ Schools reopened in a limited form in September 2020 to enable completion of standardized examinations in Standard 8 and Form 4. Schools are currently in a phased process of reopening, with part-time schedules staggered between grades to reduce the number of students present at one time and emergency reallocations of teachers to reduce class sizes. A revised and compressed schedule has been developed for the 2020/21 school year to be conducted beginning in January 2021 following the completion of the delayed 2019/20 year. Unless there is a severe resurgence of COVID-19 during the period to mid-2021, it is anticipated that the reopening process will be complete and schools operating normally by the time MERP becomes Effective.

⁶⁸ World Bank Group. 2020. "Simulating the Potential Impacts Of COVID-19 School Closures on Schooling and Learning Outcomes: A Set of Global Estimates." Washington, D.C.: World Bank Group.

⁶⁹ World Bank tool. Azevedo J.P. et al. (2020) "Country tool for simulating the potential impacts of COVID-19 school closures on schooling and learning outcomes, Version 4.3". World Bank, Washington DC.

⁷⁰ There is a strong recognition of the unprecedented challenges the pandemic poses for the education sector. As an immediate response, the GoM has raised public awareness on the crisis and disseminated information on preventive measures. The approved national multi-sectoral preparedness and response plan guides the COVID-19 responses across different sectors, including the MoE, and local governments. In the Relief phase, the Board approved a \$7 million Emergency Response and Health System Preparedness COVID-19 Project (P173806) under the Multi Phased Approach in support of the government's contingency plan in April 2020. In the Restructuring phase, to protect the poor and vulnerable, the Bank is currently restructuring the Social Support for Resilient Livelihoods Project (P169198) to re-prioritize \$40 million towards the COVID-19 Urban Cash Initiative (CUCI), covering 185k poor households as well as COVID-19 top-ups to rural beneficiaries. To initiate a Resilient Recovery the government has requested the proposed Financial Inclusion and Entrepreneurship Scaling Project (P168577) to finance a \$22 million emergency facility for SMEs impacted by the crisis. Moreover, Malawi was also able to benefit from COVID-19 funding from the GPE, to assist with its recovery efforts.

⁷¹ The actual final expenditure figures were shared by the Government in US dollar converted from Malawian Kwacha (MWK). Due to changes in the US dollar to MWK exchange rate throughout project implementation, the figures shared by the Government at closing add-up to US\$43.724 million (US\$10.273 million for Component 1, US\$9.60 million for Component 2, US\$6.865 million for Component 3, US\$12.225 million for Component 4 and US\$4.761 million for Component 5), while on the disbursement side, US\$43.658 million was documented as disbursed. The share of each component out of the final expenditure figure shared by the Government is used to estimate what portion of disbursed funds was spent on each component. This approach reconciles the expenditure and final disbursed amounts, while also giving a picture of changes in the



amount spent on each component compared to the initial plan.

⁷² Bashir, S., Lockheed, M., Ninan, E., and Tan J.P., (2018). Facing Forward. Schooling for Learning in Africa. Africa Development Forum. World Bank Group.

⁷³ World Bank. 2018. World Development Report 2018: Learning to Realize Education's Promise. Washington, DC: World Bank. © World Bank. <https://openknowledge.worldbank.org/handle/10986/28340> License: CC BY 3.0 IGO.

⁷⁴ Source: UNESCO UIS, 2016.

⁷⁵ Source: World Bank WDI, 2020.

⁷⁶ It should be noted that 'non-MESIP' districts did in fact receive Component 3 interventions in randomly selected schools.

⁷⁷ For more details of the MLSS learning assessment, see MLSS Technical Report.

⁷⁸ For instance, the Malawi Education Reform Programme (MERP) project [P174329] and the Skills for A Vibrant Economy Project (SAVE) [P172627].

⁷⁹ Link to WB Docs:

<https://worldbankgroup.sharepoint.com/:w:/r/sites/P154185/Shared%20Documents/Project/MESIP%20PCR%20Jan%202022.docx?d=w6430302c54ca486a85b3ea72714db18e&csf=1&web=1&e=dz4NAt>

⁸⁰ This would have resulted in an approximate target of 130.5 pupils to 1 qualified primary school teacher based on the original baseline of 145:1 at project design (see Table 12 in Annex 4 for details). However, revisions to this indicator were made to this indicator during the project's first Level II restructuring, including an amended baseline, definition and target.

⁸¹ This revised target was made to align with DLI 1 which reflected a target of a 20 percent reduction.

⁸² The Country Assistance Strategy for FY 13-16 was extended to FY17 via the Performance and Learning Review of 15 March 2015.